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The Game Changer



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VISION, MISSION AND VALUES



Purpose (Mission)

Sanlam Kenya Plc is committed to helping create a world worth living in while also enabling people to live the best possible life.



Vision

To be the leader in client-centric wealth creation, management and protection.



Core Values

- Lead with Courage and Serve with Pride
- Respect, Nurture and Care
- Act with Integrity and Accountability
- Guard our Stakeholders' Trust
- Drive Innovation and Superior Performance



We are determined and resolute

For over 100 years, we have been doing business with readiness, resolve and deep-rooted conviction. We are committed, resolute, determined and purposeful in all we do.



We are solid and sensible

We take pride in our solid nature - we choose function over fancy and we don't do window dressing. When it comes to our customers, the sensible thing is the right thing.



We do it very, very well

We do what we do exceptionally well. Our approach is methodical and thorough; we don't take any shortcuts. It is the only way we know to show you the respect you deserve.



We do it for good

We desire to make a real and positive difference - to create lasting value that enables people to live their best lives. Our work is never done and we do it all for good.



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About Us

To our investors and stakeholders

Sanlam Kenya, formerly Pan Africa Insurance Holdings, is a diversified financial services group listed on the Nairobi Securities Exchange that provides a comprehensive suite of financial solutions tailored to meet the distinct needs of the Kenyan market.

Through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited, Sanlam Kenya is well positioned to meet the unique client needs in the General and Life Insurance space.

Founded on a rich heritage and good corporate citizenship, Sanlam Kenya currently features a branch network of 11 client experience centres across the country's major towns. The firm enjoys an estimated market share of 7%

in the life insurance sector in Kenya, insuring above 1,500,000 lives under individual life and group life. Globally, Sanlam is one of the 50 largest internationally active insurance groups in the world with a presence in 44 countries. Our vision is to be the leader in client-centric wealth creation, management and protection; to be a leading player in Pan-African financial services while carving a niche in wealth and investment management in specific developed markets.

Sanlam operates through a number of subsidiaries, associated companies and joint ventures. Sanlam Life is the largest operating subsidiary and the holding company of most of Sanlam's operations in emerging markets.

Sanlam has a decentralised management

structure and conducts operations through five business clusters: Sanlam Personal Finance, Sanlam Emerging Markets, Sanlam Investment Group, Santam and Sanlam Corporate. The Group provides comprehensive and tailored financial solutions to individual and institutional clients across all market segments. Sanlam's areas of expertise include insurance (life and general), financial planning, retirement, investments and wealth.

The Group has staKShs. in operations based in Namibia, Botswana, Swaziland, Zimbabwe, Mozambique, Mauritius, Malawi, Zambia, Tanzania, Rwanda, Uganda, Kenya, Nigeria, Morocco, Angola, Algeria, Tunisia, Ghana, Niger, Mali, Senegal, Guinea, Burkina Faso, Côte d'Ivoire, Togo, Benin, Cameroon, Gabon, Republic of the Congo, Madagascar, Lebanon, Saudi Arabia, India, Malaysia and the United Kingdom and has interests in the USA, Australia, Burundi, Lesotho and the Philippines.



44

Globally, Sanlam is one of the 50 largest internationally active insurance groups in the world with a presence in 44 countries.



7%

The firm enjoys an estimated market share of 7% in the Kenyan life insurance sector, insuring above 1,500,000 lives under individual life and group life.

Through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited, Sanlam Kenya is well positioned to meet the unique client needs in the General and Life Insurance space.

Company information

Principal Place of Business

Sanlam Tower, Waiyaki Way, Westlands
P.O. Box 44041 - 00100
Nairobi

Registered Office

LR No. 209/927
Uhuru Highway, building Sanlam House
P.O. Box 10493 - 00100
Nairobi

Principal Bankers

Absa Bank Kenya
Absa Plaza
P.O. Box 46661 - 00100
Nairobi

Standard Chartered Bank Kenya Limited
Kenyatta Avenue
P.O. Box 30001 - 00100
Nairobi

Co-operative Bank of Kenya Limited
Ukulima Branch
P.O. Box 74956 - 00200
Nairobi

Family Bank Limited
Kenyatta Avenue Branch
P.O. Box 74145 - 00200
Nairobi

National Bank of Kenya Limited
Kenyatta Avenue
P.O. Box 30645 - 00100
Nairobi

Company Secretary

Emma Wachira
Sanlam Tower
Waiyaki Way
Westlands
P.O. Box 44041 - 00100
Nairobi

Independent Auditor

KPMG Kenya
Certified Public Accountants
8th Floor, ABC Towers
ABC Place, Waiyaki Way
PO Box 40612
Nairobi

Legal Advisers

Kaplan & Stratton Advocates
Williamson House, 4th Ngong Avenue
Nairobi

Muriu Mungai Advocates
MMC Arches
Spring Valley Crescent
Nairobi

Simba & Simba Advocates
6th Floor, Finance House
Loita Street
Nairobi

Ayugi & Njonjo Advocates
4th Floor, Capital Hill Square, Upper Hill
Nairobi

Waruhiu & Company Advocates
12th Floor, International House
Mama Ngina Street



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SANLAM AT A GLANCE

Sanlam at a Glance

Understanding how our business creates shared value

The cornerstone of our purpose, which is to enable people to live with confidence about the future, lies in our ability to create shared value for our material stakeholders. This way, we strengthen their financial resilience and prosperity.

This contributes to a mutually beneficial value ecosystem for individuals, organisations and society.



Creating a world worth living in means that organisations have the benefit of:

- Opportunities that generate fee incomes for our sales agents as distribution partners for Sanlam products and services
- Facilitating sustainable economic growth through Sanlam's sound investment of clients' funds under management
- Technical partnerships with regulators to enable economic, social and regulatory resilience and prosperity



Creating a world worth living in means that society has the benefit of:

- Economic empowerment and choice
- Stability and liquidity in the financial sector through Sanlam's investment of clients' funds under management
- Trust in the financial sector as a result of technical partnerships
- Collaboration and trust between stakeholders in support of inclusive economic growth



Creating a world worth living in means that individuals have the benefit of:

- Wealth creation, management and protection through sound advice, fair treatment and a range of financial solutions that meet individual needs and expectations
- Employment opportunities and fair remuneration that leads to career development and financial security
- Growth in shareholder value for all our shareholders

We're in the business of helping people make the most of their money while delivering on sustainable and enduring value for our stakeholders. We believe diversification is key to our success because it is only when we embrace our differences and draw on our collective strengths, that we transform people's lives in a meaningful way. What drives us is we do it for good. What unites us is our job is never done. This is what makes us Wealthsmiths™

Sanlam at a Glance

Our Stakeholder Network

Sanlam's strategic intent is to create sustainable value for all stakeholders. While we operate in an extended universe of stakeholders, we identify and select material stakeholders on the basis of their impact on Sanlam's business and the successful execution of our strategy. Sanlam's ability to create mutually beneficial financial resilience and prosperity is reflected in RoGEV, our primary performance target for measuring shareholder value creation.

The Sanlam Board and executive management are responsible for managing Sanlam in a sustainable and stakeholder-inclusive manner. This includes overseeing the strategic risks that relate to the interface between Sanlam and its stakeholders, and balancing the needs, interests and expectations of all material stakeholders in the best interests of Sanlam over time. Read more about governance responsibilities to stakeholders in the online Governance Report

Sanlam's stakeholder strategy guides engagement with material stakeholders. An approved stakeholder communication policy is in place. Stakeholder engagement is continuous and depends on the needs of the various stakeholders and business clusters.

Each business cluster manages stakeholder engagement according to the specific focus of their operations. The clusters report to the Sanlam stakeholder hub on a quarterly basis about all stakeholder engagement activities and concerns raised.

The stakeholder hub is a centralised stakeholder database that serves as an issue log. The information in the stakeholder hub is collated and reported to the Social, Ethics and Sustainability (SES) committee on a quarterly basis.

Group Market Development in the Group Office provides a support function for managing stakeholder relationships through face-to-face and client-centric engagement. This includes established relationships with multiple tertiary institutions in South Africa, trade unions, government departments, private sector institutions and affinity groups such as churches. Group Market Development further facilitates cross-selling and collaboration between clusters to execute on market opportunities.

The Sanlam Board and executive management are responsible for managing Sanlam in a sustainable and stakeholder-inclusive manner. This includes overseeing the strategic risks that relate to the interface between Sanlam and its stakeholders, and balancing the needs, interests and expectations of all material stakeholders in the best interests of Sanlam over time

Stakeholder group	The basis of our relationship
 Clients	Consumers of Sanlam's financial solutions in search of wealth creation, management and protection goals that support financial resilience and prosperity
 Employees	Providers of skills and expertise that support the activities underlying Sanlam's business model
 Shareholders	Providers of financial capital at a Sanlam Group level
 Business partners	Providers of products and services that enable Sanlam to conduct its business activities; Co-investors in Sanlam businesses where appropriate
 Society	The base from which demand for Sanlam's financial solutions is generated, and from which human resources are employed
 Government	Partners of Sanlam's education, social and enterprise development programmes
 Regulators	Providers of financial stability and a sustainable environment for financial services through prudential and market conduct regulation

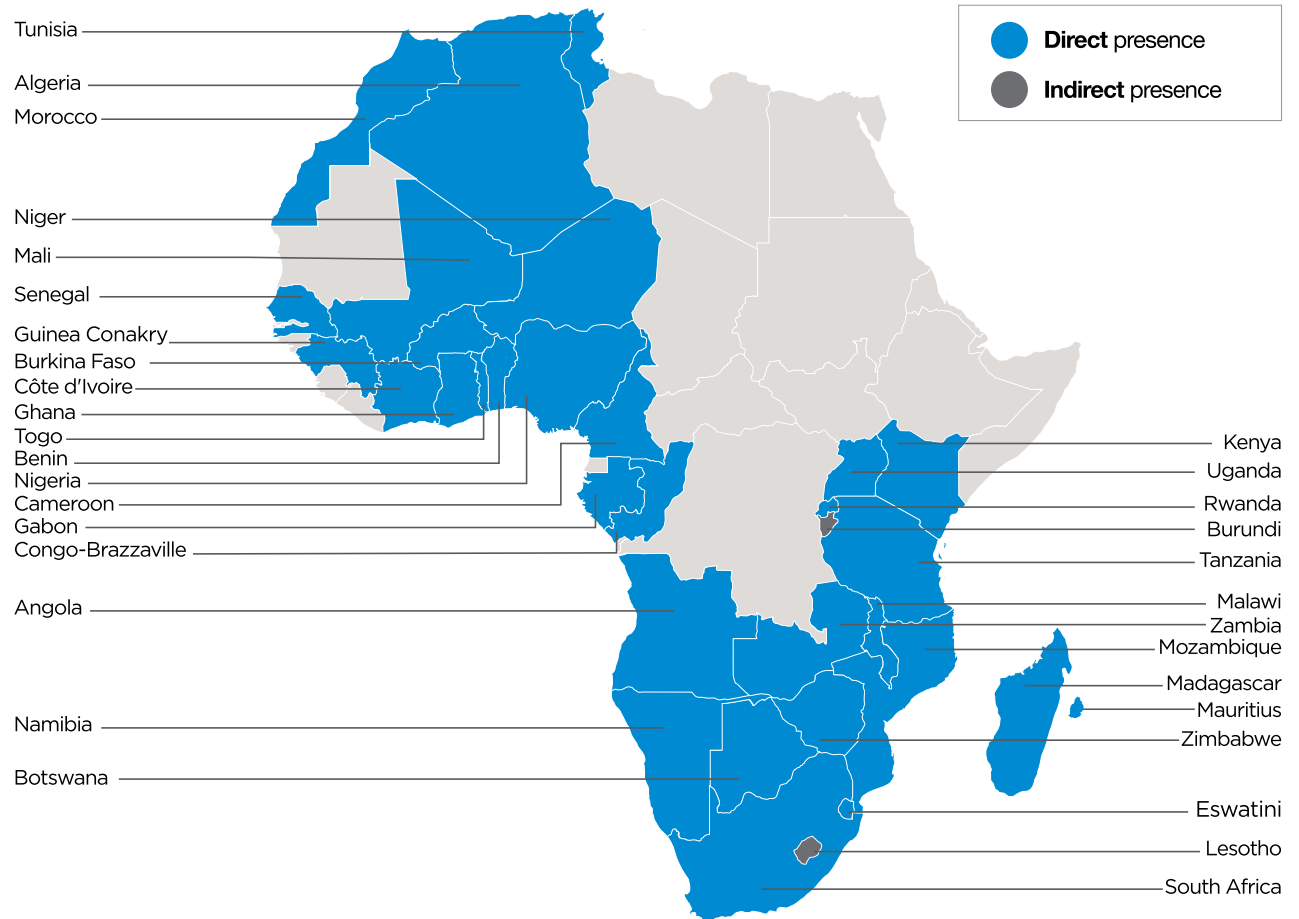
Sanlam at a Glance

Sanlam Pan Africa

The Sanlam Pan Africa cluster is responsible for Sanlam's financial business services (life insurance, general insurance, retail credit, health, bancassurance, asset management and specialist general insurance products) on the continent outside South Africa with the aim of ensuring sustainable delivery and growth across the various businesses that make up this cluster.

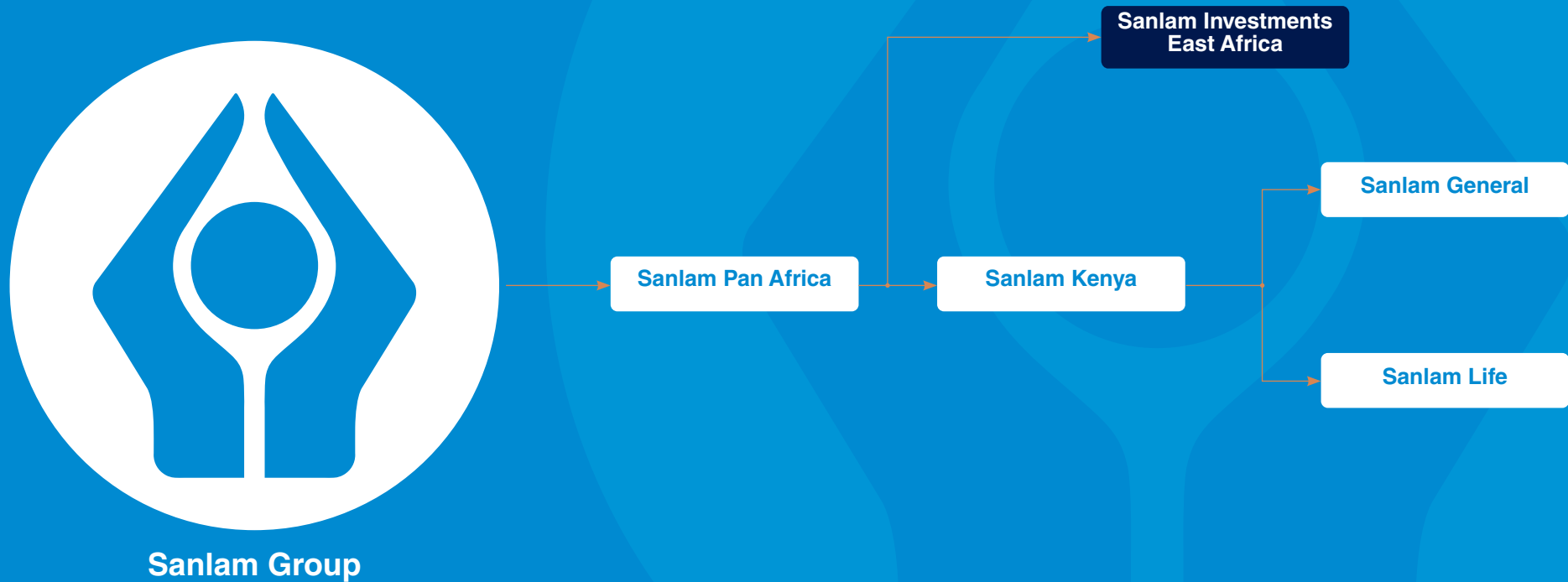
As part of the Group's vision, it strives to lead wealth creation and protection in those markets.

Our business presence in Africa



Sanlam at a Glance

Sanlam Group Plc structure





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Flashback



Dr. Nyamemba Patrick Tumbo, Group CEO Sanlam Kenya PLC (left) with Journalist Brenda Kerubo, from the Standard Group, who represented Kenya in a continental financial journalism training programme sponsored by Sanlam Group.



Dr. Nyamemba Patrick Tumbo, Group CEO Sanlam Kenya PLC (left) with David Muteti, representing the Kenya Elite Athletes team during the flag off of the 2021, 8th Sanlam Cape Town Marathon.



From Right: Kevin Mworira, Principal Officer Sanlam Life with Adam Kasaine, CEO Letshego Kenya Bancassurance Intermediary Ltd during the partnership between the two organisations to introduce a digital insurance offering, dubbed 'LetsGo Insure'.



Dr. JPN Simba, Chairman, Sanlam Kenya PLC (right) handing over the Overall Winner prize at the Karen Country Club during the Annual Sanlam Golf Sponsorship.

Flashback



Dr. Nyamemba PatrickTumbo, Group CEO Sanlam Kenya PLC (second left) handing over the Overall Winner prize at the Nyali Country Club during the Coast Market Visit and Annual Sanlam Golf Sponsorship.



(Left) Bargottio Kwonyike, Head of Group Risk and Digital Sales, Corporate Business during the Royal Nairobi Club Rehabilitation of Caddies' facilities Corporate Social Responsibility Initiative.

Five-year group review

	2017	2018	2019	2020 Restated	2021
	KShs.m	KShs.m	KShs.m	KShs.m	KShs.m
Statement of profit or loss:					
Profit/ (loss) before tax and share of profit of associate	251	(2,130)	550	(529)	(414)
Profit/(loss) after tax attributed to shareholders	31	(2,017)	114	(628)	(542)
Insurance business:					
Gross premium income	6,370	6,346	6,991	8,697	12,042
Net premium income	5,416	5,372	5,647	6,852	9,235
Net benefits and claims	4,534	5,124	4,836	5,732	8,616
Statement of financial position:					
Total equity	4,052	1,587	1,735	1,107	596
Long term policy liabilities	20,124	20,042	19,605	20,894	24,111
General policy liabilities	1,438	1,222	947	1,373	2,147
Share capital	720	720	720	720	720
Total assets	29,811	29,102	29,032	31,039	34,684

Key indicators:					
	KShs.	KShs.	KShs.	KShs.	KShs.
Basic earnings/(loss) per share	0.21	(14.01)	0.79	(3.55)	(2.79)
Dividends per share	-	-	-	-	-
Dividends (KShs. m)	-	-	-	-	-
Market capitalisation at year end (KShs. m)	3,996	3,168	2,478	1,865	1,663
Group share prices at the NSE:					
Annual High	31	28	26	22	14
Annual Low	18	20	16	20	9
Share price at year end	28	22	17.2	12.95	11.55



Total Assets

KShs. 34.7 bn ▲
from KShs. 31 bn



Gross Premiums

KShs. 12 bn ▲
from KShs. 8.7 bn



Benefits and Claims paid

KShs. 8.4 bn ▲
from KShs. 6.5 bn

A man with a beard and sunglasses, wearing a dark suit, is smiling and looking to the right. He is standing next to a dark-colored car, with his hand near his chest. A gold watch is visible on his left wrist. The background features a modern glass skyscraper under a clear sky. The overall image has a blue color cast.

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GOVERNANCE & LEADERSHIP

Board of Directors - Sanlam Kenya PLC

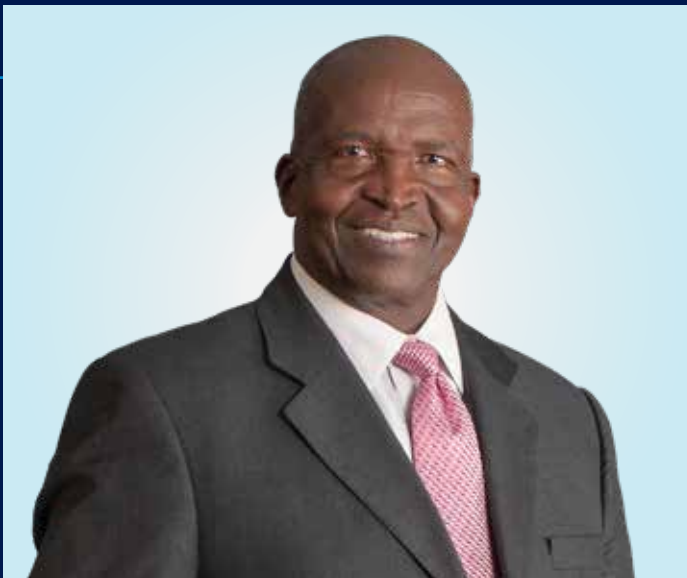
Dr. John P N Simba OGW, MBS (77) (Chairman)

Appointed to the Board in December 2001; Appointed as Chairman in March 2002

Occupation: Lawyer, Partner in Simba & Simba, Advocates

Academic Qualifications: LLD ((Hon.) University of Nairobi), Bachelor of Law (University of Dar-es-Salaam)

Professional Qualification: Advocate of the High Court of Kenya, Member Institute of Directors (Kenya)



Dr. Patrick Tumbo (58)

Appointed to the board on 2 August 2018

Occupation: Group Chief Executive Officer

Academic Qualifications: Masters of Business Administration (MBA) - Strategic Management (Major) and Strategic Marketing (Minor) – University of Nairobi (Kenya), Bachelor of Commerce (Insurance) – University of Nairobi (Kenya)

Professional Qualifications: Chartered Insurer; Associate of Chartered Insurance Institute and member of the Society of Fellows of The Chartered Insurance Institute (London, United Kingdom), Associate of Insurance Institute of Kenya - (Kenya)

Ms. Rose Agutu (59)

Appointed to the Board on 9 May 2019

Occupation: Banker

Academic Qualification: Bachelor of Commerce degree from the University of Nairobi and is an alumni of the CLA Women's Leadership Development Program (WLDP). She's currently pursuing further studies at the University of London



Julius Nyakia Magabe (48)

Appointed to the Board on 18 August 2016

Occupation: Regional Executive, East Africa- Sanlam Emerging Markets, Chief Executive Officer Sanlam Life (T) Limited

Academic Qualifications: MBA (ESIM),

Professional Qualifications: Advanced Diploma Insurance and Risk Management (Institute of Finance Management- Tanzania)

Rohan Patel (46)

Appointed to the Board on 16 May 2015

Occupation: Director of Corporate Development

Academic Qualifications:
MBA (IMD), M.Sc. Management (LSE), BA Geography (LSE)

Professional Qualifications:
Advanced Management Program (Harvard) Certificate in Real Estate, Development and Hotel Investment, Cornell University



Nelius Bezuidenhout (39)

Appointed to the Board on 8 November 2018

Occupation: Executive: Finance, Sanlam Pan Africa Life

Professional Qualifications:
Fellow of Actuarial Society of South Africa



Cornie Foord (64)

Appointed to the board on 8 November 2018

Occupation: Chief Operating Officer of SEM

Qualification: Honours degree in Accounting and Masters degree in Business Management – University of South Africa



Freda Britz (55)

Appointed to the Board on 8 November 2018

Occupation: Qualified chartered accountant

Academic Qualifications:
B.Com (Rand Afrikaans University), Post Graduate Diploma in Accountancy (Honours) & CTA

Professional Qualifications:
CA (SA), CMA (CIMA), Cert. Dir SAICA



Governance

Board of Directors - Sanlam Kenya PLC

Dr. Grace Mirigo Mwai (42)

Appointed to the Board on 9
May 2019

Occupation: Compliance and
program management

Academic Qualifications:

Doctorate in Business
Administration from the United
States International University
Africa, Masters in Business
Administration (MBA) from
the University of Nairobi and a
Bachelors of Commerce from
the same university.



Leadership

Senior Management



Dr. Patrick Tumbo
Sanlam Kenya Group CEO



Kevin Mworira
Principal Officer Sanlam Life



George Kuria
CEO Sanlam General



Simon Ngura
Head of IT and Innovation



Dennis Katei
Head of Risk and Compliance



Emma Wachira
Group Company Secretary/Chief Legal Officer



Donato Laboke
Head of Marketing and Channel Development- East Africa



Pauline Gitau
Group Head Internal Audit



Live with confidence

The global economy grew by an estimated 5.5% in the year 2021 compared to a contraction in the previous year. This is attributable to the successful roll out of various covid-19 vaccines that proved to be quite effective in reducing the pandemic fatality rates.

**Dr. John Simba, OGW, MBS, EGH
(Group Chairman)**

Our Leadership

Chairman's Statement

Fellow shareholders,

On behalf of the Board of Directors, it gives me great pleasure to present to you the financial results for the year ended 31st December 2021.

Operating environment

The global economy grew by an estimated 5.5% in the year 2021 compared to a contraction in the previous year. This is attributable to the successful roll out of various covid-19 vaccines that proved to be quite effective in reducing the pandemic fatality rates. This led to the lifting of global restrictions imposed on human interaction on both the social and business fronts. The positive impacts were experienced locally, and Kenya reported an estimated 7.2% GDP growth in the year.

The global disruption to social, government and business ecosystems occasioned by the pandemic served as a catalyst for innovation and there was an upsurge in the roll out of digital solutions in the delivery of services, including insurance services.

Locally, insurers invested more in the digitalization of their customer journeys and products, while the regulator and trade organizations digitalized interaction with all their stakeholders.

Despite reported economic growth, compared to an exceptionally low prior year performance, several challenges continued to persist. Retail markets were

most affected with most individuals unable to procure insurance services while occupational schemes paid lower premiums on account of fewer employees being on cover following significant staff layoffs. Claims ratios increased especially in the first half of the year as the alpha variant of Covid-19 caused an increase in fatalities. Default rates on premium obligations rose, leading to significant provisions being adjusted against the industry's financial performance.

Industry performance

Short term insurance business was the largest contributor to consolidated industry Gross Premium Income delivering 55% of total industry revenues.

KShs. 124 billion

Long term insurance industry Gross Premium Income representing a 21% growth over the previous year and an improvement to the 4.5% growth reported in the previous year.

Despite the low insurance penetration rate, the Insurance Regulatory Authority has continued to be actively involved in educating citizenry on the importance of insurance through workshops across all the 47 counties of the country.

Long term insurance industry Gross Premium Income was KShs. 124 billion representing a 21% growth over the previous year and an improvement to the 4.5% growth reported in the previous year. The industry asset base improved by 13% to KShs. 565 billion.

Short term insurance industry Gross Premium Income was KShs. 152 billion representing a 16% growth compared to prior year and an improvement over prior year's decline of 0.2% owing to the adverse impacts of the pandemic on short term insurance product lines.

The Association of Kenya Insurers reiterated through its strategy that digitization will continue to remain a focus area for industry players as they seek to increase market penetration from the current 2.3% considered very low compared to other sectors of the economy and developed markets.

Despite the low insurance penetration rate, the Insurance Regulatory Authority has continued to be actively involved in educating citizenry on the importance of insurance through workshops across all the 47 counties of the country.

New insurance players were licensed to conduct business, but even more notable was the upsurge in the number of insuretechs, aggregators, digital marketers, and telcos keen on distributing insurance products to the market signaling investor



Short term insurance industry Gross Premium Income was KShs. 152 billion representing a 16% growth compared to prior year and an improvement over prior year's decline of 0.2% owing to the adverse impacts of the pandemic on short term insurance product lines.



The Sanlam Kenya Plc group will continue with its innovation journey on products, distribution channels, systems and communication.

confidence in market potential that is supported by a real need for insurance.

Sanlam Kenya performance

The business continued to be resilient despite the challenges presented by the operating environment. The business exercised prudence in its management of capital, while digitization and new channel development was emphasized to secure new growth opportunities and additional strategic partnerships were onboarded.

The Group reported a Gross Premium Income of KShs. 12 billion representing a 38% improvement over the previous year's KShs. 8.7 billion. Sanlam Life, the long-term insurance subsidiary recorded a 41% growth in revenues to report KShs. 7.4 billion in insurance revenues. Sanlam General, the short-term insurance subsidiary reported a 19% growth over prior year to report KShs. 4.7 billion in insurance revenues.

The operating environment impacted Sanlam's profitability despite a year-on-year growth in revenues, most significant being the impairment of counterparty balances, while loss ratios on account of covid-19 fatalities worsened. Most affected was the short-term insurance business, leading to more prudent provisioning of claims reserves and insurance counterparty balances. Sanlam General as a result reported a loss after tax of KShs. 501 million. Sanlam Life on the other hand reported an impressive performance, recording an after-tax profit of KShs. 642 million, representing a 29% improvement compared to prior year. The consolidated results captured the performance

of all subsidiaries leading to a loss after tax of KShs. 542 million, an improvement over prior year restated loss after tax of KShs. 628 million. Total assets improved by 12% to KShs. 34.7 billion.

After taking into consideration the Group's commitment to a strong business growth backed by clear business plans, the Board of Directors endorsed the revised business strategy anticipating sound performance for this year and future years.

Outlook

The world bank has signaled a likely reduction in previously projected global economic growth rates. Global growth is expected to slump from 5.7% in 2021 to an estimated 2.9% in 2022. The World Bank further opines "compounding the damage from Covid-19 pandemic, the Russian invasion of Ukraine has magnified the slowdown in the global economy, which is entering what could become a protracted period of feeble growth and elevated inflation".

The industry must anticipate and prepare before hand for the challenge ahead.

The Sanlam Kenya Plc group will continue with its innovation journey on products, distribution channels, systems and communication thus continuously improving its capabilities to address the ever-changing operating environment without compromising its promise to stakeholders. Culture will continue to be a focal point with an emphasis on high performance, while governance best practice will remain an area of continuous improvement for the business.



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Uchumi wa dunia ulikua kwa 5.5% mwaka 2021 ukilinganisha na kudorora kwa hali ya ukuaji wa uchumi kulikoshuhudiwa mwaka uliotangulia. Hili linatokana na kuanza kutolewa kwa chanjo mbalimbali za kukinga watu dhidi ya covid-19 ambazo zimesaidia sana katika kupunguza vifo vinavyotokana na virusi vya corona.

**Dr. John Simba, OGW, MBS, EGH
(Group Chairman)**

Viongozi Wetu

Taarifa ya Mwenyekiti

Wenyehisa wenzangu,

Kwa niaba ya Bodi ya Wakurugenzi, nina furaha kubwa kuwawasilisha taarifa ya matokeo ya kifedha ya mwaka uliokamilika 31 Desemba 2021.

Mazingira ya kibiashara

Uchumi wa dunia ulikua kwa 5.5% mwaka 2021 ukilinganisha na kudorora kwa hali ya ukuaji wa uchumi kulikoshuhudiwa mwaka uliotangulia. Hili linatokana na kuanza kutolewa kwa chanjo mbalimbali za kukinga watu dhidi ya covid-19 ambazo zimesaidia sana katika kupunguza vifo vinavyotokana na virusi vya corona. Hii imewezesha kuondolewa kwa vikwazo vingi vilivyokuwa vimewekwa duniani vya kuzuia watu kusafiri na kutangamana katika maeneo ya kijamii na kibiashara. Matokeo yake mazuri yameshuhudiwa hapa nyumbani, na Kenya iliandikisha ukuaji wa 7.2% katika pato la taifa yaani GDP kwa mwaka huo.

Kuvurugika kwa mifumo ya kijami, kiserikali na kibiashara duniani kulikosababishwa na janga la ugonjwa wa corona kulichochea ubunifu na uvumbuzi na kulikuwa na ongezeko la huduma za kidijitali za kuboresha utoaji huduma, ikiwa ni pamoja na huduma za bima, zilizoinduliwa.

Humu nchini, kampuni za bima ziliwekeza zaidi katika kufanywa dijitali kwa huduma na shughuli ya utoaji bima kwa wateja. Mamlaka na vyama vya waajiri na wafanyakazi nao walitumia dijitali

kuhusiana na kuwasiliana na wadau wao wote.

Licha ya ukuaji wa uchumi ulioripotiwa, ukilinganisha na mwaka wa matokeo ya chini sana uliotangulia, changamoto kadha bado zilisalika. Masoko ya reja reja ndiyo yaliyoathiriwa zaidi ambapo watu wengi hawakuweza kujinunulia huduma za bima. Mipango ya bima ya uzeeni ya kampuni na mashirika nayo ililipa kiasi kidogo cha pesa kutokana na wafanyakazi waliokuwa kwenye mipango hiyo kupungua baada ya wengi kusimamishwa au kuachishwa kazi. Kiwango cha madai ya malipo ya bima kiliongezeka pakubwa nusu ya kwanza ya mwaka baada ya aina ya kirusi cha Covid-19 ya

KShs. 124 billion

mapato ghafi ya malipo ya bima, ambapo ni ongezeko la 21% ukilinganisha na mwaka uliotangulia na ni kuimarika pakubwa ukilinganisha na ukuaji wa 4.5% uliokuwa umeripotiwa katika mwaka uliotangulia.

Humu nchini, kampuni za bima ziliwekeza zaidi katika kufanywa dijitali kwa huduma na shughuli ya utoaji bima kwa wateja. Mamlaka na vyama vya waajiri na wafanyakazi nao walitumia dijitali kuhusiana na wadau wao wote.

alpha kusababisha ongezeko la vifo. Viwango vya watu kushindwa kulipa malipo ya bima vilipanda, na kulazimisha kiasi kikubwa cha pesa kutengewa malipo yasiyotimizwa wakati wa kuhesabu matokeo ya kifedha ya sekta hii.

Matokeo ya sekta

Biashara ya bima ya muda mfupi ndio iliyochangia zaidi jumla ya mapato ghafi yaliyotokana na malipo ya bima katika sekta hii, ambapo ilichangia 55% ya jumla ya mapato katika sekta hii.

Biashara ya bima ya kipindi kirefu ilichangia mapato ghafi ya malipo ya bima ya KShs. 124 bilioni, ambapo ni ongezeko la 21% ukilinganisha na mwaka uliotangulia na ni kuimarika pakubwa ukilinganisha na ukuaji wa 4.5% uliokuwa umeripotiwa katika mwaka uliotangulia. Jumla ya mali katika sekta hii iliongezeka kwa 13% hadi KShs. 565 bilioni.

Mapato ghafi kutokana na malipo ya bima kwa bima ya kipindi kifupi yalikuwa KShs. 152 bilioni ambazo ni ukuaji wa 16% ukilinganisha na mwaka uliotangulia, na ni kuimarika pakubwa ukilinganisha na kudorora kwa 0.2% mwaka uliotangulia kutokana na athari za janga la corona katika bima ya kipindi kifupi.

Chama cha Watoaji Bima Kenya (AKI) kimesisitiza kupitia mkakati wake kwamba sekta hii itaendelea kutilia mkazo kufanya mambo kuwa dijitali huku wadau katika sekta hii wakijizatiti kuongeza kiwango



Mapato ghafi kutokana na malipo ya bima kwa bima ya kipindi kifupi yalikuwa KShs. 152 bilioni ambazo ni ukuaji wa 16% ukilinganisha na mwaka uliotangulia, na ni kuimarika pakubwa ukilinganisha na kudorora kwa 0.2% mwaka uliotangulia kutokana na athari za janga la corona katika bima ya kipindi kifupi.



Biashara ilitumia busara katika usimamizi wa mtaji, huku matumizi ya dijitali na ustawishaji wa njia mpya ya utoaji huduma vikipewa kipaumbele kwa lengo la kupata fursa mpya za ukuaji.

cha watu waliojiwekea bima kutoka kiwango cha sasa cha 2.3% ambacho ni cha chini mno ukilinganisha na sekta nyingine za uchumi na katika masoko yaliyoendelea.

Licha ya kiwango cha kukumbatiwa kwa biwa kuwa cha chini, Mamlaka ya Usimamizi wa Bima imeendelea kuhusika katika kuwahamasisha wananchi kuhusu umuhimu wa bima kupitia warsha katika kaunti zote 47 nchini.

Wahudumu wapya wa bima walipewa leseni kufanya biashara, lakini muhimu zaidi ilikuwa ongezeko la kampuni za bima na teknolojia, kampuni za kuunganisha huduma mbalimbali, watangazaji wa huduma kwenye dijitali, na kampuni za mawasiliano ya simu zilizo na hamu ya kusambaza bidhaa na huduma za bima kwenye soko. Hii ni ishara ya imani ya wawekezaji katika uwezo wa sekta hii sokoni ambao unatiwa mkazo na hitaji halisi la bima.

Matokeo ya Sanlam Kenya

Biashara yetu iliendelea kuwa na ukakamavu licha ya changamoto zilizokuwepo katika mazingira ya kibiashara. Biashara ilitumia busara katika usimamizi wa mtaji, huku matumizi ya dijitali na ustawishaji wa njia mpya ya utoaji huduma vikipewa kipaumbele kwa lengo la kupata fursa mpya za ukuaji. Tuliingia kwenye ushirika mpya wa faida na kampuni mbalimbali.

Kundi letu liliandikisha Mapato Ghafi ya Malipo ya Bima ya KShs. 12 bilioni, ambapo ni ukuaji wa 38% ukilinganisha na KShs. 8.7 bilioni mwaka uliotangulia. Sanlam Life, biashara yetu tanzu ya bima ya kipindi kirefu ilipata ukuaji wa 41%

katika mapato yake hadi KShs. 7.4 bilioni. Sanlam General, kampuni tanzu ya bima ya kipindi kifupi nayo iliandikisha ukuaji wa 19% ukilinganisha na mwaka uliotangulia ambapo mapato yake ya bima yalifikia KShs. 4.7 bilioni.

Mazingira ya uendeshaji biashara yaliathiri faida ya Sanlam licha ya ukuaji wa mapato mwaka baada ya mwaka, zaidi ikiwa kuathiriwa kwa uwezo wa watu kulipa bima. Kiwango cha hasara nacho kiliongezeka kutokana na vifo vilivyotokana na Covid-19. Biashara ya kipindi kifupi ndiyo iliyoathiriwa zaidi, jambo lililochangia kutengwa kwa pesa nyingi za kulipa madai ya malipo ya bima na pia kufidia mapungufu watu wakishindwa kulipa malipo yao ya bima. Kutokana na hili, Sanlam General iliandikisha hasara ya KShs. 501 milioni baada ya ushuru. Sanlam Life upande ule mwingine iliandikisha matokeo ya kuridhisha, ambapo ilipata faida ya KShs. 642 milioni baada ya kulipa ushuru, ambao ni ukuaji wa 29% ukilinganisha na mwaka uliotangulia. Matokeo ya pamoja ya kampuni zote tanzu yalikuwa ni hasara ya baada ya ushuru ya KShs. 542 milioni, ambapo ni kuimarika ukilinganisha na mwaka uliotangulia

Kundi la Sanlam Kenya Plc litaendelea na safari yake ya ubunifu na uvumbuzi katika bidhaa na huduma zake, njia za usambazaji wa huduma, mifumo na mawasiliano.

ambapo kulikuwa na hasara ya KShs. 628 milioni. Mali ya jumla iliimarika kwa 12% hadi KShs. 34.7 bilioni.

Baada ya kuzingatia kujitolea kwa Kundi kuhakikisha ukuaji imara ya biashara ukisaidiwa na mipango mizuri ya biashara, Bodi ya Wakurugenzi iliidhinisha mkakati wa kibiashara uliofanyiwa mabadiliko unaotarajiwa kuhakikisha ukuaji mzuri wa biashara mwaka huu na miaka itakayofuata.

Mustakabali

Benki ya Dunia imeashiria kwamba huenda kiwango cha ukuaji wa uchumi wa dunia kilichokadiriwa kikapungua. Ukuaji wa uchumi wa dunia unatarajiwa kupunguza kasi ya ukuaji kutoka 5.7% mwaka 2021 hadi 2.9% mwaka 2022. Benki ya Dunia pia imelalamika kwamba “kuzidisha madhara yaliyosababishwa na janga la Covid-19, uvamizi wa Urusi nchini Ukraine umeathiri zaidi uchumi wa dunia, ambao unaingia katika kile ambacho huenda kikawa kipindi kirefu cha ukuaji hafifu na kupanda kwa mfumko wa bei za bidhaa na huduma”.

Sekta hii ni lazima itarajie changamoto zilizopo mbele na kujiandaa mapema.

Kundi la Sanlam Kenya Plc litaendelea na safari yake ya ubunifu na uvumbuzi katika bidhaa na huduma zake, njia za usambazaji wa huduma, mifumo na mawasiliano. Kwa hivyo, kuboresha uwezo wake wa kushughulikia mazingira ya kibiashara yanayobadilika kila uchao bila kuathiri ahadi yake kwa wadau wote. Utamaduni utaendelea kuwa nguzo muhimu, ambapo tunasisitiza matokeo ya juu, nao utawala bora utabaki kuwa eneo la kuboreshwa kila wakati kwa biashara yetu.



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The country set off on a recovery journey from the crippling effects of the COVID-19 pandemic. Global GDP recorded an accelerated growth of 5.5 percent compared to a contraction of 3.1 percent in 2020.

Dr. Patrick Tumbo,
Group CEO, Sanlam

Our Leadership

GCEO's Statement

Operating environment

The country set off on a recovery journey from the crippling effects of the COVID-19 pandemic. Global GDP recorded an accelerated growth of 5.5 percent compared to a contraction of 3.1 percent in 2020. Success was realized in mitigating the impacts of covid-19 as various vaccines were rolled out effectively helping contain fatality rates, consequently global supply chains were reactivated unlocking economic recovery in 2021. The Kenya economy started to recover as well and posted an estimated 7.2 percent GDP growth compared to a prior year's contraction of 0.3 percent.

The recovery process has not been entirely easy especially to the insurance industry as the impact of risks already crystallized is not expected to reverse immediately, but over a period.

The impact of industries shut down during the in-country and global lockdowns began to manifest in a variety of ways. Retail purchasing power declined because of staff layoffs and salary cuts, and this led to a decline in insurance service take up as well as significant counterparty default on premiums owed to the industry by its clients. Corporates were also affected as closure or scaling down of businesses led to lower insurance premiums being remitted to the insurance industry.

Humanity has responded as expected with resilience and during the period of covid disruption

the world witnessed a significant upsurge in the rate of innovations targeted at delivery of services to individuals, corporates, government, financial services, healthcare, and education sectors.

As the impacts of the pandemic from a fatality rate standpoint dissipates, a new global economic risk arising from the Russian incursion into Ukraine has emerged because of the associated disruption in global supply chains, especially food grain, oil, and gas.

KShs. 12 billion

Sanlam Kenya Plc reported Gross Premium Income representing a 38% improvement over the previous year's KShs. 8.7 billion.

Humanity has responded as expected with resilience and during the period of covid disruption the world witnessed a significant upsurge in the rate of innovations targeted at delivery of services to individuals, corporates, government, financial services, healthcare, and education sectors.

Performance

The Group made great strides in the year posting an improved performance overall compared to prior year. Sanlam Life improved and Sanlam General increased market share in each of their segments by 1.1% and 0.1% respectively.

Sanlam Kenya Plc reported a consolidated Gross Premium Income of KShs. 12 billion representing a 38% improvement over the previous year's KShs 8.7 billion. However, the earnings were a loss after tax of KShs. 542 million (restated 2020: loss after-tax of KShs 628 million). Total assets improved by 12% to KShs. 34.7 billion.

Sanlam Life Insurance recorded a Gross Premium Income of KShs. 7.4 billion which is a 41% growth over prior year. Profit after tax of KShs. 642 million (2020: KShs. 498 million) represents a 29% growth over the previous year.

Sanlam General Insurance reported a Gross Premium Income of KShs 4.9 billion representing a 19% growth over prior year. However, the business reported an after-tax loss of KShs. 501 million on account of prudent provisioning of claims reserves and insurance counterparty balances. A restatement was undertaken by the business to align the provisioning to the relevant accounting period (restated 2020: after-tax loss of KShs. 412 million). Subsequently, the business has received an additional capital injection of KShs. 1.085 billion



The Group made great strides in the year posting an improved performance overall compared to prior year. Sanlam Life improved and Sanlam General increased market share in each of their segments by 1.1% and 0.1% respectively.



A culture of customer centricism and robust controls will be emphasized with every effort made to achieve competitive Net Promoter Scores and sustaining an effective transacting environment.

to support its long-term growth aspirations.

Full Speed Ahead – 2022 Focus

The challenging operating environment provided an opportunity to reflect and give prominence to emerging social, economic and wellness issues that have in the past not received industry attention.

The impact of the pandemic has caused untold mental suffering to individuals because of the death of loved ones, isolation from social support systems during the lock down, anxiety about job loss and the physical manifestation of the disease post recovery. Staff were also affected in this regard. The business onboarded a 24-hour counselling service accessible to staff and will continue facilitating group mental health awareness workshops going forward.

The period under review also drew attention to the urgent need for all to conduct safe and sustainable business practices. Sanlam in this regard will continue investing in environmental, social and governance issues as it conducts business to deliver a truly sustainable result to all stakeholders.

The disruption highlighted the need for business to remain agile to accommodate volatility in the operating environment while delivering uninterrupted services and retaining a commercially viable posture. The Group has invested heavily in innovation with a view to continuously improving our customer value proposition, retaining relevance despite disruptions, and conferring economic value to our stakeholders.

As a business, we have taken cognizance of the rapid pace of technological changes and I am happy that we have kept with the pace through various digital initiatives underway in the business.

To resonate with client needs and increase insurance penetration in Kenya, Sanlam is committed to improving its product offering and digitizing its distribution channels, delivering services more effectively to the market. New strategic partners will be onboarded to increase penetration of insurance in different sectors. Strategic marketing will support awareness of insurance solutions to the market.

A culture of customer centricism and robust controls will be emphasized with every effort made to achieve competitive Net Promoter Scores and sustaining an effective transacting environment. Ongoing automation of key processes is expected to unlock further efficiencies going forward.

The insurance fraternity looks forward to the implementation of a new insurance accounting standard (IFRS 17) which will revolutionize insurance reporting. Sanlam is well prepared to transition by the effective date of 1 January 2023.



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**Nchi hii ilianza safari ya
kujikwamua kutoka kwa madhara
ya janga la ugonjwa wa Covid-19.
Uchumi wa dunia uliongeza
kasi ya ukuaji hadi asilimia 5.5
ukilinganisha na kudorora kwa
asilimia 3.1 mwaka 2020.**

**Dr. Patrick Tumbo,
Group CEO, Sanlam**

Viongozi Wetu

Taarifa ya GCEO

Mazingira ya kibiashara

Nchi hii ilianza safari ya kujikwamua kutoka kwa madhara ya janga la ugonjwa wa Covid-19. Uchumi wa dunia uliongeza kasi ya ukuaji hadi asilimia 5.5 ukilinganisha na kudorora kwa asilimia 3.1 mwaka 2020. Mafanikio yalipatikana na kupunguza athari za ugonjwa huo baada ya chanjo mbalimbali kuanza kutolewa na kusaidia kupunguza idadi ya vifo. Hatimaye mifumo ya uchumi duniani ilianza kufunguka na uchumi kuanza kuimarika mwaka 2021. Uchumi wa Kenya ulianza kuimarika pia na kuandikisha ukuaji wa Pato la Taifa yaani GDP wa asilimia 7.2 ukilinganisha na kudorora kwa uchumi kwa asilimia 0.3 mwaka uliotangulia.

Shughuli ya kujikwamua kwa uchumi haijakuwa rahisi hasa kwa sekta ya bima kwani madhara ya hatari zilizojitokeza hayatarajiwi kuisha mara moja, bali hili litachukua muda.

Madhara ya sekta zilizofungwa wakati zuiro la usafiri liliwekwa ndani ya nchi na duniani yalianza kujionyesha katika njia mbalimbali. Uwezo wa watu wa reja reja kununua bidhaa na huduma ulipungua kutokana na wafanyakazi kufutwa au kusimamishwa kazi. Pia mishahara ilipunguzwa. Hili lilisababisha kupungua kwa watu waliokuwa wanajiwekea bima na pia wengi wa waliotarajiwa kulipa malipo ya kila mwezi kwa kampuni za bima kushindwa kulipa. Kampuni na mashirika yaliathirika pia kwani kufungwa au kupunguzwa kwa shughuli za kibiashara kulisababisha kupungua kwa malipo

ya bima ya kila mwezi yaliyokuwa yanatolewa kwa sekta ya bima.

Binadamu walijibu changamoto hizi kwa ukakamavu kama ilivyotarajiwa. Katika kipindi cha mvurugiko uliosababishwa na virusi vya corona, ulimwengu ulishuhudia ongezeko la uvumbuzi uliolenga kuimarisha utoaji huduma kwa watu binafsi, mashirika, serikali na pia sekta za afya na elimu.

Huku athari za janga hili upande wa vifo zinapopungua, hatari nyingine kwa uchumi wa

KShs. 12 billion

Sanlam Kenya Plc iliandikisha kwa jumla Mapato Ghafi ya Malipo ya Bima ya KShs 12 bilioni likiwa ni ongezeko la 38% kutoka kwa KShs 8.7 bilioni mwaka uliotangulia.

Binadamu walijibu changamoto hizi kwa ukakamavu kama ilivyotarajiwa. Katika kipindi cha mvurugiko uliosababishwa na virusi vya corona, ulimwengu ulishuhudia ongezeko la uvumbuzi uliolenga kuimarisha utoaji huduma kwa watu binafsi, mashirika, serikali na pia sekta za afya na elimu.

dunia inayotokana na uvamizi wa Urusi nchini Ukraine imejitokeza kutokana na kuathiriwa kwa mfumo wa usambazaji bidhaa duniani, hasa nafaka, mafuta na gesi.

Matokeo

Kundi letu la kampuni lilipiga hatua mwaka huo na kuandikisha matokeo yaliyoimarika kwa jumla ukilinganisha na mwaka uliotangulia. Sanlam Life iliimarika na Sanlam General ikaongeza kiwango chake cha udhibiti wa soko kila moja katika soko husika kwa 1.1% na 0.1% mtawalia.

Sanlam Kenya Plc iliandikisha kwa jumla Mapato Ghafi ya Malipo ya Bima ya KShs 12 bilioni likiwa ni ongezeko la 38% kutoka kwa KShs 8.7 bilioni mwaka uliotangulia. Hata hivyo, mapato hayo yalikuwa ni hasara ya KShs 542 milioni baada ya kutozwa ushuru (mwaka 2020, iliyotangazwa upya: hasara baada ya ushuru ya KShs 628 milioni). Jumla ya mali iliongezeka kwa 12% hadi KShs 34.7 bilioni.

Sanlam Life Insurance iliandikisha Mapato Ghafi ya Malipo ya Bima ya KShs 7.4 bilioni ambayo ni ukuaji wa 41% kutoka kwa mwaka uliotangulia. Iliandikisha faida ya baada ya ushuru ya KShs. 642 milioni (2020: KShs. 498 milioni) ambayo ni kuimarika kwa 29% kutoka kwa mwaka uliotangulia.

Sanlam General Insurance ilipata Mapato Ghafi ya Malipo ya Bima ya KShs 4.9 bilioni ambayo ni sawa na ukuaji wa 19% kutoka kwa mwaka uliotangulia.



Kundi letu la kampuni lilipiga hatua mwaka huo na kuandikisha matokeo yaliyoimarika kwa jumla ukilinganisha na mwaka uliotangulia. Sanlam Life iliimarika na Sanlam General ikaongeza kiwango chake cha udhibiti wa soko kila moja katika soko husika kwa 1.1% na 0.1% mtawalia.



Utamaduni wa kuweka mteja mbele katika kila kitu na pia kuwa na mbinu bora za udhibiti vitasisitizwa katika kila juhudi tunazoziteka katika kuhakikisha tunakuwa na ushindani na kiwango chetu cha uwezekano wa wateja kutupendekeza kwa wengine kuongezeka.

Hata hivyo, biashara iliandikisha hasara ya KShs. 501 milioni baada ya ushuru kutokana na kutenga pesa za akiba za kushughulikia madai na malipo ya bima ambayo hayajatimizwa. Biashara ilichukua hatua kulainisha hesabu na kutengea fedha za akiba na za madai ambayo hayajatimizwa kwa kipindi husika (matokeo yaliyotangazwa upya ya 2020: hasara ya KShs. 412 milioni baada ya ushuru). Baada ya hayo, biashara imepokea mtaji wa ziada wa KShs 1.085 bilioni wa kusaidia kutimiza ndoto zake za ukuaji za muda mrefu.

Kusonga Mbele kwa Kazi – Kuangazia 2022

Mazingira ya uendeshaji biashara yaliyokuwa na changamoto yalitupatia fursa ya kutafakari na kuangazia masuala ibuka ya kijamii, kiuchumi na kiafya ambayo awali yalikuwa hayajaangaziwa na sekta hii.

Madhara ya janga la corona yamesababisha dhiki kiakili kwa watu binafsi kutokana na vifo vya wapendwa wao, kutengwa kutoka kwa mifumo ya kijamii inayotoa usaidizi hasa wakati wa zuio la watu kusafiri na kutangamana, wasiwasi wa kupoteza kazi na pia athari za ugonjwa wenyewe. Wafanyakazi wetu pia waliathiriwa na hili. Biashara yetu ilishirikiana na mtoaji huduma ya ushauri nasaha saa 24 kwa siku ambayo ambaye anaweza kutumiwa na wafanyakazi. Tutaendelea kufanikisha warsha za afya ya kiakili kwa makundi mbalimbali tukisonga mbele.

Tutahakikisha pia mazingira mazuri ya kuendeshea biashara. Kuanza kutumika kwa teknolojia na mashine katika shughuli muhimu kunatarajiwa kusaidia kuboresha zaidi utoaji huduma kwa gharama nafuu tunaposonga mbele.

Kipindi tunachokianguzia pia kiliibua haja ya dharura ya kujihusisha na shughuli salama na endelevu za kibiashara. Kuhusiana na hili, Sanlam itaendelea kuwekeza katika masuala ya kimazingira, kijamii na kiutawala inapoendesha shughuli ili kufanikisha matokeo endelevu kwa wadau wote.

Mvurugiko ulitokana na janga la corona ulidhihirisha haja ya biashara kuwa rahisi kubadilika kukumbatia mabadiliko katika mazingira ya uendeshaji biashara huku ikiendelea kutoa huduma bila kutatizika na kuendelea kuwa na faida. Kundi limewekeza sana katika ubunifu na uvumbuzi kwa lengo la kuendelea kuboresha bidhaa na huduma zetu kwa wateja, kusalia wa maana licha ya misukosuko inayotokea na kuendelea kutoa thamani ya kiuchumi kwa wadau wetu.

Ili kuendana na mahitaji ya wateja wetu na

kuendelea kupanua huduma zetu Kenya, Sanlam imejitolea kuboresha bidhaa na huduma zake na kutumia dijitali katika njia zake za kutoa huduma ili kutoa huduma bora sokoni. Washirika wapya wa kimkakati watashirikishwa ili kuongeza uwepo wa sekta ya bima katika sekta mbalimbali. Utangazaji na mauzo kwa njia ya kimkakati vitasaidia pia kutoa uhamasisho kuhusu huduma za bima sokoni.

Utamaduni wa kuweka mteja mbele katika kila kitu na pia kuwa na mbinu bora za udhibiti vitasisitizwa katika kila juhudi tunazoziteka katika kuhakikisha tunakuwa na ushindani na kiwango chetu cha uwezekano wa wateja kutupendekeza kwa wengine kuongezeka. Tutahakikisha pia mazingira mazuri ya kuendeshea biashara. Kuanza kutumika kwa teknolojia na mashine katika shughuli muhimu kunatarajiwa kusaidia kuboresha zaidi utoaji huduma kwa gharama nafuu tunaposonga mbele.

Wadau katika sekta ya bima wanatarajia pia kwa hamu kutekelezwa kwa viwango vipya vya utoaji wa ripoti za kifedha za bima nambari (IFRS 17) ambavyo vitabadilisha sana jinsi ripoti za kifedha zinavyoandaliwa katika sekta ya bima. Sanlam imejiandaa kabisa kuhamia mfumo huo ifikapo tarehe ya kuanza kutekelezwa 1 Januari 2023.



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Notice of the Annual General Meeting

NOTICE IS HEREBY GIVEN that the 76th Annual General Meeting of the Company will be held via electronic communication on Monday 27th June 2022 at 11.00am to conduct the business detailed below:

AGENDA

1. To table the proxies and note the presence of a Quorum.
2. To read the Notice convening the meeting.
3. To confirm the minutes of the previous Annual General Meeting held on 3rd June 2021.
4. To consider, and if approved, adopt the Balance Sheet and Accounts for the year ended 31 December 2021 together with the reports of the Chairman, the Group Chief Executive, the Directors, the Auditor and the Statutory Actuary.
5. To note that the Directors do not recommend the payment of Dividend for the financial year ended 31 December 2021.
6. To elect Directors:
 - 6.1 Dr Grace Mwai, retires by rotation in accordance with the Company's Articles of Association and offers herself up for re-election.
 - 6.2 Mrs Rose Agutu retires by rotation in accordance with the Company's Articles of Association and she offers herself for re-election.
 - 6.3 Dr Tobias Doyer, who was appointed a director on 29th March 2022 retires, this being the first Annual General Meeting to be held since his appointment and being eligible, offers himself for re-election.
7. In accordance with the provisions of Section 769 of the Companies Act, 2015 the following Directors, being members of the Audit, Actuarial, Risk and Compliance Committee be elected to continue serving as members of the Committee:
 - a) Freda Britz (Chairperson)
 - b) Nelius Bezuidenhout
 - c) Cornie Foord
 - d) Rose Agutu
8. To approve the Directors' remuneration.
9. To note that the auditors, KPMG Kenya, will continue in office in accordance with Section 721(2) of the Companies Act No. 17 of 2015 until the conclusion of the next Annual General Meeting and to authorise the Directors to fix their remuneration.
10. To transact any other business with the permission of the Chair for which 48 hours notice had been given to the Group Company Secretary at the registered office of the Company.

By Order of the Board



Emma Wachira
Group Company Secretary
Date: 27th May 2022

Note:

1. Shareholders wishing to participate in the meeting should register for the AGM by doing the following:
 - i. Dialling *483*881# for all networks and follow the various prompts regarding the registration process; or
 - ii. Sending an email request to be registered to sanlamagm@image.co.ke; or
 - iii. Shareholders with email addresses will receive a registration link via email through which they can use to register.

In order to complete the registration process, shareholders will need to have their ID/Passport Numbers which were used to purchase their shares and their CDSC Account Number at hand. For assistance shareholders should dial the following helpline number: +254 709 170 000 from 9:00am to 4:00pm from Monday to Friday. Any shareholder outside Kenya should dial the helpline number to be assisted to register.

2. Registration for the AGM opens on 31st May 2022 at 9:00am and will close on 25th June 2022 at 4.00pm. Shareholders will not be able to register after 25th June 2022 at 4.00pm.
3. In accordance with Section 283 (2) (c) of the Companies Act, the following documents may be viewed on the Company's website <https://www.sanlam.com/kenya> (i) a copy of this Notice and the proxy form; (ii) the Company's audited financial statements for the year ended 2021.

The reports may also be accessed upon request by dialling the USSD code above and selecting the Reports option. The reports and agenda can also be accessed on the livestream link.

4. A shareholder entitled to attend and vote at the meeting and who is unable to attend electronically is still entitled to appoint a proxy to attend and vote on his behalf. A proxy needs not be a shareholder of the Company. To be valid, a proxy form, which is available from the Company's head office or the Share Registrar's offices, must be completed and signed by the shareholder or the duly authorised attorney of the shareholder and must be either emailed to sanlamagm@image.co.ke or lodged at the offices of the Company's Share Registrar's Image Registrars, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street, Kenya so as to arrive not later than 11.00am on 25th June 2022. A proxy form is attached to this Notice [and is available on the Company's website via this link: <https://www.sanlam.com/kenya>]. Physical copies of the proxy form are also available at the following address: Image Registrars Limited offices, 5th Floor Absa Towers (formerly Barclays Plaza), Loita Street.
5. Any person appointed as a proxy should submit his/her mobile telephone number to the Image Registrars no later than 25th June 2022 at 11.00a.m. Any proxy registration that is rejected will be communicated to the shareholder concerned no later than 26th June 2022 at 11.00am to allow time to address any issues.

6. Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by:
 - a. sending their written questions by email to agm@sanlam.co.ke;
 - b. shareholders who will have registered to participate in the meeting shall be able to ask questions via sms by dialling the USSD code above and selecting the option (ask Question) on the prompts; or
 - c. to the extent possible, physically delivering their written questions with a return email address to the registered office of the Company at Sanlam Tower, 15th Floor, Waiyaki Way, Westlands, Nairobi, or to Image Registrars offices at 5th floor, Absa Towers (formerly Barclays Plaza), Loita Street; or
 - d. sending their written questions with a return email address by registered post to the Company's address at P. O. Box 10493-00100 Nairobi.

Shareholders must provide their full details (full names, ID/Passport Number/CDSC Account Number) when submitting their questions and clarifications.

7. All questions and clarification must reach the Company on or before 25th June 2022 at 4.00pm. All questions received will be responded to via SMS and email. Responses to the common questions will also be addressed at the AGM.

A full list of all questions received and the answers thereto will be published on the Company's website within 24 hours following the conclusion of the meeting.

8. The AGM will be streamed live via a link, which shall be provided to all shareholders who will have registered to participate in the AGM.
9. Duly registered shareholders and proxies will receive a short message service (SMS) prompt on their registered mobile numbers, 24 hours prior to the AGM acting as a reminder of the AGM. A second SMS prompt shall be sent one hour ahead of the AGM, reminding duly registered shareholders and proxies that the AGM will begin in an hours' time and providing a link to the livestream.
10. Duly registered shareholders and proxies may follow the proceedings of the AGM using the livestream platform and may access the agenda, ask a question, propose and second resolutions and vote via the VOTE tab on the livestream link. Duly registered shareholders and proxies may vote via the USSD prompts.
11. Results of the AGM shall be published on the Company's website <https://www.sanlam.com/kenya> within 24 hours following conclusion of the AGM
12. Shareholders are encouraged to continuously monitor the Company's website <https://www.sanlam.com/kenya> for any updates relating to the AGM.

A woman with dark hair, wearing a white high-necked dress, is looking upwards and to the left. The background is a blurred, dark blue-grey industrial or architectural setting. Overlaid on the right side of the image is the word 'CONF' in large, bold, blue capital letters.

CONF

The

CONFIDENCE;

Game Changer

CORPORATE GOVERNANCE

Statement on Corporate Governance for the year ended 31st December 2021

Statement of Directors' Responsibilities

The Kenya Companies Act, 2015 requires Directors to act in good faith, to promote the success of the Company for the benefit of all its stakeholders and to avoid conflict between their personal interest and those of the Company, always acting in the best interest of the company.

The Code of Corporate Governance for Issuers of Securities to the Public, 2015 ('the Code') requires listed companies to engage the services of an independent and accredited Governance Auditor to establish the extent to which the Board has implemented the Corporate Governance principles. The Code requires that after undergoing the Governance Audit, the Directors should provide an explicit statement on the level of compliance.

The Directors are responsible for putting in place governance structures and systems that support the practise of good governance in accordance with best practise, the requirements of the Kenya Companies Act, the Code and the Governance Audit Tool developed by the Institute of Certified Secretaries (ICS). The responsibility includes planning, designing and maintaining governance structures that ensure effective leadership and strategic management, transparency and disclosure, compliance with laws and regulations, communication with stakeholders, Board independence and governance, Board systems and procedures, consistent shareholder and stakeholders' value enhancement and corporate social responsibility and investment.

The Directors also accept responsibility for putting in place an effective and efficient Management Team and effective internal control and risk governance systems that are designed to promote good governance practise.

The Directors accept that the Independent Governance Audit does not relieve them of their responsibilities. The Directors are not aware of any material governance issues that may adversely impact the operations of the Company.

As required by the Code therefore, the Directors commissioned a Governance Audit for the year ended 31st December 2021 with the aim of ensuring that the Company has complied with the Act, the Code and adopted best practises in Corporate Governance in order to deliver long term value to the stakeholders.

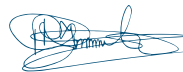
The Directors have adopted this Governance Audit report for the year ended 31st December 2021, which discloses the state of Governance within the Company.

Adoption of the Governance Audit Report

The Governance Audit Report was adopted by the Board of Directors on 25th March 2021



Dr John PN Simba
Chairman



Dr Patrick Tumbo
Group Chief Executive Officer

Board Leadership & Responsibilities

Statement of Commitment and Compliance on Corporate Governance Practises

Corporate Governance refers to the practises and procedures that govern the leadership of Sanlam Kenya PLC (Sanlam or the Company) and through which the Company is held accountable by shareholders. In 2021, the Board of Directors of Sanlam Kenya PLC and its subsidiaries (the Group) continued to implement its strategic vision of being a leading Insurer in Kenya, which remained focused on sound corporate governance practises that maximise shareholder value, increase profitability and guarantee a sustainable business in the long run. The corporate governance principles continue to be entrenched in the Company's strategic and operational objectives with a focus of revitalising and accelerating growth in value for the benefit of all our stakeholders.

The Group ascribes to its governance framework, which provides a solid structure for effective and responsible decision making within the organisation in compliance with the Companies Act, 2015, the Capital Markets Act, Cap 485A, and the Capital Markets Authority (CMA) Code of Corporate Governance Practises for Issuers of Securities to the Public 2015 (the Code) and the stringent standards of corporate governance prescribed in the Company's Board Charter as well as the Company's Articles of Association.

Leadership and Responsibilities

Board Leadership

The Board of Directors is responsible for providing strategic leadership to the Company. According to the Company's Corporate Governance Guidelines, the Board is responsible for formulating the Company's policies and strategies and ensuring that business objectives, aimed at promoting and protecting shareholder value, are achieved. In doing so, the board takes cognisance of the impact of its decisions in the long term, the interests of its employees, the need to forge and foster good relationships with diverse stakeholder's including customers and suppliers and the impact of the Company's operations to the society.

In the year ended 31 December 2021, the Company endeavoured to comply with the Capital Markets Authority (CMA) Code of Corporate Governance Practises for Issuers of Securities to the Public 2015 (the 'Code'); and the implementation of the Code is as detailed in this report.

In carrying out the above responsibilities, the Board delegates its authority to the Group Chief Executive Officer to oversee the day-to-day business operations of the Company and its subsidiaries. The Board also calls upon independent expert advisor's where necessary to carry out such work as deemed necessary.

Board Composition and Independence

In the year ended 2021, the Board composition comprised of nine directors namely: the Chairman, the Group Chief Executive Officer (as the only Executive Director), four non- executive directors representing the interests of the two main shareholders and three independent non- executive directors. Gender parity is ensured in the Board composition. The table below shows the current members of the Board of Directors:

Name	Industry & Professional Experience	Role
Dr. John P. N. Simba	Legal, Strategy, Leadership, Corporate Governance and ethics	Board Chairman & Non- Executive Director
Dr Patrick Tumbo	Insurance, Strategy, Management	Group Chief Executive Officer & Executive Director
Julius Nyakia Magabe	Insurance and Risk Management	Non- Executive Director
Rohan Patel	Management, Real Estate, Hotel Development & Investment	Non- Executive Director
Freda Britz	Accounting and Management	Independent & Non- Executive Director
Nelius Bezuidenhout	Actuarial, Financial Consulting and Management	Non- Executive Director
Cornie Foord	Operations, Accounting and Management	Non- Executive Director
Rose Agutu	Banking	Independent & Non- Executive Director
Dr Grace Mwai	Compliance and Program Management	Independent & Non- Executive Director

Board Leadership & Responsibilities - continued

Changes to the Board

In the year ended 31st December 2021, Mrs Susan Mudhune resigned as a Non-Executive Director.

Re-election to the Board

In accordance with the provisions of the Company's Articles of Association, a third of the Board of Directors retires by rotation every three years and the directors are eligible to offer themselves for re-election. Every year, new directors who are appointed during the year to fill any casual vacancies, are subject to election by the shareholders during the Annual General Meeting and thereafter offer themselves for re-election every three years.

The following members of the Board, retire by rotation in accordance with the Articles of association and offer themselves are eligible for re-election at the 2022 AGM:

- a) Mrs Rose Agutu
- b) Dr Grace Mwai
- c) Dr Tobias Doyer; this being his first AGM since his appointment

Board Programme

The Company's annual Board programme is designed to enable the Board to drive the strategy forward across all elements of the company's business model. The Board thus meets quarterly or more often, in accordance with the requirements of the business. The Board's work plan and calendar of meetings are prepared annually in advance. Adequate notice is given for meetings. The agenda and board papers are circulated at least seven days before the meeting. The Board receives reports from the various Chairpersons of the respective Board Committees.

The Role of the Board

The Company's Articles of Association and the Board Charter enumerate responsibilities of the Directors, which include strategy, capital and liquidity

management, review and approval of financial results, board administration and governance. The Board is collectively responsible for the Company's vision, values, strategic direction and governance. The Board provides the leadership and oversight for the performance of the business and sustainability into the future.

Firstly, the boards responsibility in strategy involves monitoring the Company's performance against clearly defined measures agreed on between the board and management as well as the approval of major acquisitions and disposals and approvals of major capital projects. The Board also approves the Group's annual budget as recommended by the Audit, Risk, Actuarial and Compliance Committee. The Board ensures that the requisite financial and human capital resources are available.

Secondly, the Board is responsible for monitoring the capital and liquidity requirements vis-a-vis the statutory requirements. The Board is also charged with the review and approval of half yearly and yearly financial results prior to subsequent dissemination to shareholders. The Board recommends the interim and final dividends to shareholders for approval.

Thirdly, the Board is responsible for ensuring that an appropriate Enterprise Risk Management Framework and appropriate internal control systems are in place. In addition, the Board is charged with the responsibility of establishing the Governance Framework in the following respects: Approving company policies; setting the terms of reference for board committees and determining the composition of board committees; conducting board evaluations; maintaining board succession; reviewing risk management and internal controls among others.

In dispensing its duties, the Board requires each Director to observe a code of ethical conduct aligned to his/her duties and responsibilities to the Group and shareholders, and act within limitations as defined in the Board Charter while observing principles of good corporate governance. Each Director commits to

Board Leadership & Responsibilities - continued

uphold and promote effective and responsible use of resources and undertakes to act in good faith, with care and prudence in the best interests of the Group while exercising his/her power and executing his/her duties.

2021 Board Attendance Register

Name	Meetings Attended
Dr. John P. N. Simba	4/4
Dr Patrick Tumbo	4/4
Julius Nyakia Magabe	4/4
Rohan Patel	4/4
Susan Mudhune	2/2
Freda Britz	4/4
Nelius Bezuidenhout	3/4
Cornelius Foord	4/4
Dr Grace Mwai	4/4
Rose Agutu	4/4

Board Effectiveness

Division of Responsibilities

The roles of the Board Chairman and the Group Chief Executive Officer are separate with each having distinct and clearly spelt out responsibilities and duties.

The Chairman is responsible for the overall leadership of the Board and ensuring its effectiveness. The Chairman is also responsible for ensuring that the interests of the Company's shareholders are safeguarded. The Chairman is also accountable to the Board for leading the direction of the Company's corporate and financial strategies and for the overall supervision of the policies governing the conduct of the business. The Chairman is responsible for ensuring that the interests of the Company's shareholders are safeguarded and effective communication is provided to them.

The Group Chief Executive Officer, an executive director, has the overall responsibility for the performance of the Group and provides leadership to facilitate successful planning and execution of the objectives and strategies agreed upon by the Board. Together with the Chairman, he is the representative of the Company externally.

Balance and Diversity

The directors come from broad industry and professional backgrounds, with varied experience and expertise aligned to the needs of the business. The Board of Directors brings with it an assorted mix of skills with backgrounds in Legal, Actuarial, Finance, Corporate Development, Engineering, Banking.

At Sanlam, the Board take cognisance of gender inclusion and its commitment to a diverse and inclusive culture continues to evolve as is evidenced by our Directorship, which has diversified gender representation through an increase to four female directors from one female director in previous years.

The Board appreciates that promoting a diverse and inclusive culture is critical to the success of a business and strives for inclusion in professions, skills, race, gender, age and geographic representation to ensure board deliberations are balanced and rich as a result of multi-cultural and international influences. The Board has also promoted and supports gender diversity in the senior management roles.

Director's Conflict of Interest

The Board has put in place a Conflict of Interest Policy in compliance with the provisions of the Companies Act, 2015 and the CMA Code of Governance Practises for Issuers of Securities to the Public 2015. Directors are obligated to disclose to the Board any potential conflict of interest, which comes to their attention, whether direct or indirect, real or perceived. The statutory duty to avoid situations in which they have or may have interests that conflict with those of the Group has been observed by the Board. All business transactions with all parties, directors or related parties are carried out at arms' length. An acknowledgement that should come to the attention of a Director that a matter concerning the Group may result in a conflict of interest, obligates him/her to declare it and exclude himself/herself from any discussion or decision on the matter.

At every Board Meeting, the Declaration of Conflicts of Interests is the first agenda item, which requires Directors to make a declaration of any interest they may have in the business under discussion. Such declarations are recorded by the Company Secretary. Directors who have an interest in any discussion item are excluded from discussion and voting on the item.

In 2021, no material conflict of interests were reported by the Directors.

A report on related party transaction is tabled for the Board's review half-yearly.

Board Information

The Board receives top quality up-to-date information for review in good time ahead of each meeting. The Group Company Secretary ensures timely information dissemination to the Board and its committees and between the Non-Executive Directors and senior management as appropriate. Dissemination of Board and Committee Packs, together with the conduct of Board meetings is done electronically.

Board Induction, Training and Professional Development

The Board has put in place a Board Induction Policy and framework. Each new Director receives a full induction on appointment. This induction includes a full programme of briefings on all areas of the Company's business from the Company

Board Effectiveness - continued

Secretary, CEOs and Senior Management. The induction is aimed at enabling the new directors to fully take up their roles and execute their responsibilities.

The Board and its committees also receive quarterly updates on legal and regulatory developments with particular emphasis on regulations that directly impact the Group; and the Group's operations preparedness to comply with the new legislation.

In pursuit of continuous professional development in 2021, the Directors received training in professionally linked continuous development programmes. All the Directors have attended and received Certifications from the Centre for Corporate Governance.

Sustainability

The Board places considerable emphasis on the need for the business to be sustainable for the long term, to meet the expectation of stakeholders and inform the Group's commitment to society. In 2021, the Board continuously engaged in the following activities in an effort to promote sustainability:

- Monitoring compliance of the Company's standards in business conduct and internal controls;
- Reviewing the Company's regulatory strategy in the context of the current regulatory landscape.

The Board has developed and adopted a Business Continuity Plan and a Disaster Recovery Plan. During the financial year 2021 pandemic, a Crisis Management Team was constituted and rolled out various streams of the Business Continuity Plan to ensure that business operations continued uninterrupted.

Executive Committee (ExCo)

The Group Chief Executive Officer and Senior Management make up the Executive Committee (ExCo). This Committee serves as a link between the Board and Management and is responsible for the day-to-day management of the Company and its operating subsidiaries. In so doing, it oversees the implementation of the strategy and policies set by the Board.

ExCo's mandate and responsibility is implementing the Board's decisions, compliance with the statutory and regulatory framework, and guidelines and adherence to Group policies and procedures. Its meetings are convened on a monthly basis.

Shareholder and Stakeholder Engagement

The Board delights in opportunities to engage with its shareholders and provides avenues for shareholder participation. The Annual General Meeting (AGM) presents such an opportunity to the Board. At the AGM, the Chairman and Group Chief Executive Officer present the Company's performance and answer any questions from shareholders.

The advance issuance of the AGM Notice as provided for in the Kenyan Companies Act also gives shareholders an opportunity to place items on the Agenda by submitting questions and appoint proxies to represent them where they are unable to attend.

Sanlam Kenya Plc held its second virtual AGM on 3rd June 2021, and it saw a high shareholder attendance from all over the world electronically. Shareholders were given an opportunity to submit their queries beforehand either electronically or via text, which were addressed at the meeting. Shareholders were also given an opportunity to dial into the meeting and raise queries, which were also addressed. Shareholders participated in voting for the resolutions via their mobile phones. The Polling Results and the Resolutions that were approved were published on the company's website.

The Board also informs its shareholders about the performance of the Group through the issuance of Annual Reports and half yearly publications of its financial performance in Daily Newspapers, which are also available on the Group's website www.sanlam.com/kenya.

In addition, the Board communicates to shareholders through various media including the company's website, public announcements, media releases, financial statements, and direct correspondence.

Board Effectiveness - continued

The Board has put in place a **Shareholders Framework**, which enshrines the equitable treatment of all shareholders whilst protecting their rights. The Framework is available to all shareholders through the website.

The Group has put in place a **Stakeholder Management Policy** that identifies all its stakeholders, maps out areas of interaction and sets out mechanisms to support constructive engagement with different stakeholder groups. The stakeholder management policy provides that decision-making must follow a *stakeholder-inclusive approach* and Sanlam must be able to account for all outcomes and impacts, which is evident in its reporting.

Group Company Secretary

The Group Company Secretary, a member of the Institute of Certified Secretaries of Kenya (ICPSK), plays the critical role of co-ordinating the activities of the Board and Board Committees and is the primary liaison in the flow of information between Management and the Board. Each Director has direct access to the Group Company Secretary. The Group Company Secretary in liaison with the Board Chairman is responsible for the development and implementation of the Corporate Governance Code and regularly updates the Board members of their obligations under the referenced code.

Board Evaluations

Board Evaluations of the Board, Committees, Peer, Group Chief Executive Officer and Group Company Secretary were conducted for the period January 1, 2021 to December 31, 2021 as prescribed in the Code of Corporate Governance Practises for Issuers of Securities to the Public, 2015. The findings of the evaluation exercise are presented to the Board through the Chairman. The evaluations are conducted electronically.

Statement on Insider Trading

As a listed Company Sanlam Kenya Plc must comply with the Regulations relating to Insider Trading and ensure that Directors, employees or their relations do not abuse insider information or place themselves in situations where they are suspected of abusing insider information for personal gain; especially in periods preceding the release of sensitive information to the public.

The Board has developed an Insider Trading Policy, which sets out the procedures and guidelines with respect to transactions in the SKP's securities, the protection of Insider Information and the standard of conduct expected of the directors, officers, employees and their relations.

The Company has two closed periods during the year; immediately preceding the release of the half yearly and annual financial results.

No incidents of insider trading were reported in the year ended 31st December 2021.

Compliance with Applicable Laws and Regulations

The Group complies with the Constitution of Kenya, various applicable laws and regulations and various Policies.

The Board has approved Compliance Universe, which comprises of a list of the applicable laws and regulations together with the respective compliance risk management plans (CRMPs) for all core legislations in the business.

The Board has approved a compliance policy and manual, which clearly sets out the principles and standards for managing compliance risk, culture, responsibilities, reporting framework and breaches as relates to Sanlam.

The Board regularly and continuously monitors the Group's compliance through the Compliance Report that is tabled at quarterly Board Audit Committee meetings.

An internal legal and compliance audit conducted in compliance with the Code, in order to establish the Group's adherence to applicable laws, regulations and standards, confirmed that the Group was in compliance with applicable laws, regulations and Guidelines.

Enterprise Risk Management

The Board has approved an Enterprise Risk Management (ERM) Framework. The ERM Framework is a high level over-arching framework aimed at ensuring that:

- All risks that could jeopardise/enhance achievement of Sanlam Kenya's

Board Effectiveness - continued

strategic goals will be identified;

- Appropriate structures, policies, procedures and practises are in place to manage these risks. ERM also requires Sanlam Kenya to take a portfolio view of risk;
- Sufficient organisational resources are applied to, and corporate culture is fully supportive of, the effective implementation of these structures, policies, procedures and practises; and that
- Sanlam's risks are indeed being managed in accordance with the foregoing.

The ERM deals with risks and opportunities affecting value creation of a company and involves a pro-active, holistic enterprise, wide view of all risks and their associated risk appetite and tolerance to ensure they are fully aligned with the Sanlam Kenya Group's objectives and strategies and reflects the quality, competencies and capacity of people, technology and capital and provides tools to rationalise risk management activities.

The Board reviews and approves the Risk Appetite Statements half yearly at the Board Audit Committee meetings.

The Board, through the recommendation of the Board Audit Committee, completed its annual review of the effectiveness of the enterprise risk management framework for the one year period from 01 January 2021 to 31 December 2021 and confirmed that no significant failings or weaknesses were identified.

Governance Policies

Board Charter

The Board's activities are regulated by the provisions of the Board Charter, which is reviewed annually with the latest review being conducted on 25th March 2021. The Charter sets out the responsibilities of the Board, which include, among others:

- i. Sets out the frequency of board meetings to at least one meeting every three months. The Board is however mandated to hold meetings of the board as frequently as the board considers appropriate;
- ii. Conduct of board meetings and procedures, and the nomination, appointment, induction, training, remuneration and evaluation of members of the Board;
- iii. Powers delegated to the Board committees;
- iv. Policies and practises of the Board on matters of corporate governance, directors' declarations and conflict of interest;
- v. Distinguishes the responsibilities of the board from management;
- vi. Distinguishes the roles of the Chairman and Chief Executive Officer as separate roles;

The Board Charter also comprises a Work Plan setting out the schedule of Board meetings and the main business to be dealt with at those meetings.

Board Policies in Place

In the year 2021, the Group continued to adhere to the following policies as approved by the board:

- i. **Corporate Governance Policy:** The Policy outlines the governance framework that provides a solid structure for effective and responsible decision making within the organisation in compliance with the Companies Act, 2015, the Capital Markets Act, Cap 485A, and the Capital Markets Authority (CMA) Code of Corporate Governance Practises for Issuers of Securities to the Public 2015 (the Code) and the stringent standards of corporate governance prescribed in the Group's Board Charter as well as the Company's Articles of Association.
- ii. **Conflict of Interest Policy:** This policy outlines the conduct of directors and management and bars their engagement directly or indirectly to any business activity that competes or conflicts with the Company's interest or those of its clients unless fully disclosed. All Directors are required to disclose to the company secretary any real or perceived conflicts on appointment, annually and on an ongoing basis of any circumstance, which may give rise to any actual or potential conflict of interest with their roles as Directors.

- iii. **Code of Ethics:** This outlines the ethical principles that are designed to prevent employees and Directors from engaging in activities that would compromise the Group's integrity, respect for diversity, impartiality or reputation.
- iv. **Gift Policy:** This outlines the policy on receipt and issue of gifts by employees and is designed to prevent the unfair granting of a gift or favour. This is in line with the Bribery Act No. 47 of 2016, as well as the Anti-Corruption and Economic Crimes Act, 2003.
- v. **Financial Crime Combating Policy:** This outlines the guidelines of combating financial crime and unlawful conduct. This policy is in line with the provisions of the Proceeds of Crime and Anti-Money Laundering Act (POCAMLA) and the Capital Markets Authority Guidelines on the Prevention of Money Laundering and Terrorism Financing in the Capital Markets. In addition, the Company upholds a Zero Tolerance Approach, which stipulates zero tolerance to financial crimes and unlawful conduct. It further outlines consequences of committing a financial crime and/or unlawful act.
- vi. **Procurement Policy:** Sanlam maintains a procurement policy that governs the procurement of goods and services. This policy and related procedures are necessary to ensure that procurement is able to generate value in the acquisition of goods and services while satisfying the needs of the business. The policy ensures that the most appropriate and effective controls are applied in the purchase of goods and services for the company's needs.
- vii. **Whistle blowing policy:** Sanlam maintains a whistle blowing policy (enshrined in the staff handbook) that provides a platform for employees to raise concerns regarding any wrong doing, and the policy details how such concerns are addressed.
- viii. **Insider Trading Policy:** The policy aims to promote compliance with applicable securities laws by the Nairobi Securities Exchange Limited and all directors, officers and employees thereof, in order to preserve the reputation and integrity of Sanlam Kenya Plc as well as that of all persons affiliated with it. The Policy sets out the procedures and guidelines with respect to transactions in the SKP's securities, the protection of Insider Information and the standard of conduct expected of SKP's directors, officers and employees in this highly sensitive area. It calls for personal obligation and responsibility from each director, officer or employee to act in a manner consistent with this Policy.
- ix. **Board Dispute Resolution Policy:** The policy sets out the processes for

Governance Policies - continued

dispute resolution or grievances in the Board in order to reach a prompt and fair resolution in any dispute, conflict, or disagreement that may arise from time to time, and that may threaten the functioning of the board; in compliance with the Code.

- x. **Board Induction Policy:** The policy sets out the induction framework for new directors upon their appointment to the Board.
- xi. **Board Remuneration Policy:** The policy establishes the formal and transparent remuneration policies and procedures in compliance with the Code.
- xii. **ICT Policy:** The Group has put in place a comprehensive policy on its information technology in compliance with the Code. The Policy's objectives are to protect the Company's investment in information technology infrastructure (including IT equipment, mobile facilities, data/ telecommunications networks and software) and to maintain the highest standards of cyber security, while protecting the Company's confidential and sensitive information. The policy aims to facilitate ease of use of IT systems by staff, business partners and other stakeholders while mandating the responsible use of IT systems.
- xiii. **Schedule of Offences:** This defines the different instances of unlawful conduct and the respective sanctions.

The Group also continues to inculcate and cascade the corporate culture of "The Sanlam Way" in line with the Mission and Vision and which is driven by four key principles:

- i. We are determined and resolute;
- ii. We are solid and sensible;
- iii. We do it very, very well; and
- iv. We do it for good.

Code of Conduct

At Sanlam, good corporate governance is engrained as a valuable contributor to long-term success of the Company through the creation of the right culture within the organisation. The Sanlam Code of Conduct continues to be in place and is geared towards inculcating a culture of Professionalism, Integrity, and Customer-centric wealth creation in line with the Group's Vision and Mission Statements.

The Group conducts its business in compliance with legal principles and high ethical standards of business practise. The Board, Management and employees are required to observe the code of ethics and high standards of integrity. Further, these standards are applied in all dealings with customers, suppliers and other stakeholders.

Insider Trading

As a listed entity, Directors and Employees of Sanlam are required under the Capital Markets Act, Cap 485A not to abuse or place themselves under suspicion of abusing insider information that they have or ought to have, particularly in periods leading up to release of material non-public information. In compliance with the above mentioned Act and the Nairobi Securities Exchange's regulations on prevention of insider trading, the Group's policy is that directors, management, staff members, or any of their relatives and associates, or any of the companies/ businesses/ organisations that exercise significant influence over the Group are not allowed to deal in the Group's shares during the closed season. The closed season is the period preceding the release of any material, non-public information to the market, and includes, but is not limited to, the end of the Group's reporting period and the publication of financial results.

To ensure compliance with prevention of insider dealing requirements, the Company communicates "Open" and "Closed" periods for trading in its shares to its employees and directors on a case-by-case basis. To the best of the Company's knowledge, there was no insider dealing at Sanlam Kenya for the financial year 2021. The Group Company Secretary always advises the directors, management and staff of the closed season to avert any incidence of insider trading.

Board Committees

To help the Board to better discharge its responsibilities, the Board has constituted several Board Committees, to which it has delegated responsibilities, comprising of a balanced mix of independent and non-executive directors.

Executive management and Group consultants, experts and service providers are on occasion invited to the Board as circumstances dictate to provide their expertise.

Each Committee is governed by its respective Committee Charter, which defines its Terms of Reference; including provisions relating to the powers delegated by the Board to each Committee, membership of the Committee and the Committee's mandate, authorities and duties as well as working processes. The Charters are reviewed annually by the respective Committees and the Board.

Annual Evaluation reviews of each Committee are carried out and presented to the Board. At every quarter, the Chairperson of each Committee presents a report on the discussions held at the Committee meeting and seeks the Board's ratification for any decisions made.

The Board has three committees as follows:

Audit, Actuarial, Risk and Compliance Committee

Attendance at Meetings in 2021

The members of the Committee, and their attendance to the four meetings held in the year 2021 were as follows:

Table 1: Audit, Actuarial, Risk and Compliance Committee Membership and Attendance 2021

	Member	Directorship Status	Number of Meetings scheduled in 2021
1	Freda Britz (ChairPerson)	Independent & Non-Executive	4/4
2	Julius Magabe	Non-Executive	4/4

	Member	Directorship Status	Number of Meetings scheduled in 2021
3.	Rose Agutu	Independent & Non-Executive	4/4
4	Cornie Foord	Non-Executive Director	4/4
5	Nelius Bezuidenhout	Non-Executive Director	4/4

Mandate and Role of the Audit, Actuarial, Risk and Compliance Committee

The Audit, Risk & Compliance Committee's duties are based on six broad functions namely the Internal Control, Risk Management and Compliance, Financial Reporting, Internal Audit, External Audit, Compliance with laws and regulations; and Compliance with the Company's Code of Conduct and ethical guidelines functions.

The Committee is responsible for the internal audit and risk management function by ensuring the Group's management acts on audit and risk management reports; reviews the performance and considers the independence of the external auditors; confirms that all regulatory compliance is considered in the preparation of financial statements; and invites a representative of the external auditors when reviewing the audited results.

The Committee assesses effectiveness of the Group's internal control and risk management and compliance framework. It reviews the impact of significant accounting and reporting issues such as professional and regulatory pronouncements; meets the management and both external and internal auditors to review the financial statements and results of the audit process; and assesses if generally accepted accounting principles have been consistently applied in the preparation of preliminary announcements and interim financial statements.

Board Committees - continued

Investment Committee

Attendance at Meetings in 2021

Table 2: Investment Committee Membership and Attendance 2021

	Member	Directorship Status	Number of Meetings scheduled in 2021
1	Rohan Patel (Chairman)	Non-Executive Director	4/4
2.	Nelius Bezuidenhout	Non-Executive Director	4/4
3	Julius Magabe	Non-Executive Director	4/4
4.	Dr John PN Simba	Chairman of the Board	4/4

Mandate and Role of the Investment Committee

The primary mandates of the Investment Committee are:

- o To establish appropriate investment guidelines for the Life & General Businesses
- o To set investment benchmarks
- o To review the actual portfolio compositions against these benchmarks on a quarterly basis
- o To review the performance of investments and make recommendations where appropriate
- o To approve the acquisition and disposal of significant investments
- o To review the performance of the property investments

The Investment Committee has established an Investment Sub-Committee whose mandate is to review the performance of the property portfolio on a monthly basis and to report to the Investment Committee.

Nomination and Remuneration Committee

Table 3: Nomination and Remuneration Committee Membership and Attendance 2021

	Member	Directorship Status	Number of Meetings scheduled in 2021
1	Susan Mudhune (Chairperson)	Non-Executive Director	2/2
2	Julius Magabe	Non-Executive Director	4/4
3	Dr John PN Simba	Non-Executive Director	4/4
4	Rohan Patel	Non-Executive Director	4/4

Mandate and Role of the Nomination and Remuneration Committee

The Committee monitors the policies and practises of the Group in relation to the Human Resources. The Committee's duties are based on three broad functions namely the Human Resources, Nomination and Remuneration functions.

- o Human Resource Function
The Committee continually reviews the organisational structure, core functions and optimum establishment; policies and procedures on staff recruitment and selection, staff training and development policy for operational efficiency, of performance and reward system and capacity enhancement & reviews, the terms and conditions of service in line with the organisation's strategy. Further it reviews the Group's Human Resource policies and recommends amendments to the Board for approval.
- o Nomination Function
The Committee supports and advises the Board on the appropriate size and composition to enable it to discharge its responsibilities; transparent procedure for selecting new directors for appointment and re-selection to the Board; evaluation of the performance of the Board, the various committees and individual Directors.
- o Remuneration Function
The Committee reviews the Group's remuneration, recruitment, retention, incentive and termination policies and procedures for executive directors and senior managers; their salaries and the criteria for payment of bonuses to all staff and monitors its operation, considers any recommendations by the Group Chief Executive Officer regarding payment of performance related

Board Remuneration

remuneration.

The Boards Remuneration policy outlines the principles that govern the remuneration procedures and policies. In general the remuneration policy ensures that directors' remuneration are competitive, incentivises performance and reflects regulatory requirements while considering the demands and requirements made on the directors in relation to the business of the Group; the availability of the directors for ad hoc consultation; professional and business counsel as and when the need arises; industry and related companies benchmarks; international experiences and the calibre of directors needed to run this Group. The directors are continuously expected to add value to the business.

The directors' fee is annual, but the sitting allowances are only paid subject to attendance at the board and/or committee meetings confirmed by the register of attendance. Both the annual fees and sitting allowance are paid on a quarterly basis. The Directors are not eligible for pension scheme membership and do not participate in any of the Group's remuneration schemes.

In compliance with the disclosure requirements under the CMA Code and the Companies (General) (Amendment) (No. 2) Regulations, 2017 that were gazetted in September 2017, the Directors' Remuneration report is provided in Page 84 of this Annual Report.

External Advisers and Consultants

External Auditors

Whereas the directors are responsible for preparing the accounts and presenting a balanced and fair view of the financial position of the Group, the external auditors examine and give their opinion on the reasonableness of the financial statements.

The auditor's report independently and directly to the Board at the half year and end year board meetings. KPMG were appointed as the company's external auditors and have carried out the company's audit for 2021.

Internal Auditors

The Group's internal audit function report directly to the Board Audit, Risk, Actuarial and Compliance Committee. The Internal Audit function is governed by an Internal Audit Charter and the Board annually approves the Internal Audit Plan.

The internal audit function is headed by a qualified Group Internal Auditor who is a Certified Internal Auditor (CIA), Certified Information System Auditor (CISA) and a Certified Public Accountant of Kenya-CPA (K).

Tax Advisors

PwC are the group's tax advisors. They were appointed by the Board and liaise with management to ensure that the Group optimises its tax position and complies with all tax matters.

Statutory Actuary

Giles Waugh (of Deloitte, South Africa) and Zamara are the Group's statutory actuaries responsible for examining the financial soundness of the Group's Life and General Insurance Companies respectively. They do this by independently valuing the Companies' assets and policy liabilities. The statutory actuaries report independently and directly to the Board at board meetings where the half results and the end year results are being considered.

Llyod Masika

A significant component of the investments within the Group comprise of residential and commercial properties. Llyod Masika are the property managers responsible for the management of these commercial properties, collection of rent, general repairs and maintenance. Monthly reports from Llyod Masika are tabled before the Investment sub-committee for discussion.

Shareholding

The Company, through its Registrar, Image Registrars Limited, files returns regularly in line with the requirement of the Capital Markets Act and the Nairobi Securities Exchange's listing regulations on shareholding and other transactions related to shareholders.

Details of the **Directors' Shareholding** in the Group as at 31 December 2021 are summarised in the Table below:

	Name	No. of Shares
1.	DR JOHN PN SIMBA	106,950

Details of **Management's Shareholding** in the Group as at 31 December 2021 are summarised in the Table below:

	Name	No. of Shares
1.	None	None

Disclosure of Information to shareholders

The Board discloses to shareholders the financial position of the Group three times a year: At the annual general meeting; by publication of the half- year results and the year-end results in at least two (2) daily newspapers of national circulation. The financial position of the Group together with relevant information such as the share price are made available for viewing on the Group's website, www.sanlam.com/kenya

The share register is kept at the offices of the Group and a computer database stores this information. The Share Registrar, Image Registrars, is responsible for the share register and responds to correspondence directly from shareholders. The official registers of shareholders are maintained by Image Registrars.

The Registers of Directors are kept at the head office of the Group and are available for the perusal of shareholders on any working day during working hours. The Group publishes the annual report and audited accounts, which are sent out to all shareholders, entitled to attend the annual general meeting.

The Group has an authorised share capital of Kenya Shillings Two Billion (KShs. 2B) divided into 400 Million shares of Kenya Shillings Five (KShs 5/-) each. 144

Shareholding - continued

Million shares are currently issued.

Top Shareholders in the Group

The top 10 shareholders, based on the Group's Register of Members, as at 31 December 2021 are shown in the Tables below:

Top Ten Local Individual Shareholders as at 31 December 2021

	Names	Shares	Percentages
1	PATEL, BALOOBHAI;PATEL,AMARJEET BALOOBHAI	30,166,767	56.62%
2	MWANGI,PETER KINGORI	2,167,473	4.07%
3	PATEL,ANJAY VITHALBHAI	1,110,900	2.09%
4	MALDE,ANILKUMAR VIRPAR	452,550	0.85%
5	MOHAMED,ADAN ABDULLA	389,250	0.73%
6	MUCHERU,ELIJAH	381,800	0.72
7	PATEL DAHILAXMI MANGALBHAI	360,003	0.68%
8	BID,KEVAL ASHVIN	315,000	0.59%
9	JOHN RICHARD GITHERE	300,000	0.56%
10	MALDE,URVI HARA KHCHAND VIRPAR	268,800	0.50%

Top 10 Local Institutions Shareholders as at 31 December 2021

	Names	Shares	Percentages
1	HUBRIS HOLDINGS LIMITED	82,278,000	93.03%
2	MAYFAIR INSURANCE COMPANY LTD	1,282,050	1.45%
3	STANDARD CHARTERED NOMINEES A/C 9595	852,600	0.96%
4	KENYA REINSURANCE CORPORATION LIMITED	511,200	0.58%
5	THAMMO HOLDINGS LIMITED	457,949	0.52%
6	CARBACID INVESTMENTS LIMITED	390,000	0.44%
7	APA INSURANCE LIMITED	348,557	0.39%
8	FIRST TEN LIMITED	308,400	0.35%
9	PUBLIC TRUSTEE ESTATE OF E.N.KAMAU RE:PT/646/79/613/SMA	298,440	0.34%
10	C.K.PATEL LIMITED	176,400	0.20%

Shareholding - continued

Distribution of Shareholders

The Capital Markets Act requires the Group to provide information on the distribution of the shareholders based on the number of shares owned and based on their nationality. This information is presented in the tables here below:

a) Shareholders based on Number of Shares held:

	Range	Records	Range Total	Percentage
1	1 to 500	975	162,575	0.11%
2	501 to 1000	281	217,274	0.15%
3	1001 to 5000	1,974	5,170,513	3.59%
4	5001 to 10000	227	1,675,338	1.16%
5	10001 to 50000	263	5,680,040	3.94%
6	50001 to 100000	45	3,146,348	2.19%
7	100001 to 500000	45	9,578,922	6.65%
8	500001 to 1000000	2	1,363,800	0.95%
9	1000001 to 2000000000	5	117,005,190	81.25%
		3,817	144,000,000	100.00%

b) Shareholders based on Nationality:- As above

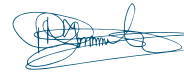
Investor Pool	Records	Shares	Percentage
Local Institutions	149	88,445,415	61.42%
Local Individuals	3,448	53,275,865	37.00%
Foreign Investors	220	2,278,720	1.58%
	3,817	144,000,000	100.00%

Going Concern

The Board submits this annual report and audited financial statements for the year ending 31 December 2021. The annual report and audited financial statements present, in the opinion of the directors, a fair, balanced and understandable assessment of the state of the affairs of the Group's position and prospects. The Board reports that the business is a going concern and they have no reason to believe that the Group and its subsidiaries will not be a going concern into the foreseeable future.



Dr John PN Simba
Chairman
Date: 27 May 2022



Dr Patrick Tumbo
Group Chief Executive Officer
Date: 27 May 2022



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The Game Changer

Report of the directors

The directors are pleased to present the annual report and audited consolidated and separate financial statements for the year ended 31 December 2021 which discloses the state of affairs of Sanlam Kenya Plc (the “Company”) and its subsidiaries (together the “Subsidiaries” and each one a “Subsidiary”) (together the “Group”).

The annual report and consolidated and separate financial statements have been prepared in accordance with International Financial Reporting Standards (“IFRS”) and the requirements of the Kenyan Companies Act, 2015.

Business review

Principal activities

The principal activity of the Group, through its subsidiaries Sanlam Life Insurance Limited and Sanlam General Insurance Limited, is the underwriting of all long-term and short-term insurance business as defined by the Insurance Act (Chapter 487 of the Laws of Kenya), with the exception of industrial life insurance. The Group has interests in a wholly owned investment company (Sanlam Securities Limited), wholly owned former investment management company (Sanlam Investments Limited), Mae Properties Limited (dormant) and Chem Chemi Mineral Water Limited (dormant).

Financial performance, Value of New Business (VNB) and New Business Projections: Value of new business is a strong indicator that the business is currently underwriting business sustainably, the new business is being underwritten profitably and that future profits are expected from the profitable long-term book.

Projections indicate that Group, through its subsidiaries is expected to continue posting positive operating profits and Value of New business in the future.

The below table illustrates the strategies that will drive the business achieve its objective.

Strategic thrust		Management effort	Enablers
1	Strategic partnering & Channels	Bancassurance partners Brokers & Independent Agents. Direct channels	Governance Customer service Risk management
2	Innovation	Technology/Digitization Processes Products Customer experience/Journey	Talent management Systems/processes
3	Strategic Expense management	Operating mode Transaction Processing	Data management Capital management Data management
4	Culture & Control environment	Culture change	Leadership

Report of the directors - continued

The Group's performance

The Group recorded a loss before tax of KShs 413,682,000 (restated 2020: KShs 528,696,000).

The key performance indicators of the Group over a five-year period have been highlighted on page 24.

Directors

The directors who held office during the year and up to the date of this report are:

Director	Directorship	Nationality
Dr John PN Simba	Non-executive and Chairman	Kenyan
Dr Patrick Tumbo	Executive	Kenyan
Julius Nyakia Magabe	Non-executive	Tanzanian
Rohan Baloobhai Patel	Non-executive	Kenyan
Susan Mudhune	Non-executive	Resigned on 6 April 2021 Kenyan
Nelius Bezuidenhout	Non-executive	South African
Cornelius Foord	Non-executive	South African
Freda Britz	Non-executive	South African
Dr Grace Mirigo Mwai	Non-executive	Kenyan
Rose Agutu	Non-executive	Kenyan

Financial statements

At the date of this report, the directors were not aware of any circumstances, which would have rendered the values attributed to the assets and liabilities in the financial statements of the Group and Company to be misleading.

Disclosures to the auditor

The directors confirm that with respect to each director at the time of approval of this report:

- there was, as far as each director is aware, no relevant audit information of which the Group's auditor is unaware; and
- each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

Report of the directors - continued

Auditor

The auditor, KPMG Kenya, who were appointed during the year, have expressed their willingness to continue in office in accordance with the Kenyan Companies Act, 2015.

The directors monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and the associated fees on behalf of the shareholders.

Going concern

The directors are aware of the following conditions that may cast significant doubt upon the Group and Company's ability to continue as a going concern:

- During the year under review, the Group reported an after tax loss of KShs 542 million (2020 an after tax loss of KShs 628 million restated) while the Company reported an after tax loss of KShs 54 million (2020 an after tax loss of KShs 560 million).
- The consolidated cumulative losses as at 31 December 2021 was KShs 1,761 million (2020: KShs 1,115 million restated), while the Company cumulative losses as at 31 December 2021 was KShs 2,013 million (2020: KShs 1,959 million),
- The general insurance subsidiary of the Group, Sanlam General Insurance Limited is non-compliant with minimum regulatory solvency requirements of 100% as at 31 December 2021.

The following are the mitigation factors put in place by the directors to address the matters above:

- i. The directors have strategies in place to turn around loss-making units through sustainable business growth, adequate control environment, strategic expense management and prudent investment strategies;
- ii. Sanlam General Insurance Limited has received a Letter of Comfort from Sanlam Emerging Markets who indirectly own 41% of the shares of the subsidiary. Sanlam Emerging Markets has committed to support the subsidiary with funding and other support over the next 12 months to make it possible for it to meet its financial obligations;
- iii. Sanlam Emerging Markets has advanced a loan of KShs 1.085 billion to Sanlam General Insurance Limited to bridge the capital shortfall in the interim until the Shareholders inject additional capital into the Company. The subsidiary received this subordinated debt of KShs 1.085 on 5 May 2022;
- iv. The Company cash inflows are expected from the Sanlam Life Insurance Limited whose performance exceeded budget in 2021 and has demonstrated a strong going concern and priced in a dividend stream sufficient to cover Company's expected cashflow requirements. Dividend income streams in 2021 are expected to provide sufficient cash cover for the company into 2022, while additional dividends which are most certainly expected to be declared in 2022 would provide cash cover into 2023;
- v. The Sanlam General Insurance Limited has projected to return to profitability by the year 2022, projecting after tax profit of KShs 207 million, which reflects the potential that the subsidiary has and hence reaffirms the ability to continue as a going concern. Management has put into place a turnaround strategy aimed at improving the profitability, and hence the solvency position of the subsidiary and the Group; and
- vi. The Group has mitigated against default risk on Stanbic debt exposure by securing a corporate guarantee from Sanlam Emerging Markets.

Report of the directors - continued

Going concern (continued)

The Directors have taken into account the initiatives above and are confident that the going concern assumption is appropriate in the preparation of the financial statements. The financial statements have therefore been prepared on the basis of accounting policies applicable to a going concern. The basis assumes that the Group and Company will continue as a going concern and also its operations for the foreseeable future.

Approval of consolidated and separate financial statements

The consolidated and separate financial statements of Sanlam Kenya Plc for the year ended 31 December 2021 were authorised for issue in accordance with a resolution of the directors on 27 May 2022.

By Order of the Board



Emma Wachira
Company Secretary
27 May 2022

A man in a dark suit stands with his back to the camera, looking out of a large window at a city skyline at night. The city lights are visible through the glass. The room is dimly lit, with a desk and a chair visible in the foreground.

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RISK MANAGEMENT

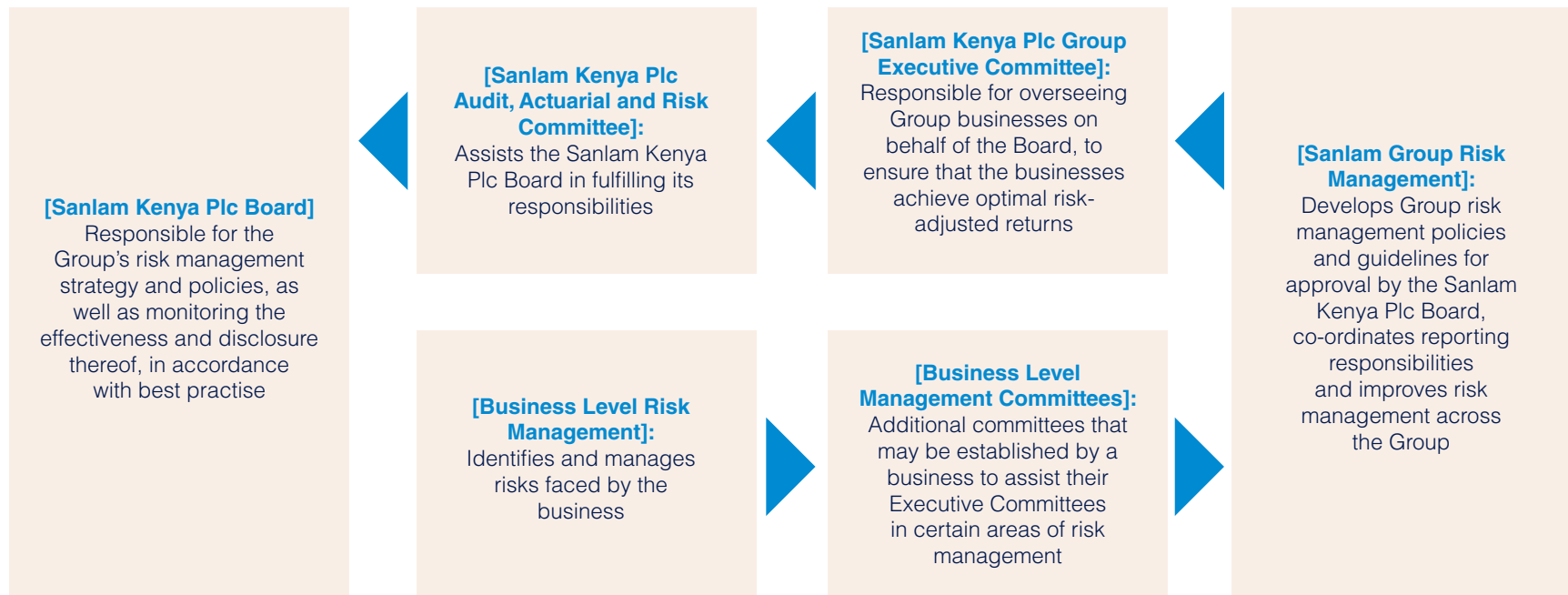
Risk Management

The Group's activities expose it to a variety of financial risks including credit, liquidity and market risks. The Group's overall risk management policies are set out by the board and implemented by the management and focus on the unpredictability of changes in the business environment and seek to minimise the potential adverse effects of such risks on the Group's performance by setting acceptable levels of risk. The Group does not hedge against any risks.

a) Governance structure

The Board meetings of the Group are held according to a Board calendar that is planned at the beginning of each year. The Board meetings are scheduled in a manner that increases the efficiency of the Board. Meetings of the Boards and Board Sub-committees of the subsidiaries are held first, and Sanlam Kenya Plc's Board and Board Sub-committees meet after the subsidiaries' Boards conclude their meetings and prepare their reports for submission to the Board of Sanlam Kenya Plc. The agenda of the Board focuses on Group strategy, capital management, accounting policies, financial results, dividend policy, human resource development, corporate governance and requirements of the Capital Markets Authority (CMA) and Nairobi Securities Exchange (NSE). The Board of each group company is responsible for statutory matters as well as monitoring operational efficiency and risk issues throughout the Group.

The Group operates within a decentralised business model. Based on this philosophy, the Sanlam Kenya Plc Board sets the Group risk management policies and frameworks while the individual businesses take responsibility for all operational and risk-related matters at a business level, within the limits set by these policies and frameworks. The following diagram generically depicts the flow of risk management information from the individual businesses to the Sanlam Kenya Plc Board.



a) Governance structure (continued)

A number of other risk monitoring mechanisms are operating within the Group as part of the overall risk management structure. The most important of these are illustrated in the following table.

OTHER RISK MONITORING MECHANISMS		
[Capital Management] Reviews and oversees the management of the Group's capital base	[Asset and Liability Matching] Determines appropriate investment policies and guidelines for policyholder portfolios where guarantees are provided	
[Compliance] Facilitates management of compliance by analysing statutory and regulatory requirements, and monitoring implementation and execution thereof	[Group Risk Forum] Aids co-ordination and transfer of knowledge between businesses and the Group, and assists Group Risk Management in identifying risks requiring escalation to the Sanlam Kenya Plc Board	[Non-listed Assets] The Audit Committee reviews and approves the valuation of all unlisted assets in the Group for recommendation to the Sanlam Kenya Plc Board
[Chief Financial Officer (Finance)] Ensures that sound financial practises are followed, adequate and accurate reporting occurs, and financial statement risk is minimised	[Actuarial] Monitors and reports on key risks affecting life insurance operations. Determines capital requirements of the life insurance operations and the potential impact of strategic decisions thereon, by using appropriate modelling techniques	[Group Legal and Corporate Secretarial] Reviews and reports on corporate governance practises and structures. Reports on applicable Legal and compliance matters
[Sanlam Forensics] Investigates and reports on fraud and illegal behaviour in businesses	[Investment Committee] Determines and monitors appropriate investment strategies for policyholder solutions	[IT Risk Management] Manages and reports Group-wide IT risks
[Risk Officer] Assists business management in their implementation of the Group risk management strategy, and monitors the risk profile of the business	[Internal Audit] Assists the Sanlam Kenya Plc Board and management by monitoring the adequacy and effectiveness of risk management in businesses	

b) Group risk policies and guidelines

All risks are managed in terms of the policies and guidelines of the Board and its committees. Some of the main policies are:

- (i) The Group Enterprise Risk Management (ERM) Framework
- (ii) The Group Strategic Risk Management (SRM)
- (iii) Group Risk Escalation Policy (REP)
- (iv) Group Business Continuity Policy (BCP)
- (v) Group Information and Communication Technology (ICT) Risk Management Policy
- (vi) Assets and Liabilities Matching (ALM) Policy
- (vii) Group Investment Policy.

The above policies were developed by Sanlam Group Enterprise Risk Management and have been implemented by all Group businesses. The maturity of the implementation within the Group does, however, vary from business to business due to different cost/benefit scenarios, complexity of risks and the degree of risk integration. At the quarterly Sanlam Kenya Plc Board, risk management reports are tabled that must indicate the extent of compliance with the Sanlam Risk Management Policies.

The aim of the Group Escalation Policy is to ensure that key risks and risk events in any business in the Group are reported to the appropriate governance level. The Group Business Continuity Policy ensures that effective vertical and horizontal recovery abilities, consistent with business priorities, exist across the Group, to deal with disasters and related contingencies. The Sanlam Kenya Plc Group Strategic Risk Management is briefly summarised below:

Sanlam Kenya Plc Group Strategic Risk Management (SRM)

Definition

SRM is a high-level over-arching approach to ensure that:

- i. All risks that could jeopardise or enhance achievement of the Group's strategic goals are identified
- ii. Appropriate structures, policies, procedures and practises are in place to manage these risks
- iii. Sufficient organisational resources are applied to, and corporate culture is fully supportive of, the effective implementation of these structures, policies,

procedures and practises

- iv. The organisation's risks are indeed being managed in accordance with the foregoing
- v. The impact of strategic decisions on the risk-adjusted return on Group Embedded Value is considered by way of appropriate modelling techniques prior to such decisions being implemented.

Objective

The primary objective of SRM is to optimise the Group's risk-adjusted return on Group Embedded Value.

Philosophy

SRM is achieved by:

- i. Applying a decentralised philosophy, in that the individual businesses are responsible for the identification of risks in their business and to apply appropriate risk management. Only significant risks are escalated to the Sanlam Kenya Plc. Group level, in accordance with the Group Risk Escalation Policy (mentioned above). This policy guides the businesses to assess the impact of the risk (on a scale of insignificant to extreme), likelihood of risk (on a scale of rare to almost certain), and then to determine to whom the risk should be reported (from the Enterprise Risk Manager of the business to the chairman of the Audit, Actuarial, Risk and Compliance Committee).
- ii. Implementing maximum loss limits, by using measures such as "value at risk", long term solvency requirements, capital adequacy requirements and sensitivities on return on embedded value/value of new business.
- iii. Clearly defining and documenting the business' risk appetite, which is the degree of uncertainty that a business is willing to accept in pursuit of its goals, and describing it both qualitatively and quantitatively.

Risk is inherent in doing business, and includes all of the uncertain consequences of business activities that could prevent Sanlam Kenya Plc from achieving its strategic goals. The Group's strategic risk management process is aimed at managing three elements of risk:

- i. Opportunity: Managing risk on the upside as an "offensive" function; focusing on actions taken by management to increase the probability of success and decrease the probability of failure;

b) Group risk policies and guidelines (Continued)

Philosophy (continued)

- ii. Hazard: Managing risk on the downside as a “defensive” function; focusing on the prevention or mitigation of actions that can generate losses.
- iii. Uncertainty: Managing the uncertainty associated with risk, focusing on achieving overall financial performance that falls within a defined acceptable range.

Process

Each business has a documented process that links into the business' normal management process and includes:

- Strategic organisational and risk management context:
 - o Strategic context (defining the strengths, weaknesses, opportunities

and threats relative to the business environment)

- o Organisational context (understanding the business' goals, strategies, capabilities and values)
- o Risk management context (setting of scope and boundaries)

- Developing risk evaluation criteria, defining a logical framework for risk identification, establishing a risk identification process, analysing the risks identified, evaluating the risks against established risk criteria, deciding on the appropriate action and communication, with the aim of continuous management and improvement.

c) Risk types

The Group is exposed to the following main risks:

	Risk type	Description	Potential significant impact
GENERAL RISKS	Operational	Operational risk refers to a loss as a result of inadequate or failed internal processes, people or systems and external events. Operational risk includes: - Information and technology risk: The risk of obsolescence of infrastructure, deficiency in integration, failures/ inadequacies in systems/networks and the loss of accuracy, confidentiality, availability and integrity of data. - Going concern/business continuity risk: The risk that inadequate processes, people, financial controls and resources exist to continue business in the foreseeable future. - Legal risk: The risk that the Group will be exposed to contractual obligations, which have not been provided for. - Compliance risk: The risk of not complying with laws and regulations, as well as investment management mandates. - Fraud risk: The risk of financial crime and unlawful conduct occurring within the Group.	All Group businesses
	Taxation	Taxation risk refers to financial loss due to changes in tax legislation that result in the actual tax on shareholders' fund earnings being higher than expected, with a corresponding reduction in return on Group Embedded Value; or the actual policyholder tax being higher than that assumed in the determination of premium rates and guaranteed policy benefits.	All Group businesses
	Reputational	Reputational risk refers to the actions of a business (e.g. the treatment of clients, employment equity and social responsibility) that harm its reputation and brand.	All Group businesses
	Legislation	Legislation risk refers to unanticipated new acts or regulations that result in the need to change business practises, which may lead to financial loss.	All Group businesses
	Strategic	Strategic risk refers to the Group's strategy that is inappropriate or when the Group is unable to implement its strategy.	All Group businesses

c) Risk types (continued)

	Risk type	Description	Potential significant impact
FINANCIAL AND BUSINESS (SPECIFIC RISKS)	Market	Market risk refers to when the fair value or future cash flows of financial instruments fluctuate because of changes in market price. Market risk includes:	Life insurance General insurance
		Equity risk: The risk that the fair value of cash flows of a financial instrument will fluctuate as a result of changes in equity prices.	
		Interest rate risk: The risk that the value of an unmatched financial instrument will fluctuate as a result of changes in interest rates and the risks that mismatch losses will be incurred in respect to a matched asset/liability position following changes in interest rates.	
		Foreign Exchange Risk: The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.	
		Property risk: The risk that the value of investment properties will fluctuate as a result of changes in the environment.	
	Credit	Credit risk is the risk that the Group will incur a financial loss from the inability or unwillingness of a counterparty to a financial instrument to discharge its contractual obligations. Credit risk includes:	Group
		Reinsurance risk: Concentration risk with individual reinsurers, due to the nature of the reinsurance market and the restricted range of reinsurers that have acceptable credit ratings.	
	Liquidity	Liquidity risk relates to the difficulty/inability to access/raise funds to meet commitments associated with financial instruments or policy contracts.	All Group businesses
	Insurance	Insurance risk includes:	Life insurance General insurance
		Underwriting risk: The risk that the actual experience relating to mortality, disability and medical risks will deviate negatively from the expected experience used in the pricing of solutions and valuation of policy liabilities.	
		Persistency risk: The risk of financial loss due to negative lapse, surrender and paid-up experience.	
		Expense risk: The risk of loss due to actual expense experience being worse than that assumed in premium rates and the valuation of policy liabilities.	
		Concentration risk: The risk of financial loss due to having written large proportions of business with policyholders of the same/similar risk profile.	
	Capital adequacy	Capital adequacy risk refers to when there are insufficient assets to provide for variations in actual future experience, worse than that which has been assumed in the valuation bases.	Life insurance General insurance

c) Risk types (continued)

1. Operational risk

The Group mitigates this risk through the strategic planning process, selection of experienced and technically competent staff with high ethical values, a comprehensive system of internal controls, internal audit, forensic and compliance functions and other measures such as back-up facilities, contingency planning and insurance. The initiation of transactions and their administration is conducted based on the segregation of duties, designed to ensure the correctness, completeness and validity of all transactions.

The management of risks associated with human resources is addressed in the Corporate Governance Report.

The following functions assist in mitigating operational risk:

(i) Internal audit

A board-approved internal audit charter governs internal audit activity within the Group. A regular risk-focused review of internal control and risk management systems is carried out and has unrestricted access to the Chairman of the Audit Committee and the Sanlam Kenya Plc Board. The authority, resources, scope of work and effectiveness of the functions are reviewed regularly.

(ii) External audit

The Group's external auditor is KPMG Kenya. The external auditors consider internal control relevant to the Group's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances and express an independent opinion on the annual financial statements. Non-audit services rendered by the external auditors are strictly governed by a Group policy in this regard.

The Enterprise Risk Management function performs an annual review of the Group's risk management processes. The purpose of this review is to continuously identify potential areas for improved risk management in line with developing international best practise and the changing risk profile of the Group or any business units.

The function also supports business units within the Group to incorporate risk considerations into their agenda and all decision-making processes.

2. Information and technology risk

The Group Information and Communication Technology risk management policies are authorised and ratified by the Group Executive Committee. These policies stipulate the role of the Information Security manager and other persons with IT risk management roles. Furthermore, it provides a framework of IT risk management, the methods of reporting, assessment and action, appropriate documentation and management of all risk-related IT incidents that have occurred, timing of communication and liaison with other functions in the Group.

3. Compliance risk

Laws and regulations:

The Group considers compliance with applicable laws, industry regulations and codes an integral part of doing business. The Group compliance function facilitates the management of compliance through the analysis of statutory and regulatory requirements, and monitoring the implementation and execution thereof.

4. Fraud risk

The Group recognises that financial crime and unlawful conduct are in conflict with the principles of ethical behaviour, as set out in the Group's code of ethics, and undermines the organisational integrity of the Group. The financial crime combating policy of the Sanlam Kenya Plc Group is designed to counter the threat of financial crime and unlawful conduct. A zero-tolerance approach is applied in combating financial crime and all offenders will be prosecuted. The forensic services function at the Group level oversees the prevention, detection and investigation of incidents of unlawful conduct that are of such a nature that they may have an impact on the Group.

The head of each business unit is responsible for the implementation of the policy in his or her respective business and is accountable to the Group Chief Executive and the Board of Sanlam Kenya Plc. Quarterly reports are submitted by the Group Forensic Services to the Group's Audit Committee on the incidence of financial crime and unlawful conduct in the Group and on measures taken to prevent, detect, investigate and deal with such conduct.

c) Risk types (continued)

5. Taxation risk

The risk is addressed through clear contracting to ensure that policy contracts entitle policyholders to after-tax returns, where applicable. The Group's internal tax resources monitor the impact of changes in tax legislation, and are involved in the development of new products. External tax advice is obtained as required.

The Group consults widely with tax consultants when considering new initiatives to identify tax impact. As much as possible, the Group's policy is to negotiate contracts gross of tax. Overseas contracts are negotiated inclusive of taxes and preference is given to parties in countries where Kenya has a double taxation agreement.

6. Reputational risk

Actions with a potential reputational impact are escalated to the appropriate level of senior management. The Audit committee and board of directors are involved as required. Events with an industry-wide reputational impact are addressed through industry representative groups. Quarterly reports on client complaints and adverse media mentions are submitted to the Executive Committee.

7. Strategic risk

The Group's governance structure and various monitoring tools in place ensure that any event that affects the achievement of the Group's strategy are escalated and addressed at the earliest opportunity. The Board has no tolerance for any breaches.

Group strategy is addressed on a continuous basis at various forums within the Group, the most important of which are:

- The Group's strategic direction and success is discussed and evaluated at an annual strategic session of the Group's Board as well as at the scheduled Board meetings during the year
- As part of the annual budgeting process, the Group businesses present their strategic plans and budgets to the Executive Committee of the Group, which ensures that the businesses' strategies are aligned with the overall Group strategy
- The Group's Executive Committee, which includes the Group Chief and the Chief Executives of the various Group businesses, meets on a regular basis to discuss, among others, the achievement of the businesses' and Group's strategies. Any strategic issues are identified at these meetings and corrective actions are immediately implemented.



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FINANCIAL RESULTS

Statement of Directors' Responsibilities

The Directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements of Sanlam Kenya Plc (Group and Company) set out on pages 98-223, which comprise the consolidated and company statement of financial position as at 31 December 2021, and the consolidated and company statement of profit or loss, consolidated and company statement of other comprehensive income, consolidated and company statement of changes in equity and consolidated, and company statement of cash flows for the year ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies and other explanatory information.

The Directors' responsibilities include determining that the basis of preparation described in Note 2 is an acceptable basis for preparing and presenting the consolidated and separate financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, 2015, the Directors are required to prepare consolidated and separate financial statements for each financial year, which give a true and fair view of the financial position of the Group and Company as at the end of the financial year, and of the profit or loss of the Group and Company for that year. It also requires the Directors to ensure the Group keeps proper accounting records that disclose with reasonable accuracy the financial position and profit or loss of the Group and Company.

The Directors accept responsibility for the consolidated and separate financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. The Directors are of the opinion that the consolidated and separate financial statements give a true and fair view of the financial position of the Group and Company and of their profit or loss.

The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of consolidated and separate financial statements, as well as adequate systems of internal financial control.

Going Concern

The directors are aware of the following conditions:

- During the year under review, the Group reported an after tax loss of KShs 542 million (2020 an after tax loss of KShs 628 million restated) while the Company reported an after tax loss of KShs 54 million (2020 an after tax loss of KShs 560 million)
- The consolidated cumulative losses as at 31 December 2021 was KShs 1,761 million (2020: KShs 1,115 million restated), while the Company cumulative losses as at 31 December 2021 was KShs 2,013 million (2020: KShs 1,959 million)
- The insurance subsidiary Sanlam General Insurance Limited is non-compliant with minimum regulatory solvency requirements of 100% as at 31 December 2021.

The following are mitigation measures put in place by the directors to address the above-mentioned matters:

- i. The directors have implemented strategies to turn around loss-making Sanlam General and Sanlam Kenya Plc through sustainable business growth, effective controls, strategic expense management and effective investment strategies.
- ii. Sanlam General Insurance Limited has received a Letter of Comfort from Sanlam Emerging Markets who indirectly own 41% of the shares of the subsidiary. Sanlam Emerging Markets has committed to support the subsidiary with funding and other support over the next 12 months to enable Sanlam General cover its financial obligations.
- iii. Sanlam Emerging Markets has advanced a loan of KShs 1.085 billion to Sanlam General Insurance Limited to bridge the capital shortfall in the interim as Shareholders prepare to inject capital into the Company in the year 2022. The loan was received on 5 May 2022, which restored the capital adequacy ratio to 100%.

Statement of Directors' Responsibilities (continued)

Going Concern (continued)

- iv. Sanlam Life Insurance (K) Limited, a subsidiary of Sanlam Kenya Plc, whose performance has demonstrated a strong going concern in the year under review is projected to pay dividends to its shareholder Sanlam Kenya Plc to enable the entity fund its financial obligations for the year 2022.
- v. The Sanlam General Insurance Limited has projected to return to profitability by the year 2022, projecting an after-tax profit of KShs 207 million, which affirms the entity's ability to continue as a going concern.
- vi. Sanlam Kenya Plc's credit facility of KShs 3 billion is sufficiently collateralised by a corporate guarantee issued by Sanlam Emerging Markets and continues to be serviced without any default.

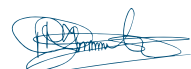
The Directors have considered the above-mentioned matters and have prepared the year 2021 Sanlam Kenya Plc Group financial results on a going concern basis. The basis assumes that the Group and Sanlam Kenya Plc will continue operating as going concerns for the foreseeable future.

Approval of the consolidated and separate financial statements

The consolidated and separate financial statements, as indicated above, were approved and authorised for issue by the Board of Directors on 27 May 2022.



Dr John P N Simba
Chairman



Dr Patrick Tumbo
Group Chief Executive Officer

Directors' remuneration report

Information not subject to audit

The Company's Directors' Remuneration Policy and Strategy

The Board establishes and approves formal and transparent remuneration policies to attract and retain both executive and non-executive Board members. These policies clearly stipulate remuneration elements such as Directors' fees, honorarium and attendance allowances that are competitive and in line with those of other players in the industry.

In accordance with the guidelines provided in the Companies (General) (Amendment) Regulations, Code of Corporate Governance as well as shareholder approval granted at the Annual General Meeting; the Directors and the Chairman are paid a taxable sitting allowance of KShs 96,850 and KShs 111,455 respectively, for every meeting attended.

It is proposed that each Director and the Chairman receives a gross fee of KShs 2,754,264 and KShs 3,841,887 respectively per annum for the financial year ended 31 December 2021 subject to approval by shareholders during the Annual General Meeting.

Contract of service

In accordance with the Capital Markets Authority (CMA) regulations on non-executive Directors, a third of the Board retires by rotation and is elected at every Annual General Meeting by the shareholders on rotation basis.

The Group Chief Executive Officer has a permanent and pensionable contract with Sanlam Kenya Plc, which commenced 2 August 2018.

Changes to Directors Remuneration

During the period, there were no changes in Directors' Remuneration, which is set as per the guidelines provided in Companies (General) (Amendment) Regulations and the Code of Corporate Governance.

Statement of Voting on the Directors' Remuneration Report at the Previous Annual General Meeting

During the Annual General Meeting held on 3 June 2021, the shareholders unanimously approved the payments of Directors' fees for the year ended 31 December 2020 by a show of hands.

At the Annual General Meeting to be held on 27 June 2022, approval will be sought from shareholders to pay Director Fees for the financial year ended 31 December 2021.

Directors' remuneration report (continued)

Information subject to audit

The following table shows a single figure remuneration for the Executive Directors, Chairman and Non-Executive directors in respect to qualifying services for the year ended 31 December 2021 together with the comparative figures for 2020. The aggregate Directors' emoluments are shown on Note 33 (d). The fees paid to Sanlam Emerging Markets directors do not accrue to them personally.

For the year ended 31 December 2021	Salary and short-term benefits	Fees	Bonuses	Expense allowances	Total
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
Patrick Tumbo – Executive	73,636	-	-	-	73,636
John P N Simba – Chairman	-	3,498	-	-	3,498
Julius Nyakia Magabe	-	2,766	-	-	2,766
Rose Agutu	-	2,396	-	-	2,396
Grace Mwai	-	2,537	-	-	2,537
Rohan Baloobhai Patel	-	2,854	-	-	2,854
Susan Mudhune	-	1,340	-	-	1,340
Nelius Bezuidenhout	-	2,642	-	-	2,642
Cornelius Foord	-	2,501	-	-	2,501
Freda Britz	-	2,942	-	-	2,942
	73,636	23,476	-	-	97,112
For the year ended 31 December 2020	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
Patrick Tumbo – Executive	62,003	-	-	-	62,003
John P N Simba – Chairman	-	3,551	-	-	3,551
Julius Nyakia Magabe	-	2,726	-	-	2,726
Rose Agutu	-	2,310	-	-	2,310
Grace Mwai	-	2,310	-	-	2,310
Rohan Baloobhai Patel	-	2,875	-	-	2,875
Susan Mudhune	-	2,576	-	-	2,576
Nelius Bezuidenhout	-	1,994	-	-	1,994
Cornelius Foord	-	2,310	-	-	2,310
Freda Britz	-	2,709	-	-	2,709
	62,003	23,361	-	-	85,364

Directors' remuneration report (continued)

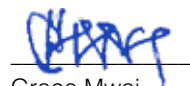
Pension related benefits

	2021	2020
	KShs '000	KShs '000
Dr Patrick Tumbo – Executive	7,037	6,937
	7,037	6,937

Approval of the Directors' remuneration report

The Directors confirm that this report has been prepared in accordance with the Kenyan Companies Act, 2015, Capital Markets Authority (CMA) Code and listing rules, and reflects the disclosure requirements under the International Financial Reporting Standards (IFRSs) with respect to related parties (see Note 33 (d) to the consolidated and separate financial statements).

On behalf of the Board



Grace Mwai
Chairperson, Remuneration Committee

27 May 2022

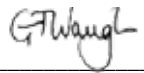
Report of the Statutory Actuary – Sanlam Life Insurance Limited

I have conducted a statutory actuarial valuation of the long-term business of Sanlam Life Insurance Limited as at 31 December 2021.

This valuation has been conducted in accordance with generally accepted actuarial principles and in compliance with the requirements of the Insurance Act Cap 487 of the Laws of Kenya. Those principles require that prudent principles for future outgo under contracts, generally based upon the assumptions that current conditions will continue. Provision is therefore not made for all possible contingencies.

In completing the actuarial valuation, I have relied upon the audited financial statements of the Company.

In my opinion, the long-term business of the Company was financially sound and the actuarial value of the liabilities in respect of all classes of long term insurance business did not exceed the amount of funds of the long-term insurance business at 31 December 2021.



Giles T Waugh
Statutory Actuary
Fellow of the Actuarial Society of South Africa

27 May 2022

Report of the Statutory Actuary – Sanlam General Insurance Limited

I have conducted an actuarial valuation of Sanlam General Insurance Limited as at 31 December 2021.

The valuation was conducted in accordance with generally accepted actuarial principles and in accordance with the requirements of the Insurance Act Cap 487 of the Laws of Kenya. Those principles require prudent principles for future outgo under contracts, generally based upon the assumptions that current conditions will continue. Provision is therefore not made for all possible contingencies.

In completing the actuarial valuation, I have relied upon the financial statements of the company.

In my opinion, the general business of the Company was financially sound and the actuarial value of the liabilities in respect of all the classes of general business did not exceed the amount of outstanding claims liabilities of the general business at 31 December 2021.



James Olubayi
Zamara Actuaries, Administrators & Consultants Limited

27 May 2022

Independent Auditor's Report to the Members of Sanlam Kenya Plc



Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Sanlam Kenya Plc (the "Group and Company") as set out on pages 98 to 223, which comprise the consolidated and company statement of financial position as at 31 December 2021, and the consolidated and company statement of profit or loss, consolidated and company statement of other comprehensive income, consolidated and company statement of changes in equity and consolidated and company statement of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of Sanlam Kenya Plc as at 31 December 2021, and of its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and in the manner required by the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the consolidated and separate financial statements* section of our report. We are independent of the Group and Company in accordance with the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code), together with the ethical requirements that are relevant to our audit of the consolidated and separate financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Independent Auditor's Report to the Members of Sanlam Kenya Plc - continued



Report on the audit of the consolidated and separate financial statements (Continued)

Key audit matters (continued)

Insurance Contract liabilities (applicable to the consolidated financial statements)	
See Notes 2(o), 2(y)(ii) and 24 to the consolidated and separate financial statements.	
The key audit matter	How the matter was addressed in our audit
Insurance contract liabilities constitute about 61% of the Group's total liabilities. Valuation of these liabilities is highly judgmental, and requires a number of assumptions to be made, which have high estimation uncertainty. This is particularly the case for those liabilities that are recognised in respect of claims that have occurred, but have not yet been reported to the Group (incurred but not reported (IBNR)) for non-life business. Small changes in the assumptions used to value the liabilities, particularly those relating to the amount and timing of future claims, can lead to material impacts on the valuation of insurance liabilities. The key assumptions that drive the determination of insurance contract liabilities (reserving calculations) include loss ratios, claim expense assumptions and claim development factors. The valuation of insurance contract liabilities depends on accurate data about the volume, amount and pattern of current and historical claims since they are often used to form expectations about future claims. If the data used in calculating insurance liabilities, or for forming judgments over key assumptions is not complete and accurate then material impacts on the valuation of insurance liabilities may arise. Consequently, we have determined the valuation of insurance contract liabilities to be a key audit matter.	Our audit procedures in this area included: • Obtaining an understanding of the claims handling and reserve setting process and the controls used in the determination of insurance contract liabilities. This included assessing the design and implementation and operating effectiveness of key controls over the claims handling and reserve setting processes of the Group • Inspecting claims received and claims paid immediately after 31 December 2021 to assess whether there were any unrecorded insurance contract liabilities at the end of the period • Evaluating a sample of outstanding claims reserves by comparing the estimated amount of the reserve to appropriate documentation, such as reports from loss adjusters • Re-performing reconciliations between the data recorded in the financial systems and the data used in the actuarial reserving calculations including selecting a sample of the data and comparing to the policy documents to ensure its complete and accuracy • Evaluating the appropriateness of the management's liability adequacy testing by assessing the historical incurred but not reported (IBNR) sufficiency as well as the Unexpired Risk Reserve by performing an actual vs expected analysis on prior years' reserves for any surpluses or shortfalls • Using our internal actuarial specialists in assessing the appropriateness of the methodology and the reasonableness of the assumptions used by management in the estimation of reserves at 31 December 2021 by validating the reasonability of the economic assumptions to market observable data and non-economic assumptions against the Group's historical experience, current trends and our own industry knowledge. The assumptions tested include loss ratios, claims expense assumptions and claims development factors • Evaluating the adequacy of disclosures in the financial statements including disclosures of key estimates and judgements on insurance contract liabilities in accordance with the requirements of IFRS 4 <i>Insurance Contracts</i>.

Independent Auditor's Report to the Members of Sanlam Kenya Plc - continued



Report on the audit of the consolidated and separate financial statements (Continued)

Emphasis of matter – Comparative information

We draw attention to Note 34 to the consolidated and separate financial statements which indicate that the comparative information presented for the year ended 31 December 2020 has been restated. Our opinion is not modified in respect of this matter.

Other matter relating to comparative information

The consolidated and separate financial statements of Sanlam Kenya Plc as at and for the year ended 31 December 2020, excluding the adjustments described in Note 34 to the consolidated and separate financial statements were audited by another auditor who expressed an unmodified opinion on those financial statements on 26 March 2021.

As part of our audit of the consolidated and separate financial statements as at and for the year ended 31 December 2021, we audited the adjustments described in Note 34 that were applied to restate the comparative information presented as at and for the year ended 31 December 2020. We were not engaged to audit, review, or apply any procedures to the consolidated and separate financial statements for the year ended 31 December 2020, other than with respect to the adjustments described in Note 34 to the consolidated and separate financial statements. Accordingly, we do not express an opinion or any other form of assurance on those respective financial statements taken as a whole. However, in our opinion, the adjustments described in Note 34 are appropriate and have been properly applied.

Other information

The directors are responsible for the other information. The other information comprise the information included in the *Sanlam Kenya Plc Annual Report and Financial Statements for the year ended 31 December 2021*, but does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015 as set out below.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities for the consolidated and separate financial statements

The directors are responsible for the preparation of consolidated and separate financial statements that give a true and fair view in accordance with IFRSs and in the manner required by the *Kenyan* Companies Act, 2015 and for such internal control, as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Independent Auditor's Report to the Members of Sanlam Kenya Plc - continued



Report on the audit of the consolidated and separate financial statements (Continued)

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the Consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the Directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

Independent Auditor's Report to the Members of Sanlam Kenya Plc - continued



Report on the audit of the consolidated and separate financial statements (Continued)

Auditor's responsibilities for the audit of the consolidated and separate financial statements (continued)

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015, we report to you based on our audit, that in our opinion:

- (i) The information in the report of the directors on pages 70 to 73 is consistent with the consolidated and separate financial statements.
- (ii) The auditable part of the directors remuneration report on page 89 has been prepared in accordance with the Kenya Company Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Alexander Mbai, Practising Certificate No. P/2172.



For and on behalf of:

KPMG Kenya
Certified Public Accountants
PO Box 40612 – 00100
Nairobi, Kenya

Date: 27 May 2022

Consolidated and Company Statement of Profit or Loss for the year ended 31 December 2021

	Note	Group		Company	
		2021	2020 *Restated	2021	2020
		KShs.'000	KShs.'000	KShs.'000	KShs.'000
Gross premium income	4(a)	12,042,018	8,697,625	-	-
Premium ceded to reinsurers	4(b)	(2,807,179)	(1,846,020)	-	-
Net premium income		9,234,839	6,851,605	-	-
Fees and commission income	5	575,108	458,076	-	-
Investment income	6(a)	2,892,939	2,533,065	1,434,921	181,368
Fair value losses on financial assets at fair value through profit or loss	6(b)	(357,100)	(360,862)	-	-
Other operating revenue	6(c)	73,070	5,846	72,186	2,379
Total other revenue		3,184,017	2,636,125	1,507,107	183,747
Total revenue		12,418,856	9,487,730	1,507,107	183,747
Gross benefits and claims paid	7(a)	(8,418,226)	(6,505,249)	-	-
Claims ceded to reinsurers	7(a)	1,543,251	1,480,676	-	-
Gross change in insurance contract liabilities	7(a)	(3,136,843)	(1,872,702)	-	-
Gross change in investment contract liabilities	7(a)	1,139,327	1,183,341	-	-
Change in contract liabilities ceded to reinsurers	7(a)	256,510	(17,591)	-	-
Net benefits and claims		(8,615,981)	(5,731,525)	-	-
Fees and commission expense	7(b)	(1,338,545)	(1,142,833)	-	-
Cost of sales - Inventory	7(c)	(11,061)	-	(11,061)	-
Operating expenses	8	(2,348,088)	(2,603,293)	(246,199)	(243,059)
Impairment of investment in subsidiaries and associate	14	-	(17,779)	(801,497)	(4,863)
Finance costs	23	(518,863)	(520,996)	(496,854)	(491,985)
Total benefits, claims and other expenses		(12,832,538)	(10,016,426)	(1,555,611)	(739,907)
Loss before tax		(413,682)	(528,696)	(48,504)	(556,160)
Income tax expense	10(a)	(128,677)	(99,616)	(5,232)	(3,518)
Loss for the year after tax		(542,359)	(628,312)	(53,736)	(559,678)
Loss attributable to:					
Owners of the parent		(401,289)	(512,182)	(53,736)	(559,678)
Non-controlling interests		(141,070)	(116,130)	-	-
Loss for the year after tax		(542,359)	(628,312)	(53,736)	(559,678)
Earnings/(loss) per share:					
Basic	30	(2.79)	(3.55)	(0.37)	(3.89)
Diluted	30	(2.79)	(3.55)	(0.37)	(3.89)

*See note 34 for restatements.

The notes set out on pages 106 to 223 form an integral part of these financial statements.

Consolidated and Company Statement of other Comprehensive Income for the year ended 31 December 2021

	Group		Company	
	2021	2020 *Restated	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Loss for the year, after tax:	(542,359)	(628,312)	(53,736)	(559,678)
Other comprehensive income for the year net of tax	-	-	-	-
Total comprehensive income for the year	(542,359)	(628,312)	(53,736)	(559,678)
Attributable to:				
Owners of the parent	(401,289)	(512,182)	(53,736)	(559,678)
Non-controlling interests	(141,070)	(116,130)	-	-
	(542,359)	(628,312)	(53,736)	(559,678)

*See note 34 for restatements.

The notes set out on pages 106 to 223 form an integral part of these financial statements.

Consolidated and Company Statement of Financial Position as at 31 December 2021

		Group		Company	
		2021	2020 *Restated	2021	2020
	Note	KShs.'000	KShs.'000	KShs.'000	KShs.'000
ASSETS					
Property and equipment	12	635,229	691,539	21,896	27,459
Right-of-use asset	12(c)	87,811	122,627	29,558	34,092
Investment properties	13(a)	2,459,680	2,383,680	-	-
Intangible assets	11	35,338	56,530	-	-
Investments in subsidiaries	14(a)	-	-	1,451,938	2,253,435
Deferred income taxation	27	322,499	153,846	-	-
<i>Financial assets</i>					
Equity securities - At fair value through profit or loss	16	671,655	516,342	-	-
Government securities - At fair value through profit or loss	16	25,259,492	22,012,625	-	-
Loans	15	250,636	300,319	-	-
Deferred acquisition costs	20(c)	243,969	198,477	-	-
Reinsurance share of insurance contract liabilities	18	1,525,471	1,360,653	-	-
Inventory	19	89,696	89,564	89,696	89,564
Current income tax	10(b)	226,183	100,613	1,981	6,567
Insurance receivables	20(a)	836,074	1,004,619	-	-
Receivables and other financial assets	20(b)	333,294	191,197	39,347	26,208
Non-current assets held for disposal	13(b)	-	70,000	-	-
Deposits with financial institutions	21	1,048,650	1,247,857	180,357	-
Cash and bank balances	21	658,260	538,518	10,497	5,220
TOTAL ASSETS		34,683,937	31,039,006	1,825,270	2,442,545

*See note 34 for restatements.

The notes set out on pages 106 to 223 form an integral part of these financial statements.

Consolidated and Company Statement of Financial Position as at 31 December 2021 (Continued)

EQUITY AND LIABILITIES		2021	2020	2021	2020
			*Restated		
	Note	KShs.'000	KShs.'000	KShs.'000	KShs.'000
CAPITAL AND RESERVES					
Issued share capital	22	720,000	720,000	720,000	720,000
Statutory fund	22	1,599,677	1,323,581	-	-
Retained earnings		(1,760,883)	(1,114,681)	(2,012,808)	(1,959,072)
Shareholder's funds		558,794	928,900	(1,292,808)	(1,239,072)
Non-controlling interests	14(c)	36,966	178,036	-	-
TOTAL CAPITAL AND RESERVES		595,760	1,106,936	(1,292,808)	(1,239,072)
LIABILITIES					
Borrowings	23	3,000,000	2,976,861	3,000,000	2,976,861
Insurance contract liabilities	24	20,914,644	16,831,063	-	-
Investment contract liabilities	24	2,750,782	3,890,109	-	-
Payables under deposit administration contracts	24	2,592,275	1,546,627	-	-
Unearned premium reserve	25	1,965,924	1,847,958	-	-
Deferred income tax	27	685,576	567,249	-	-
Lease liabilities	12(c)	101,209	132,469	41,118	42,682
Provisions	26	34,570	34,620	-	-
Current income tax	10(b)	-	138,253	-	-
Insurance payables	28	1,172,231	1,094,521	-	-
Deferred reinsurance commissions		111,209	119,189	-	-
Payables and other charges	29	759,757	753,151	76,960	662,074
TOTAL LIABILITIES		34,088,177	29,932,070	3,118,078	3,681,617
TOTAL EQUITY AND LIABILITIES		34,683,937	31,039,006	1,825,270	2,442,545

*See note 34 for restatements.

The financial statements on pages 98 to 223 were approved and authorised for issue by the Board of Directors on 27 May 2022 and signed on its behalf by:



 Dr John P N Simba
 Chairman



 Dr Patrick Tumbo
 Group Chief Executive Officer

The notes set out on pages 106 to 223 form an integral part of these financial statements.

Consolidated Statement of Changes in Equity for the year ended 31 December 2021

		Share capital	Statutory fund	Retained earnings	Total	Non- controlling interests	Total
	Note	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Year end 31 December 2021:							
At 1 January 2021	12	720,000	1,323,581	(1,114,681)	928,900	178,036	1,106,936
Total comprehensive income for the year;							
Loss for the year, after tax		-	-	(401,289)	(401,289)	(141,070)	(542,359)
Transfer to the statutory fund	22	-	641,987	(641,987)	-	-	-
Transfer to retained earnings	22	-	(397,074)	397,074	-	-	-
Transaction with shareholders							
Acquisition of Saham business	22	-	31,183	-	31,183	-	31,183
At 31 December 2021		720,000	1,599,677	(1,760,883)	558,794	36,966	595,760
At 01 January 2020		720,000	1,312,284	(591,199)	1,441,085	293,937	1,735,022
Total comprehensive income for the year;							
Loss for the year, after tax (*restated)		-	-	(512,182)	(512,182)	(116,130)	(628,312)
Transfer to the statutory fund	22	-	498,513	(498,513)	-	-	-
Transfer to retained earnings	22	-	(487,216)	487,216	-	-	-
Transaction with non-controlling interests							
Capital injection		-	-	(3)	(3)	229	226
Restated balance as at 31 December 2020		720,000	1,323,581	(1,114,681)	928,900	178,036	1,106,936

*See note 34 for restatements.

The notes set out on pages 106 to 223 form an integral part of these financial statements.

Company Statement of Changes in Equity for the year ended 31 December 2021

	Share capital	Retained earnings	Total
	KShs.'000	KShs.'000	KShs.'000
Year ended 31 December 2021:			
At 1 January	720,000	(1,959,072)	(1,239,072)
Total comprehensive income	-	(53,736)	(53,736)
At 31 December	720,000	(2,012,808)	(1,292,808)
Year ended 31 December 2020:			
At 1 January	720,000	(1,399,394)	(679,394)
Total comprehensive income	-	(559,678)	(559,678)
At 31 December	720,000	(1,959,072)	(1,239,072)

The notes set out on pages 106 to 223 form an integral part of these financial statements.

Consolidated Statement of Cash Flows for the year ended 31 December 2021

		2021	2020 *Restated
	Note	KShs.'000	KShs.'000
Cash flows from operating activities			
Cash flows from/(used in) operations	32(a)	1,714,559	(308,948)
Income tax paid	10(b)	(448,883)	(80,158)
Withholding tax credits	10(b)	(7,660)	(33,286)
Loans advanced	15	(93,082)	(88,684)
Loans repaid	15	137,986	180,921
Net cash flows from operations		1,302,920	(330,155)
Cash flows from investing activities			
Purchase of property and equipment	12	(24,318)	(35,240)
Purchase of investment property	13(a)	-	(105,737)
Investment in land and development	19	(1,736)	-
Purchase of financial assets through profit and loss	16	(8,116,708)	(6,061,855)
Disposal of financial assets through profit and loss	16	4,424,340	3,926,416
Proceeds from disposal of investment property	13(a)	-	155,000
Proceeds from disposal of asset held for disposal	13(b)	-	833,500
Net rental income	6	80,745	116,645
Dividend income received	6	-	57,856
Interest received		2,768,391	2,374,830
Net cash flows from investing activities		(869,286)	1,261,415
Cash flows from financing activities			
Repayment of principal and interest on lease liabilities	12 (c)	(64,908)	(74,476)
Repayment of borrowings	23	(3,040,114)	-
Proceeds from borrowings	23	3,000,000	-
Interest paid on borrowings	23	(421,696)	(265,927)
Proceeds from issue of share capital to non-controlling interests	14(a)	-	226
Net cash flows from financing activities		(526,718)	(340,177)
(Decrease)/increase in cash and cash equivalents		(93,084)	591,083
Effects of changes in exchange rates	6	13,619	-
Cash and cash equivalents at start of year		1,786,375	1,195,292
Cash and cash equivalents at end of year	21	1,706,910	1,786,375

*See note 34 for restatements.

The notes set out on pages 106 to 223 form an integral part of these financial statements.

Company Statement of Cash Flows for the year ended 31 December 2021

		2021	2020
	Note	KShs.'000	KShs.'000
Cash flow from/(used in) operating activities			
Net cash flows used in operations	32(b)	(337,352)	(20,850)
Cash flows from investing activities			
Investment income received	6 (a)	-	1,368
Dividends received	6 (a)	1,000,000	180,000
Investment in land and development	19	(1,736)	-
Purchase of property and equipment	12(b)	-	(22)
Net cash flows from investing activities		998,264	181,346
Cash flow from financing activities			
Interest paid	23	(421,696)	(265,927)
Interest on related party balance paid	23	(7,273)	-
Payment of principal and interest on lease liabilities	12(c)	(6,195)	(2,990)
Payment of borrowings	23	(3,040,114)	-
Proceeds from borrowings	23	3,000,000	-
Proceeds from issue of share capital to non-controlling interests		-	226
Net cash flows from financing activities		(475,278)	(268,691)
Increase/(decrease) in cash and cash equivalents		185,634	(108,195)
Cash and cash equivalents at start of year		5,220	113,415
Cash and cash equivalents at end of year	21	190,854	5,220

The notes set out on pages 106 to 223 form an integral part of these financial statements.

Notes to the Financial Statements

1. General information

Sanlam Kenya Plc is listed on the Nairobi Stock Exchange, with its principal activity as a non-banking financial institution being underwriting life and non-life insurance risks such as those associated with death, disability, credit protection, mortgage protection and property protection through its subsidiaries Sanlam Kenya Plc and Sanlam General Insurance Limited. The registered address being P.O. Box 10493 – 00100 Nairobi. The Group does business in Kenya and engages over 1,000 employees and financial advisers. The consolidated financial statements of the company as at and for the year ended 31 December 2021 comprise the company and its subsidiaries (together referred to as the “Group”). The separate financial statements are the unconsolidated company financial statements.

Where reference is made in the accounting policies to Group or Company it should be interpreted as being applicable to the consolidated or separate financial statements as the context requires. The consolidated and separate financial statements are hereinafter referred to as “the financial statements”.

2. Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

• Basis of preparation

The preparation of financial statements in conformity with International Financial Reporting Standards requires the use of estimates and assumptions. It also requires the management to exercise its judgement in the process of applying the accounting policies adopted by the Group. Although such estimates and assumptions are based on the directors’ best knowledge of the available information, actual results may differ from those estimates. The judgements and estimates are reviewed at the end of each reporting period, and any revisions to such estimates are recognised in the year in which the revision is made. The areas involving the judgements of most significance to the financial statements, and the sources of uncertainty in estimation that have a significant risk of

resulting in a material adjustment within the next financial year, are disclosed in note 2 (bb).

Changes in accounting estimates result from new information or new developments and, accordingly, are not corrections of errors. The effect of a change in an accounting estimate is recognised prospectively by including it in separate and consolidated statement of profit or loss in:

- The period of the change, if the change affects that period only or
- The period of the change and future periods, if the change affects both.

Prior period errors are omissions from, and misstatements in, the separate and consolidated financial statements for one or more prior periods arising from a failure to use or misuse available reliable information. Unless it is impracticable to determine the effects of the error, an entity corrects material prior period errors retrospectively by restating the comparative amounts for the prior period(s) presented in which the error occurred.

The financial statements are prepared on a going concern basis in compliance with International Financial Reporting Standards (IFRSs) and in the manner required by the Kenyan Companies, Act, 2015.

Going concern

The directors are aware of the following conditions:

- During the year under review, the Group reported an after tax loss of KShs 542 million (2020 an after tax loss of KShs 628 million restated) while the Company reported an after tax loss of KShs 54 million (2020 an after tax loss of KShs 560 million),
- The consolidated cumulative losses as at 31 December 2021 was KShs 1,761 million (2020: KShs 1,115 million restated), while the Company cumulative losses as at 31 December 2021 was KShs 2,013 million (2020: KShs 1,959 million), and
- The insurance subsidiary Sanlam General Insurance Limited is non-compliant with minimum regulatory solvency requirements of 100% as at 31 December 2021.

The following are mitigation measures put in place by the directors to address the above-mentioned matters:

2. Summary of significant accounting policies (continued)

• Basis of preparation (continued)

Going concern (continued)

- i. The directors have implemented strategies to turn around loss-making Sanlam General and Sanlam Kenya Plc through sustainable business growth, effective controls, strategic expense management and effective investment strategies.
- ii. Sanlam General Insurance Limited has received a Letter of Comfort from Sanlam Emerging Markets who indirectly own 41% of the shares of the subsidiary. Sanlam Emerging Markets has committed to support the subsidiary with funding and other support over the next 12 months to enable Sanlam General cover its financial obligations;
- iii. Sanlam Emerging Markets has advanced a loan of KShs 1.085 billion to Sanlam General Insurance Limited to bridge the capital shortfall in the interim as Shareholders prepare to inject capital into the Company in the year 2022. The loan was received on 5 May 2022 which restored the capital adequacy ratio to 100%.
- iv. Sanlam Life Insurance (K) Limited a subsidiary of Sanlam Kenya Plc whose performance has demonstrated a strong going concern in the year under review is projected to pay dividends to its shareholder Sanlam Kenya Plc to enable the entity fund its financial obligations for the year 2022;
- v. The Sanlam General Insurance Limited has projected to return to profitability by the year 2022, projecting an after-tax profit of KShs 207 million, which affirms the entity's ability to continue as a going concern.
- vi. Sanlam Kenya Plc's credit facility of KShs 3 billion is sufficiently collateralised by a corporate guarantee issued by Sanlam Emerging Markets and continues to be serviced without any default.

The Directors have considered the above-mentioned matters and have prepared the year 2021 Sanlam Kenya Plc Group financial results on a going concern basis. The basis assumes that the Group and Sanlam Kenya Plc will continue operating as going concern for the foreseeable future.

The measurement basis used is the historical cost basis, except for the following

items, which are carried at fair value or valued using another measurement basis:

- Investment properties
- Financial assets measured at fair value through profit or loss and at fair value through other comprehensive income
- Actuarially determined liabilities at their present value.

The financial statements are presented in Kenya Shillings (KShs '000), rounded to the nearest thousand, which is also the functional currency.

The financial statements comprise consolidated and company statements of profit or loss, consolidated and company statements of other comprehensive income, consolidated and company statements of changes in equity and consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements. For purposes of the Kenyan companies Act, 2015, the balance sheet is represented by the consolidated and company statements of financial position and the profit and loss account by the consolidated and company statements of profit or loss. Income and expenses, excluding the components of other comprehensive income are recognised in the consolidated and company statements of profit or loss. Other comprehensive income is recognised in the statement of other comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the statement of profit or loss as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to statement of profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a current and legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously. Income and expenses will not be offset in the statement of profit or loss unless required or permitted by any accounting standard or interpretation, as specifically disclosed in the accounting policies of the Group.

Notes to the Financial Statements

b) New standards, amendments and interpretations

(i) New standards and interpretations that are effective and adopted during the year

The following new and amended standards adopted by the group and company in the financial year beginning 1 January 2021 did not have a significant impact on the consolidated and separate financial statements.

New standard or amendments	Effective for annual periods beginning on or after
— Covid-19 – Related Rent Concessions (Amendment to IFRS 16)	1 April 2021
— Interest Rate Benchmark Reform – Phase 2 (Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16)	1 January 2021

(ii) New standard, amendments and interpretations in issue but not yet effective for the year ended 31 December 2021

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2021 and have not been applied in preparing these financial statements. The Group does not plan to adopt these standards early. These are summarised below;

(a) *Those not expected to have any impact on the financial statements of the Group and company.*

New standard or amendments	Effective for annual periods beginning on or after
Onerous contracts – Costs of fulfilling a contract (Amendments to IAS 37)	1 January 2022
Annual Improvements to IFRS Standards 2018-2020	1 January 2022
Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16)	1 January 2022
Reference to Conceptual Framework (Amendments to IFRS 3)	1 January 2022

(a) *Those not expected to have any impact on the financial statements of the Group and company – continued*

New standard or amendments	Effective for annual periods beginning on or after
— Classification of Liabilities as Current or Non-current (Amendments IAS 1)	1 January 2023
— Disclosure of Accounting Policy (Amendments to IAS 1 and IFRS Practice Statement 2)	1 January 2023
— Definition of Accounting Estimate (Amendments to IAS 8)	1 January 2023
— Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12)	1 January 2023
— Sale or Contribution of Assets between an Investor and its Associate or Company (Amendments to IFRS 10 and IAS 28)	Available for optional adoption/effective date deferred indefinitely

(b) *Those expected to have a significant impact on the financial statements of the Group and company*

IFRS 17 Insurance Contracts

IFRS 17 Insurance Contracts sets out the requirements that an entity should apply in reporting information about insurance contracts it issues and reinsurance contracts it holds. An entity shall apply IFRS 17 Insurance Contracts to:

- insurance contracts, including reinsurance contracts, it issues;
- reinsurance contracts it holds; and investment contracts with discretionary participation features that it issues, provided the entity also issues insurance contracts.

IFRS 17 requires an entity that issues insurance contracts to report them on the statement of financial position as the total of:

- the fulfilment cash flows — the current estimates of amounts that the entity expects to collect from premiums and pay out for claims, benefits and

2. Summary of significant accounting policies (continued)

b) New standards, amendments and interpretations – continued

(ii) New standard, amendments and interpretations in issue, but not yet effective for the year ended 31 December 2021 – continued

- expenses, including an adjustment for the timing and risk of those amounts; and
- the contractual service margin — the expected profit for providing insurance coverage. The expected profit for providing insurance coverage is recognised in profit or loss over time as the insurance coverage is provided.

IFRS 17 requires an entity to recognise profits as it delivers insurance services, rather than when it receives premiums, as well as to provide information about insurance contract profits that the Group expects to recognise in the future. IFRS 17 requires an entity to distinguish between groups of contracts expected to be profit making and groups of contracts expected to be loss making. Any expected losses arising from loss-making, or onerous, contracts are accounted for in profit or loss as soon as the Group determines that losses are expected. IFRS 17 requires the entity to update the fulfilment cash flows at each reporting date, using current estimates of the amount, timing and uncertainty of cash flows and of discount rates

(b) Those expected to have a significant impact on the financial statements of the Group and company – continued

The entity:

- accounts for changes to estimates of future cash flows from one reporting date to another either as an amount in profit or loss or as an adjustment to the expected profit for providing insurance coverage, depending on the type of change and the reason for it
- chooses where to present the effects of some changes in discount rates — either in profit or loss or in other comprehensive income.

IFRS 17 also requires disclosures to enable users of financial statements to understand the amounts recognised in the entity's statement of financial position and statement of profit or loss and other comprehensive income, and to assess the risks the Group faces from issuing insurance contracts.

IFRS 17 replaces IFRS 4 Insurance Contracts. IFRS 17 is effective for financial periods commencing on or after 1 January 2023. An entity shall apply the standard retrospectively unless impracticable. A Company can choose to apply IFRS 17 before that date, but only if it also applies IFRS 9 Financial Instruments and IFRS 15 Revenue from Contracts with Customers.

The Company expects to incrementally provide more disclosures to facilitate an understanding of the changes and the impact that such changes have on the Group as the implementation programme progresses. At implementation, extensive disclosures will be provided to explain the transition approach followed as well as the calculation basis for the fulfilment cash flow components. IFRS 17 requires considerable additional disclosures including the nature and extent of risks arising from insurance contracts; detailed reconciliations for the liability for incurred claims and each measurement component of the liability for remaining coverage; as well as significant judgements made in applying the standard.

The adoption of these changes will significantly affect the amounts and disclosures of the Group's and Company's financial statements.

c) Consolidation

The consolidation of financial statements comprises the financial statements of the Group and its subsidiaries as at 31 December 2021.

i) Subsidiaries

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to or has rights to variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity.

The Group re-assesses whether or not it controls an entity if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control over the subsidiary. Assets and liabilities are included from the date of acquisition to the date of sale in the statement of financial position while income and expenses of a subsidiary acquired or disposed of during the year are included in the statement of comprehensive income.

Notes to the Financial Statements

2. Summary of significant accounting policies (continued)

c) Consolidation (continued)

i) Subsidiaries – continued

Any losses within a subsidiary, which are attributed to the non-controlling interest are recognised as such even if this results in a deficit balance.

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

When the Group ceases to have control of any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

ii) Associates

The Group's investment in its associate is accounted for using the equity method of accounting. An associate is an entity in which the Group has significant influence, and which is neither a subsidiary nor a joint arrangement.

Under the equity method, the investment in the associate is carried in the statement of financial position at cost plus post-acquisition changes in the Group's share of net assets of the associate. Goodwill relating to an associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment.

The statement of profit or loss reflects the share of the results of operations

of the associate. Where there has been a change recognised directly in the equity of the associate, the Group recognises its share of any changes and discloses this, when applicable, in the statement of changes in equity, either directly or through other comprehensive income. Profits or losses resulting from transactions between the Group and the associate are eliminated to the extent of the interest in the associate.

The share of profit of the associate is shown on the face of the statement of profit or loss. This is profit attributable to equity holders of the associate and, therefore, is profit after tax and non-controlling interests in the subsidiaries of the associates after factoring in other comprehensive profit/loss.

If the ownership interest in an associate is reduced, but significant influence is retained, only a proportionate share of the amounts previously recognised in other comprehensive income is reclassified to profit or loss where appropriate.

The financial statements of the associate are prepared for the same reporting period as the Group. Where necessary, adjustments are made to bring its accounting policies in line with the Group's. After application of the equity method, the Group determines whether it is necessary to recognise an additional impairment loss on the Group's investment in associates. The Group determines at each reporting date, whether there is any objective evidence that the investment in the associate is impaired.

If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognises the amount in the "share of profit of an associate" in the statement of profit or loss. Upon loss of significant influence over the associate, the Group measures and recognises any remaining investment at its fair value. Any differences between the carrying amount of the associate upon loss of significant influence and the fair value of the remaining investment and proceeds from disposal are recognised in profit or loss. Any interest in the equity of the associate that was recorded directly in other comprehensive income of the investor is recycled to the profit or loss and is included in the calculation of the gain or loss on disposal.

Subsidiaries and associates are stated at cost in the separate financial statements of the Company.

2. Summary of significant accounting policies (continued)

c) Consolidation (continued)

ii) Associates – continued

The non-controlling interest in the subsidiaries and their transactions are disclosed separately on consolidation from the controlling entity. Intercompany transactions between related entities are eliminated on consolidation.

iii) Non-controlling interests (NCI)

NCI are measured initially at their proportionate share of the acquiree's identifiable net assets at the date of acquisition. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

iv) Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

v) Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

d) Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured on acquisition date at fair value and the amount of any non-controlling interests in the acquiree. The Group's identifiable assets and liabilities are measured at their acquisition-date fair value.

Non-controlling interests in an acquiree that are present in ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation, are measured at either fair value or the present ownership instruments' proportionate share in the recognised amounts of the acquiree's net identifiable assets. Non-controlling interests that are not present ownership interests are measured at fair value. This accounting policy choice can be made on an individual business combination basis.

Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, any previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss. It is then considered in the determination of goodwill.

Any contingent consideration to be transferred by the acquirer will be recognised at fair value at the acquisition date. Contingent consideration classified as an asset or liability that is a financial instrument and within the scope of IFRS 9 Financial Instruments: Recognition and Measurement, is measured at fair value with changes in fair value recognised either in either profit or loss or as a change to OCI. Contingent consideration that is classified as equity is not re-measured and subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed.

If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the amount recognised for non-controlling interests,

2. Summary of significant accounting policies (continued)

d) Business combinations and goodwill (continued)

and any previous interest held, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date. If the re-assessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss. After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

e) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the executive committee that makes strategic decisions.

An operating segment is a component of an entity:

- i. that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity)
- ii. whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance; and for which discrete financial information is available
- iii. An operating segment may engage in business activities for which it is yet to earn revenues, for example, start-up operations may be operating segments before earning revenues.

f) Gross premiums

Gross recurring premiums on life and investment contracts with discretionary

participating features are recognised as revenue when payable by the policyholder. For single premium, business revenue is recognised on the date in which the policy is effective. Gross written premiums under short term life insurance contracts comprise the total premiums receivable for the whole period of cover provided by contracts entered into during the accounting period and are recognised on the date on which the policy incepts. For general insurance business, premium income is recognised on assumption of risks.

Premiums include any adjustments arising in the accounting period for premiums receivable in respect of business written in prior accounting periods. Unearned premiums are those proportions of premiums written in a year that relate to periods of risk after the reporting date. Unearned premiums are calculated on a daily pro rata basis. The proportion attributable to subsequent periods is deferred as a provision for unearned premiums.

i) Reinsurance Premium

Gross reinsurance premiums on life and investment contracts with discretionary participation features are recognised as an expense when payable or on the date on which the policy is effective. Gross reinsurance premiums under short term life reinsurance contracts and general insurance contracts comprise the total premiums payable for the whole period of cover provided by contracts entered into during the accounting period and are recognised on the date on which the policy incepts, or risk is assumed. Premiums include any adjustments arising in the accounting period in respect of reinsurance contracts incepting in prior accounting periods. Unearned reinsurance premiums are those proportions of premiums written in a year that relate to periods of risk after the reporting date. Unearned reinsurance premiums are deferred over the term of the underlying direct insurance policies for risks-attaching contracts and over the term of the reinsurance contract for losses-occurring contracts.

ii) Fees and commission income

Insurance and market-linked investment contract liabilities; policyholders are charged for policy administration services, investment management services, surrenders and other contract fees. These fees are recognised as revenue over the period in which the related services are performed. If the fees are for services to be provided in future periods, then they are deferred and recognised over those future periods.

2. Summary of significant accounting policies (continued)

f) Gross premiums (continued)

iii) Investment income

Investment income comprise of interest income, rental income and dividends.

- Interest earned from financial assets at fair value through profit or loss is recognised on a time proportion basis that considers the effective yield on the asset.
- Rental income is recognised on an accrual basis.
- Dividends are recognised when the Group's right to receive the payment is established.

iv) Realised / unrealised gains and losses

Realised / unrealised gains and losses recorded in the statement of profit or loss on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

v) Financial services income

Financial services income includes income from investment management and related activities. This is based on the value of the assets managed on behalf of clients such as fund management fees, collective investment and linked product administration fees. Initial fees that relate to the future rendering of services are deferred and recognised as those future services are rendered.

g) Benefits, claims and expenses recognition

i) Gross benefits and claims

Gross benefits and claims for life insurance contracts and for investment contracts with discretionary participation features include the cost of all claims arising during the year including internal and external claims handling costs that are directly related to the processing and settlement of claims as well as

changes in the gross valuation of insurance and market-linked investment contract liabilities. Death claims and surrenders are recorded on the basis of notifications received. Maturities and annuity payments are recorded when due.

Claims incurred for general business comprise claims paid in the year and changes in the provision for outstanding claims. Claims paid represent all payments made during the year, whether arising from events during that or earlier years. Outstanding claims represent the estimated ultimate cost of settling all claims arising from incidents occurring prior to the reporting date, but not settled at that date.

Outstanding claims are computed on the basis of the best information available at the time the records for the year are closed and include provisions for claims incurred but not reported ("IBNR"). Outstanding claims are not discounted.

ii) Reinsurance claims

Reinsurance claims are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract. Reinsurance claims are measured with reference to the corresponding insurance liability recognised and the reinsurance agreement.

h) Reinsurance

The Group cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims or insurance contract liabilities associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the statement of profit or loss.

Notes to the Financial Statements

2. Summary of significant accounting policies (continued)

h) Reinsurance (continued)

Gains or losses on buying reinsurance are recognised in the statement of profit or loss immediately at the date of purchase and are not amortised. Ceded reinsurance arrangements do not relieve the Group from its obligations to policyholders.

i) Deposit administration contracts

The Group administers the funds of a number of retirement benefit schemes on behalf of the retirement schemes. The liability of the Group to the schemes is measured at fair value and is included in the statement of financial position. Deposits, withdrawals and investments returns are recorded directly as an adjustment to the asset and liability in the statement of financial position and are not recognised as gross premium and investments income in the consolidated statement of profit or loss.

Assets under the deposit administration contracts are registered in the name of the administrator and have therefore been accounted as financial instruments in the statement of financial position.

j) Property and equipment

All categories of property and equipment are initially recognised at cost. Cost includes expenditure directly attributable to the acquisition of the assets. Computer software, including the operating system, is an integral part of the related hardware and is capitalised as part of the computer equipment.

Motor vehicles, furniture, equipment and computers are stated at cost, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment losses. Replacement or major inspection costs are capitalised when incurred and if it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the statement of profit or loss in the year in which they are incurred.

Depreciation is calculated using the straight-line method to write down the cost or the revalued amount of each asset to its residual value over its estimated useful life using the following annual rates:

Freehold land	-	Nil
Property	-	2.5%
Computers	-	25%
Motor vehicles	-	25%
Furniture and equipment	-	12.5%

When no parts of items of property and equipment have a cost that is significant in relation to the total cost of the item, the same rate of depreciation is applied to the whole item. The assets' residual values, depreciation method and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

An item of property and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Gains and losses on disposal of property and equipment are determined by reference to their carrying amounts and are taken into account in determining operating profit.

h) Investment properties

Investment property is property held to earn rentals and/or for capital appreciation or both. Investment property, including interest in leasehold land, is initially recognised at cost including the transaction costs. Subsequently, investment property is carried at fair value representing the open market value at the reporting date determined by annual valuations carried out by external valuers. Gains or losses arising from changes in the fair value are included in determining the profit or loss for the year to which they relate. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

2. Summary of significant accounting policies (continued)

h) Investment properties – continued

When the Group can reliably determine the fair value of a self-constructed investment property under construction or development, any difference between the fair value of the property at that date and its previous carrying amount is recognised in the statement of profit or loss.

The difference between the carrying value and the fair value of the properties at the date of reclassification to investment properties is recognised in the statement of profit or loss.

Investment properties are derecognised when they have either been disposed off or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. On disposal of an investment property, the difference between the disposal proceeds and the carrying amount is charged or credited to profit or loss.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of the change in use.

i) Intangible assets

Software licence costs and computer software that is not an integral part of the related hardware are initially recognised at cost, and subsequently carried at cost less accumulated amortisation and accumulated impairment losses. Costs that are directly attributable to the production of identifiable computer software products controlled by the company are recognised as intangible assets. Amortisation is calculated using the straight-line method to write down the cost of each licence or item of software over its estimated useful life (three to five years).

Amortisation begins when the asset is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner

intended by management, even when idle. Amortisation ceases at the earlier of the date that the asset is classified as held for disposal and the date that the asset is derecognised.

Internally generated intangible assets, excluding capitalised development costs, are not capitalised and expenditure is reflected in the statement of profit or loss in the year in which the expenditure is incurred.

Software under implementation is recognised as work in progress at historical costs less any accumulated impairment loss. The cost of such software includes professional fees and costs directly attributable to the software. The software is not amortised until it is ready for the intended use.

Intangible assets with finite lives are assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in profit or loss in the expense category consistent with the function of the intangible asset.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash generating unit level. Such intangibles are not amortised.

The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made based on a prospective basis.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss when the asset is derecognised.

2. Summary of significant accounting policies (continued)

j) Borrowing costs

In the instance of specific funding being obtained, the net borrowing cost capitalised is the actual borrowing cost incurred on the amount borrowed specifically to finance the asset less any investment income earned on surplus funds. In the case of general borrowings, the capitalised borrowing cost is determined using the overall weighted average cost of the general borrowings during the year and applying this rate to the costs incurred on the asset. The amount capitalised can never exceed the borrowing costs incurred. Capitalisation of borrowing costs ceases when all activities necessary to prepare the qualifying asset for its intended use or sale are complete. All other borrowing costs are recognised in the profit or loss in the year in which they are incurred.

k) Financial assets

i) Classification

The Group classifies its financial assets in the following measurement categories:

- Those to be measured subsequently at fair value (either through OCI or through profit or loss)
- Those to be measured at amortised cost.

ii) Recognition and derecognition

Regular purchases and sales of financial assets are recognised on the trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the investments have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

iii) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVTPL),

transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Debt instruments

Debt instruments are those instruments that meet the definition of a financial liability from the issuer's perspective, such as loans, government, and corporate bonds.

Classification and subsequent measurement of debt instruments depends on:

- The Group's business model for managing the financial assets
- The cash flow characteristics of the asset.

Based on these factors, the Group classifies its debt instruments into one of the following three measurement categories:

- **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows solely represent payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/ losses together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss.
- **FVOCI:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows solely represent payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses, which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/ losses. Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/ losses and impairment expenses are presented as separate line items in the statement of profit or loss.

2. Summary of significant accounting policies (continued)

iii) Measurement – continued

Debt instruments -continued

- **FVPL:** Assets that do not meet the criteria for amortised cost or FVOCI are measured at FVPL. A gain or loss on a debt investment that is subsequently measured at FVPL is recognised in profit or loss and presented net within other gains/ (losses) in the period in which it arises.

Business model: The business model reflected how the Group manages the assets in order to generate cash flows i.e. whether the Group's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets. If neither of these is applicable (e.g. financial assets held for trading purposes), then the financial assets are classified as part of "other" business model and measured at FVTPL. Factors considered by the Group in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel and how risks are assessed and managed.

SPPI: Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group assesses whether the financial instruments' cash flow represent solely payments of principal and interest ("SPPI test"). In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement.

Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss. The Group reclassifies debt investments when and only when its business model for managing those assets changes.

Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Group's right to receive payments is established.

Investments in equity instruments at FVTOCI are initially measured at fair value plus transaction costs. Where the asset is disposed of, the cumulative gain or loss previously accumulated in the investments revaluation reserve is not reclassified to profit or loss, but is reclassified to retained earnings. Dividends earned are recognised in the profit or loss statement and are included in the "investment income" line item.

Changes in the fair value of financial assets at FVPL are recognised in other gains/ losses in the statement of profit or loss as applicable. Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value.

iv) Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets and financial liabilities is based on the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This includes listed equity securities and quoted debt instruments on major exchanges (NSE). The quoted market price used for financial assets held by the Group is the current bid price.

For all other financial instruments, fair value is determined using valuation techniques. In these techniques, fair values are estimated from observable data in respect of similar financial instruments, using models to estimate the present value of expected future cash flows or other valuation techniques, using inputs existing at the dates of the statement of financial position.

Notes to the Financial Statements

2. Summary of significant accounting policies (continued)

k) Financial assets – continued

iv) Determination of fair value (continued)

Fair values are categorised into three levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Group at the end of the reporting period during which the change occurred.

v) Impairment

The Group assesses on a forward looking basis the expected credit losses associated with its debt instruments carried at amortised cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

IFRS 9 replaced the previous "incurred loss" model in IAS 39 with a forward-looking "expected credit loss" ("ECL") model. The new impairment model applies to the following financial instruments that are not measured at FVTPL or FVTOCI:

- Government securities measured at amortised cost
- Receivables arising from direct insurance arrangements
- Rent and other receivables
- Mortgage and policy loans
- Corporate bonds at amortised cost
- Deposits with financial institutions at amortised cost

- Cash and bank balances.

No impairment loss is recognised on equity investments and financial assets measured at FVPL.

The Group recognises loss allowance at an amount equal to either 12-month ECLs or lifetime ECLs. Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument, whereas 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date.

The Group will recognise loss allowances at an amount equal to lifetime ECLs, except in the following cases, for which the amount recognised will be 12-month ECLs:

- Debt instruments that are determined to have low credit risk at the reporting date. The Group will consider a debt instrument to have low credit risk when its credit risk rating is equivalent to the globally understood definition of "investment-grade" and investments in government securities
- Other financial instruments (other than trade and lease receivables) for which credit risk has not increased significantly since initial recognition.

Loss allowances for premium and rent receivables will always be measured at an amount equal to lifetime ECLs. The impairment requirements of IFRS 9 require management judgement, estimates and assumptions, particularly in the following areas, which are discussed in detail below:

- assessing whether the credit risk of an instrument has increased significantly since initial recognition; and
- incorporating forward-looking information into the measurement of ECLs.

Measurement of expected credit losses

ECLs are a probability-weighted estimate of credit losses and will be measured as follows:

- financial assets that are not credit-impaired at the reporting date: the present value of all cash shortfalls – i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive;

2. Summary of significant accounting policies (continued)

k) Financial assets – continued

v) Impairment – continued

Measurement of expected credit losses - continued

- financial assets that are credit-impaired at the reporting date: the difference between the gross carrying amount and the present value of estimated future cash flows;

An asset is credit-impaired if one or more events have occurred that have a detrimental impact on the estimated future cash flows of the asset.

Expected credit losses

Expected credit losses are computed as a product of the Probability of Default (PD), Loss Given Default (LGD) and the Exposure at Default (EAD).

$$\text{ECL} = \text{PD} \times \text{LGD} \times \text{EAD}$$

In applying the IFRS 9 impairment requirements, the Group follows one of the approaches below:

- The general approach
- The simplified approach

The Group will apply the approaches below to each of its assets subject to impairment under IFRS 9:

Financial Asset	Impairment approach
Loans (mortgage and policy loans)	General approach
Receivables arising out of direct insurance arrangements	Simplified approach
Rent and inter-company receivables	General approach
Corporate bonds at amortised cost	General approach
Deposits with financial institutions at amortised cost	General approach
Cash and bank balances	General approach

The General Approach

Under the general approach, at each reporting date, the Group determines whether the financial asset is in one of three stages in order to determine both the amount of ECL to recognise as well as how interest income should be recognised.

- Stage 1** - where credit risk has not increased significantly since initial recognition. For financial assets in stage 1, the Group will recognise 12 month ECL and recognise interest income on a gross basis – this means that interest will be calculated on the gross carrying amount of the financial asset before adjusting for ECL.
- Stage 2** - where credit risk has increased significantly since initial recognition. When a financial asset transfers to stage 2, the Group will recognise lifetime ECL but interest income will continue to be recognised on a gross basis.
- Stage 3** - where the financial asset is credit impaired. This is effectively the point at which there has been an incurred loss event. For financial assets in stage 3, the Group will continue to recognise lifetime ECL but they will now recognise interest income on a net basis. As such, interest income will be calculated based on the gross carrying amount of the financial asset less ECL.

The changes in the loss allowance balance are recognised in profit or loss as an impairment gain or loss.

The Simplified approach

Under the simplified approach, the Group measures the loss allowance at an amount equal to lifetime expected credit losses.

Definition of default

The Group will consider a financial asset to be in default when:

- the counterparty or borrower is unlikely to pay their credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held)

Notes to the Financial Statements

2. Summary of significant accounting policies (continued)

k) Financial assets (continued)

v) Impairment (continued)

Definition of default (continued)

- the counterparty or borrower is more than 90 days past due on any material credit obligation to the Group. This will be consistent with the rebuttable criteria set out by IFRS 9 and existing practise of the Group

In assessing whether the counterparty or borrower is in default, the Group considers indicators that are:

- Qualitative: e.g. Breach of covenant and other indicators of financial distress
- Quantitative: e.g. Overdue status and non-payment of another obligation of the same issuer to the Group
- Based on data developed internally and obtained from external sources.

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

Significant increase in credit risk (SICR)

When determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on the Group's historical experience, expert credit assessment and forward-looking information.

The Group primarily identifies whether a significant increase in credit risk has occurred for an exposure by comparing:

- The remaining lifetime probability of default (PD) as at the reporting date with
- The remaining lifetime PD for this point in time that was estimated on initial recognition of the exposure.

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

The Group monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

- the criteria are capable of identifying significant increases in credit risk before an exposure is in default
- the criteria do not align with the point in time when an asset becomes 30 days past due
- the average time between the identification of a significant increase in credit risk and default appears reasonable
- exposures are not generally transferred from 12-month ECL measurement to credit-impaired
- there is no unwarranted volatility in loss allowance from transfers between 12-month and lifetime ECL measurements.

Incorporation of forward-looking information

The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since initial recognition and its measurement of ECL. It formulates a "base case" view of the future direction of relevant economic variables and a representative range of other possible forecast scenarios based on a variety of external actual and forecast information. External information includes economic data and forecasts published by governmental bodies and monetary authorities.

The base case represents a best estimate and is aligned with information used by the Group for other purposes, such as strategic planning and budgeting. The other scenarios represent more optimistic and more pessimistic outcomes. The Group also periodically carries out stress-testing of more extreme shocks to calibrate its determination of these other representative scenarios.

Measurement of ECL

The key inputs into the measurement of ECL are the term structures of the

2. Summary of significant accounting policies (continued)

k) Financial assets (continued)

v) Impairment (continued)

following variables (i) Probability of Default; (ii) Loss given default (LGD); and (iii) Exposure at default (EAD).

To determine lifetime and 12-month PDs, the Group uses internally developed PD tables based on the default history of obligors with the same credit rating. The Group adopts the same approach for unrated investments by mapping its internal risk grades to the equivalent external credit ratings (see (n) (i)). The PDs are recalibrated based on current bond yields and CDS prices, and adjusted to reflect forward-looking information as described above. Changes in the rating for a counterparty or exposure lead to a change in the estimate of the associated PD.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. For loans secured by retail property, loan-to-value ratios are a key parameter in determining LGD. LGD estimates are recalibrated for different economic scenarios. They are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract, including amortisation, and prepayments. The EAD of a financial asset is its gross carrying amount.

As described above, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Group measures ECL considering the risk of default over the maximum contractual period (including any borrower's extension options) over which it is exposed to

credit risk, even if, for risk management purposes, the Group considers a longer period. Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, which include: instrument type; credit risk grading; collateral type; date of initial recognition; remaining term to maturity; industry; and geographic location of the borrower.

The groupings are subject to regular review to ensure that exposures within a particular group remain appropriately homogeneous.

When ECL are measured using parameters based on collective modelling, a significant input into the measurement of ECL is the external benchmark information that the Group uses to derive the default rates of its portfolios. This includes the PDs provided by rating agencies.

Insurance receivables

The ECL of operating insurance receivables are determined at using a provision matrix. Loss rates are calculated with reference to days past due and actual credit loss experience over the past few years.

vi) Modification of contracts

The Group rarely renegotiates or otherwise modifies the contractual cash flows of securities. When this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the counterparty is in financial difficulty
- Whether any substantial new terms are introduced that affect the risk profile of the instrument
- Significant extension of the contract term when the borrower is not in financial difficulty
- Significant change in interest rate
- Change in the currency the security is denominated in
- Inclusion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan.

If the terms are substantially different, the Group derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a

Notes to the Financial Statements

2. Summary of significant accounting policies (continued)

k) Financial assets (continued)

vi) Modification of contracts (continued)

new EIR for the asset. The date of renegotiation is consequently considered the date of initial recognition for impairment calculation purposes, including the purpose of determining whether a SICR has occurred.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original EIR.

vii) Write off policy

The Group writes off financial assets, in whole or in part when it has exhausted all practical recovery effort and has concluded that there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity; and (ii) the Group is foreclosing on collateral and the value of the collateral is such as there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The outstanding contractual amounts of such assets written off during the year ended 31 December 2021 was KShs Nil (2020: Nil). The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery

l) Translation of foreign currencies

On initial recognition, all transactions are recorded in the functional currency (the currency of the primary economic environment in which the Group operates), which is Kenya Shillings. Transactions in foreign currencies during the year are converted into the functional currency using the exchange rate prevailing at the transaction date. Monetary assets and liabilities at the reporting date

denominated in foreign currencies are translated into the functional currency using the exchange rate prevailing as at that date. The resulting foreign exchange gains and losses from the settlement of such transactions and from year-end translation are recognised on a net basis in the statement of profit or loss in the year in which they arise, except for differences arising on translation of non-monetary financial assets (previously classified as available-for-sale under IAS 39), which are recognised in other comprehensive income.

m) Inventory

Inventory, comprising plots held for resale is stated at the lower of cost and net realisable value. The cost of land and development includes infrastructure costs incurred in respect of unsold plots, which are capitalised and released to income as the plots are sold. Cost is calculated on specific costs incurred to bring land and development to its present condition.

n) Insurance receivables

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment, with the impairment loss determined using the expected credit loss model, recorded in the statement of profit or loss. Insurance receivables are derecognised when the derecognition criteria for financial assets, as described in (n) (ii) have been met.

o) Insurance liabilities

Insurance contract liabilities (including investment contracts with discretionary participation features) are reported gross of reinsurance assets. Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using the Gross Premium Valuation method in accordance with the Insurance Act and related guidelines. The liability is determined as the sum of the discounted value of the expected future benefits, claims handling and policy administration expenses, policyholder options and guarantees and investment income (for non-market linked insurance contracts this item is excluded) from assets backing such liabilities, which are directly related to the contract, less the discounted value of the

2. Summary of significant accounting policies (continued)

o) Insurance liabilities (continued)

expected theoretical premiums that would be required to meet the future cash outflows based on the valuation assumptions used. The liability is either based on current assumptions or calculated using the assumptions established at the time the contract was issued, in which case a margin for risk and adverse deviation is generally included.

A separate reserve for longevity may be established and included in the measurement of the liability. Furthermore, the liability for life insurance contracts comprises the provision for unearned premiums and, as well as for claims outstanding, which includes an estimate of the incurred claims that have not yet been reported to the Group. Adjustments to the liabilities at each reporting date are recorded in the statement of profit or loss.

The provision for unearned premiums represents that portion of premiums received or receivable that relates to risks that have not yet expired at the reporting date. It is assumed that premiums are earned uniformly over the contract period. The Group uses the 1/365 method in computing this reserve. The estimate of the incurred claims that have not yet been reported to the Group (IBNR) is computed using the Basic chain ladder, Bornhuetter Ferguson and Standard development methods. The basic assumption using this method is that claims will emerge in a similar way in each development year.

Profits originated from margins of adverse deviations on run-off contracts are recognised in the statement of profit or loss over the life of the contract, whereas losses are fully recognised in the statement of profit or loss during the first year of run-off. The liability is derecognised when the contract expires, is discharged or is cancelled.

At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate, net of related PVIF (present value insurance in force) and DAC (deferred acquisition cost – refer to accounting policy t), by using an existing liability adequacy test as laid out under the Kenyan Insurance Act.

i) Retirement benefit obligations

The Company operates a defined contribution retirement benefit scheme for qualifying employees. The Company and all its employees also contribute to the National Social Security Fund which is also a defined contribution scheme. A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. The Company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The Company's contributions to the defined contribution schemes are charged to the statement of profit or loss in the year to which they relate.

ii) Cash settled non-share entitlements

The Company has a long-term retirement benefit scheme that is separately administered by Trustees under a legal entity registered with the Retirement Benefits Authority (RBA). The Company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay qualifying employees the benefits due to them on vestation. The amount expensed each year is based on the increase in value of In-force (VIF) and charged directly to the statement of profit or loss on approval by the Board of directors. The Company has no claim whatsoever on the amounts that have not vested as this is redistributed to the existing qualifying members.

iii) Bonus

Staff are entitled to a bonus which is based on preset performance parameters on an annual basis. The full cost of the bonus is expensed in the year in which it is incurred.

iv) Other entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the statement of financial position date is recognised as an expense accrual.

Notes to the Financial Statements

2. Summary of significant accounting policies (continued)

q) Other financial liabilities and insurance payables

All financial liabilities are recognised initially at fair value of the consideration given plus the transaction cost with the exception of financial liabilities carried at fair value through profit or loss, which are initially recognised at fair value and the transaction costs are expensed in the statement of profit or loss. Subsequently, all financial liabilities are carried at amortised cost using the effective interest method except for financial liabilities at fair value through profit or loss which are carried at fair value.

Borrowings, trade and other liabilities are classified as financial liabilities and are carried at amortised cost.

Gains and losses on financial liabilities at amortised cost are recognised on derecognition and through the amortisation process. Gains and loss on financial liabilities at fair value through profit or loss are recognised in the statement of profit or loss.

Insurance payables are recognised when due and measured on initial recognition at the fair value of the claim payable plus directly attributable costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method. Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

r) Income tax expense

Income tax expense is the aggregate amount charged/ (credited) in respect of current tax and deferred tax in determining the profit or loss for the year. Tax is recognised in the statement of profit or loss except when it relates to items recognised in other comprehensive income, in which case it is also recognised in other comprehensive income, or to items recognised directly in equity, in which case it is also recognised directly in equity.

Current income tax

Current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Kenyan Income Tax Act. The tax

rates and tax laws used to compute the amount are those that are enacted or substantively enacted as at the reporting date.

Deferred income tax

Deferred tax is determined for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes, using tax rates and laws enacted or substantively enacted at the balance sheet date and expected to apply when the asset is recovered or the liability is settled.

The measurement of deferred tax assets and liabilities reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets or liabilities. However, for investment property that is measured using the fair value model, there is a rebuttable presumption that the carrying amount of the investment property will be recovered through sale.

Deferred tax liabilities are recognised for all taxable temporary differences except those arising on the initial recognition of an asset or liability, other than through a business combination, that at the time of the transaction affects neither the accounting nor taxable profit or loss.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised. Recognised and unrecognised deferred tax assets are reassessed at the end of each reporting period and, if appropriate, the recognised amount is adjusted to reflect the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Value added taxes and premium taxes

Revenues, expenses and assets and liabilities are recognised net of the amount of value added taxes and premium taxes except:

- when the value added taxes or premium tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item as applicable
- receivables and payables that are measured with the amount of value added taxes or premium tax included.

2. Summary of significant accounting policies (continued)

Value added taxes and premium taxes (continued)

Outstanding net amounts of value added taxes or premium tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

s) Dividends

Dividends on ordinary shares are recognised as a liability in the year in which they are declared. Dividends for the year that are approved after the reporting date are dealt with as a non-adjusting event after the reporting date.

t) Deferred acquisition cost

Incremental costs directly attributable to the acquisition of insurance and investment contracts with discretionary participating features and investment management services are capitalised to a deferred acquisition cost (DAC) asset if they are separately identifiable, can be measured reliably and its probable that they will be recovered. DAC are amortised in the statement of profit or loss over the term of the contracts as the related services are rendered and revenue recognised, which varies from year to year depending on the outstanding term of the contracts in force. The DAC asset is tested for impairment bi annually and written down when it is not expected to be fully recovered. For the period to the end of the year, no DAC asset has been recognized since the incremental costs cannot be separately identified and measured reliably.

u) Expenses

Expenses are recognised in the statement of profit or loss when a decrease in future economic benefits related to a decrease in an asset or an increase of a liability has arisen that can be measured reliably and is independent from transactions with equity participants. This means, in effect, that recognition of expenses occurs simultaneously with the recognition of an increase in liabilities or a decrease in assets (for example, the accrual of employee entitlements or the depreciation of equipment).

i) When economic benefits are expected to arise over several accounting

periods and the association with income can only be broadly or indirectly determined expenses are recognised in the statement of profit or loss on the basis of systematic and rational allocation procedures. This is often necessary in recognising the equipment associated with the using up of assets such as property, plant and equipment in such cases the expense is referred to as a depreciation or amortisation. These allocation procedures are intended to recognise expenses in the accounting periods in which the economic benefits associated with these items are consumed or expire.

ii) An expense is recognised immediately in the statement of profit or loss when expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, or cease to qualify, for recognition in the statement of financial position as an asset.

v) Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used.

Impairment losses of continuing operations are recognised in the statement of profit or loss in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to other comprehensive income. In this case the impairment is also recognised in other comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any

Notes to the Financial Statements

2. Summary of significant accounting policies (continued)

v) Impairment of non-financial assets (continued)

indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previous impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit or loss unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

The following criteria are also applied in assessing impairment of specific assets:

The recoverable amount for the life insurance business has been determined based on a fair value less costs to sell calculation. The calculation requires the Group to make an estimate of the total of the adjusted net worth of the life insurance business plus the value of in-force covered business. New business contribution represents the present value of projected future distributable profits generated from business written in a period. Growth and discount rates used are suitable rates which reflect the risks of the underlying cash flows.

Goodwill

Goodwill is tested for impairment annually as at 31 December and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU (or group of CGUs) to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods.

Intangible assets

Intangible assets with indefinite useful lives are tested for impairment annually as at 31 December at the CGU level, as appropriate, and when circumstances

indicate that the carrying value may be impaired

Associates

After application of the equity method, the Group determines whether it is necessary to recognise an additional impairment loss of the Group's investments in associates. The Group determines at each reporting date whether there is any objective evidence that the investment in associate is impaired. If this is the case the Group calculates the amount of impairment as being the difference between the fair value of the associate less costs to sell and the carrying value and recognises this amount in the statement of profit or loss.

w) Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the statement of profit or loss net of any reimbursement. If the effect of the time value of money is material, provisions are discounting using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

x) Cash and cash equivalents

Cash and cash equivalents include cash in hand and on demand and term deposits, with maturities of three months or less from the date of acquisition, that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, net of bank overdrafts. In the statement of financial position, bank overdrafts are included as borrowings under current liabilities.

For the purpose of the consolidated cash flow, cash and cash equivalents consist of cash and cash equivalent as defined above, net of outstanding bank overdrafts.

2. Summary of significant accounting policies (continued)

y) Significant judgements and key sources of estimation uncertainty

In the process of applying the accounting policies adopted by the Group, the directors make certain judgements and estimates that may affect the carrying values of assets and liabilities in the next financial period. Such judgements and estimates are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the current circumstances. The directors evaluate these at each financial reporting date to ensure that they are still reasonable under the prevailing circumstances based on the information available.

The preparation of the Group's financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future.

i) Significant judgements made in applying the Group's accounting policies:

The judgements made by the directors in the process of applying the Group's accounting policies that have the most significant effect on the amounts recognised in the financial statements include:

- a. Whether it is probable that future taxable profits will be available against which temporary differences can be utilised; and
- b. Whether the Group has control over investee in view of the criteria set out under IFRS 10.

These are:

- power over the investee
- exposure, or rights, to variable returns from its involvement with the investee
- the ability to use its power over the investee to affect the amount of the investor's returns

In the process of applying the Group's accounting policies, management has made judgements in determining:

- (a) The classification of financial assets and leases
- (b) Classification of contracts as insurance or investments contracts
- (c) Whether assets are impaired
- (d) Whether land and buildings meet the criteria to be classified as investment property
- (e) Going concern

Management does an assessment of the Group's and Company's ability to continue as a going concern at the end of every financial year. The assessment involves review of the Group's and Company's net assets and total assets against total liabilities and the plans management have put in place to address any going concern indicators. Furthermore, an assessment of events and conditions that may cast significant doubt upon the Group's and Company's ability to continue as a going concern is done. The Group and Company also evaluates existing growth opportunities and potential threats that may have a significant impact on their existence including compliance with statutory requirements. The Group and Company leverage on existing opportunities in developing future business plan to ensure that they continue operating in a profitable manner.

ii) Key sources of estimation uncertainty

Valuation of insurance contract liabilities

Critical assumptions are made by the actuary in determining the present value of actuarial liabilities. These assumptions are set out in accounting policy (o) above. The liability for life insurance contracts is either based on current assumptions or on assumptions established at inception of the contract, reflecting the best estimate at the time increased with a margin for risk and adverse deviation. All contracts are subject to a liability adequacy test, which reflect management's best current estimate of future cash flows.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapse and surrender rates and discount rates. The Group base mortality and morbidity on standard industry and Kenya's mortality tables which reflect historical experiences, adjusted when appropriate to reflect the Group's unique risk exposure, product characteristics, target markets and own claims severity and frequency experiences. For those contracts that insure

Notes to the Financial Statements

2. Summary of significant accounting policies (continued)

ii) Key sources of estimation uncertainty (continued)

Valuation of insurance contract liabilities (continued)

risk to longevity, prudent allowance is made for expected future mortality improvements, but epidemics, as well as wide ranging changes to life style, could result in significant changes to the expected future mortality exposure.

Estimates are also made as to future investment income arising from the assets backing life insurance contracts. These estimates are based on current market returns as well as expectations about future economic and financial developments. Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation adjustments if appropriate.

Lapse and surrender rates are based on the Group's historical experience of lapses and surrenders. Discount rates are based on current industry risk rates, adjusted for the Group's own risk exposure.

Impairment of financial assets

Management assesses the carrying value of the Group's assets on an annual basis.

- Significant increase of credit risk: As explained in Note 2k (v), ECLs are measured as an allowance equal to 12-month ECL for stage 1 assets, or lifetime ECL assets for stage 2 or stage 3 assets. An asset moves to stage 2 when its credit risk has increased significantly since initial recognition. IFRS 9 does not define what constitutes a significant increase in credit risk. In assessing whether the credit risk of an asset has significantly increased the Group takes into account qualitative and quantitative reasonable and supportable forward looking information. Refer to Note 2 n (v) for more details.
- Models and assumptions used: The Group uses various models and assumptions in measuring fair value of financial assets as well as in estimating ECL. Judgment is applied in identifying the most appropriate model for each type of asset, as well as for determining the assumptions used in these models, including assumptions that relate to key drivers of credit risk.

Key sources of estimation uncertainty

The following are key estimations that the directors have used in the process of applying the Company's accounting policies and that have the most significant effect on the amounts recognised in financial statements:

- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and determining the forward looking information relevant to each scenario: When measuring ECL the Company uses reasonable and supportable forward looking information, which is based on assumptions for the future movement of different economic drivers and how these drivers will affect each other.
- Probability of default: PD constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.
- Loss Given Default: LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that are expected to be received, taking into account cash flows from collateral and integral credit enhancements.

Income taxes

The Group is subject to income taxes under the Kenya Income Tax Act. Estimates are required in determining the provision for income taxes. There are transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and the deferred tax provisions in the period in which such determination is made.

z) Events after the reporting date.

The financial statements are adjusted to reflect events that occurred between the reporting date and the date when the financial statements are authorised for issue, provided they give evidence of conditions that existed at the reporting date. Events that are indicative of conditions that arose after the reporting date are disclosed, but do not result in an adjustment of the financial statements themselves.

2. Summary of significant accounting policies (continued)

aa) Share capital and share premium

Ordinary shares are recognised at par value and classified as "share capital" in equity. Any amounts received over and above the par value of the shares issued are classified as "share premium" in equity.

Incremental costs attributable to the issue or cancellation of equity instruments are recognised directly in equity, net of tax if applicable.

bb) Statutory fund - Life business

The Group matches the assets to liabilities, after which there is a surplus/deficit that is transferred to the statutory fund. The Insurance Act regulations stipulate that only a maximum 30% of this can be transferred to the shareholders. The statutory actuary advises on the amount to be transferred to the shareholders. When a transfer is made to the shareholders, tax at the prevailing corporation rate 2021: 30% (2020:25%) is incurred.

3. Segment information

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Executive Committee that makes strategic decisions. Executive Committee is appointed by the Board of Directors. It consists of the Group Chief operating decision maker (Chief Executive Officer (CEO)) and all the positions that directly report to the CEO.

An operating segment is a component of an entity:

- that engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity),
- whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance, and;
- for which discrete financial information is available.

An operating segment may engage in business activities for which it is yet to earn revenues.

The core business of the Group is underwriting of long-term and short-term business. The Insurance Act (Regulations under section 180 subsection 9) defines the following classes for the purpose of accounting.

Serial Number: Brief description of class

- | | |
|----|------------------------------------|
| 31 | Bond investment business |
| 32 | Industrial life assurance business |
| 33 | Ordinary life assurance business |
| 34 | Superannuation business |

The Group does not underwrite bond investment and industrial life assurance business.

Superannuation business as defined by the above regulation means life assurance business being the issuing of or the undertaking of liability under superannuation, group life and permanent health insurance policy:

- (a) That is vested in the trustees of a fund established or maintained by a person, being a fund the terms and conditions applicable to which provide for:
 - (i) the payment of contributions to the fund by that person; and
 - (ii) payments being made from the fund, on account of injury, sickness, retirement or death of the employees of that person or of a Company in which that person has a controlling interest; or
- (b) That was:
 - (i) effected for the purposes of a superannuation or retirement scheme; or
 - (ii) accepted by the person maintaining such a scheme for the purpose of the scheme.

For management purposes, the Group is organised into business units based on decision making, allocation of resources, products and services and has four reportable operating segments as follows:

- (i) The ordinary life insurance segment offers individual life insurance products.

Notes to the Financial Statements

3. Segment information (continued)

- (ii) The superannuation segment deals with group insurance schemes.
- (iii) The general insurance segment offers general insurance products.
- (iv) The investments segment provides investment management services.

No operating segments have been aggregated to form the above reportable operating segments.

In the Group, the Ordinary Life and Superannuation segments are the business of Sanlam Life Insurance Limited. The General business segment is the business of Sanlam General Insurance Limited while the other companies handle the Investments segment. Transfer prices between operating segments are set on an arm's length basis in a manner similar to transactions with third parties. Segment income, expense and results include those transfers between segments which are then eliminated on consolidation.

The Group operating segments are all based in one geographical area in Kenya.

Segment statement of comprehensive income for the year ended 31 December 2021

	Ordinary life	Super-annuation	General business	Investments	Consolidation adjustments	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Gross written premiums from external customers	3,064,428	4,304,834	4,672,756	-	-	12,042,018
Premiums ceded to reinsurers	(60,066)	(1,025,180)	(1,721,933)	-	-	(2,807,179)
Net premium Income	3,004,362	3,279,654	2,950,823	-	-	9,234,839
Fee and commission income	11,821	190,285	373,002	-	-	575,108
Investment income	1,060,763	1,670,506	184,454	1,435,859	(1,458,643)	2,892,939
Fair value (losses)/gains	(160,047)	(174,549)	(31,353)	(792,648)	801,497	(357,100)
Other operating revenue	858	-	-	72,212	-	73,070
Total other revenue	913,395	1,686,242	526,103	715,423	(657,146)	3,184,017
Total revenue	3,917,757	4,965,896	3,476,926	715,423	(657,146)	12,418,856
Gross benefits and claims paid	(2,379,130)	(2,383,843)	(3,655,253)	-	-	(8,418,226)
Claims ceded to reinsurers	10,206	397,344	1,135,701	-	-	1,543,251
Gross change in insurance contract liabilities	(1,260,663)	(1,876,180)	-	-	-	(3,136,843)
Gross change in investment contract liabilities	1,139,327	-	-	-	-	1,139,327
Change in contract liabilities ceded to reinsurers	-	256,510	-	-	-	256,510
Net benefits and claims	(2,490,260)	(3,606,169)	(2,519,552)	-	-	(8,615,981)
Depreciation and amortization	-	(95,644)	(18,755)	(5,563)	-	(119,962)
Interest expense	(22,000)	-	(7,282)	(496,854)	7,273	(518,863)
Other operating and administrative expenses	(1,277,723)	(460,040)	1,600,288)	(684,973)	445,292	(3,577,732)
Total benefits, claims and other expenses	(3,789,983)	(4,161,853)	(4,145,877)	(1,187,390)	452,565	(12,832,538)

Notes to the Financial Statements

3. Segment information (continued)

	Ordinary life	Super-annuation	General business	Investments	Consolidation adjustments	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
(Loss)/profit before share of profit of associate	127,774	804,043	(668,951)	(471,967)	(204,581)	(413,682)
Share of profit of associate	-	-	-	-	-	-
(Loss)/profit before tax	127,774	804,043	(668,951)	(471,967)	(204,581)	(413,682)
Income tax expense	(38,750)	(251,081)	168,039	(6,885)	-	(128,677)
(Loss)/profit for the year	89,024	552,962	(500,912)	(478,852)	(204,581)	(542,359)
Other comprehensive income	-	-	-	-	-	-
Total comprehensive (loss)/ income	89,024	552,962	(500,912)	(478,852)	(204,581)	(542,359)

All expenses, including depreciation and amortisation costs, have been charged to the respective operating segments. All revenues and expenses are included in the consolidated statement of profit or loss. The consolidation adjustment of KShs 204,581,000 relates to the elimination of related party dividend income, elimination of impairment in subsidiary, depreciation of property and equipment reclassified from investment property at Sanlam Kenya Plc, and elimination of related party rental income and related IFRS 16 adjustments inter group leases.

3. Segment information (continued)

Segment statement of comprehensive income for the year ended 31 December 2020

	Ordinary life	Super-annuation	General business Restated	Investments	Consolidation adjustments	Total Restated
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Gross written premiums from external customers	2,902,834	2,310,948	3,483,843	-	-	8,697,625
Premiums ceded to reinsurers	(38,616)	(370,319)	(1,437,085)	-	-	(1,846,020)
Net premium Income	2,864,218	1,940,629	2,046,758	-	-	6,851,605
Fee and commission income	15,283	136,493	365,488	-	-	517,264
Investment income	917,143	1,419,013	147,356	194,113	(203,748)	2,473,877
Fair value (losses)/gains	(244,066)	(165,758)	37,534	11,428	-	(360,862)
Impairment of financial assets	-	-	-	-	-	-
Other operating revenue	3,484	-	-	2,362	-	5,846
Total other revenue	691,844	1,389,748	550,378	207,903	(203,748)	2,636,125
Total revenue	3,556,062	3,330,377	2,597,136	207,903	(203,748)	9,487,730
Gross benefits and claims paid	(2,161,476)	(2,118,535)	(2,225,238)	-	-	(6,505,249)
Claims ceded to reinsurers	1,324	421,762	1,057,590	-	-	1,480,676
Gross change in insurance contract liabilities	(1,011,220)	(861,482)	-	-	-	(1,872,702)
Gross change in investment contract liabilities	1,183,341	-	-	-	-	1,183,341
Change in contract liabilities ceded to reinsurers	-	(17,591)	-	-	-	(17,591)
Net benefits and claims	(1,988,031)	(2,575,846)	(1,167,648)	-	-	(5,731,525)
Depreciation and amortization	(110,233)	-	(22,376)	(6,685)	-	(139,294)
Interest expense	(22,427)	-	(8,148)	(490,421)	-	(520,996)
Other operating and administrative expenses	(1,137,641)	(452,954)	(1,784,243)	(261,371)	11,598	(3,624,611)
Total benefits, claims and other expenses	(3,258,332)	(3,028,800)	(2,982,415)	(758,477)	11,598	(10,016,426)
(Loss)/profit before share of profit of associate	297,730	301,577	(385,279)	(550,574)	(192,150)	(528,696)
(Loss)/profit before tax	297,730	301,577	(385,279)	(550,574)	(192,150)	(528,696)
Income tax credit/(expense)	(54,319)	(46,475)	(27,077)	28,255	-	(99,616)
(Loss)/profit for the year	243,411	255,102	(412,356)	(522,319)	(192,150)	(628,312)
Other comprehensive income	-	-	-	-	-	-
Total comprehensive (loss)/ income	243,411	255,102	(412,356)	(522,319)	(192,150)	(628,312)

All expenses, including depreciation and amortisation costs, have been charged to the respective operating segments. All revenues and expenses are included in the consolidated statement of profit or loss. The consolidation adjustment of KShs 192,150,000 relates to the elimination of related party dividend income, depreciation of property and equipment reclassified from investment property at Sanlam Kenya Plc, and elimination of related party rental income and related IFRS 16 adjustments inter group leases.

Notes to the Financial Statements

3. Segment Information (Continued)

Segment statement of financial position

At 31 December 2021	Ordinary life	Super-annuation	General business	Investments	Consolidation adjustments	Group
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
ASSETS						
Intangible assets	34,332	-	1,006	-	-	35,338
Property and equipment	136,366	-	64,121	21,896	412,846	635,229
Right-of-use assets	77,671	-	39,052	29,558	(58,470)	87,811
Investment properties	2,856,000	-	50,000	-	(446,320)	2,459,680
Investments in subsidiaries	-	-	-	1,451,938	(1,451,938)	-
Financial instruments	10,989,658	13,593,030	1,989,316	17,477	-	26,589,481
Long term reinsurance assets	-	382,317	1,143,154	-	-	1,525,471
Land and development	-	-	-	89,696	-	89,696
Insurance receivables	73,675	333,585	428,814	-	-	836,074
Other assets	458,274	261,249	951,953	756,385	(2,704)	2,425,157
Total assets	14,625,976	14,570,181	4,667,416	2,366,950	(1,546,586)	34,683,937
LIABILITIES						
Borrowings	-	-	-	3,000,000	-	3,000,000
Insurance contracts liabilities	5,725,947	13,041,816	2,146,881	-	-	20,914,644
Investment contract liabilities	2,750,782	-	-	-	-	2,750,782
Deposit administration contracts	2,592,275	-	-	-	-	2,592,275
Other non-current liabilities	685,576	-	-	-	-	685,576
Other liabilities	1,228,901	433,241	2,389,270	187,389	(93,901)	4,144,900
Total liabilities	12,983,481	13,475,057	4,536,151	3,187,389	(93,901)	34,088,177
Net assets	1,642,495	1,095,124	131,265	(820,439)	(1,452,685)	595,760

Other segment reporting disclosures

For the year ended 31 December 2021	Ordinary life	Super-annuation	General business	Investments	Consolidation adjustments	Group
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Additions to non-current assets	20,278	-	4,040	-	-	24,318
Interest and dividend income	1,060,763	1,670,506	184,454	1,435,859	(1,458,643)	2,892,939
Interest expense	22,000	-	7,282	496,854	(7,273)	518,863
Depreciation and amortisation	-	-	21,500	5,563	-	27,063
Total comprehensive (loss)/ income	1,103,041	1,670,506	217,276	1,938,276	(1,465,916)	3,463,183

3. Segment Information (Continued)

Segment statement of financial position

At 31 December 2020	Ordinary life	Super-annuation	General business	Investments	Consolidation adjustments	Group Restated
	KShs.'000	KShs.'000	KShs.'000 Restated	KShs.'000	KShs.'000	KShs.'000
ASSETS						
Intangible assets	51,691	-	4,839	-	-	56,530
Property and equipment	162,328	-	77,748	27,459	424,004	691,539
Right-of-use assets	115,290	-	53,874	34,092	(80,629)	122,627
Investment properties	2,830,000	-	-	-	(446,320)	2,383,680
Investments in subsidiaries	-	-	-	2,253,209	(2,253,209)	-
Financial instruments	10,502,909	11,405,652	1,781,853	21,078	-	23,711,492
Long term reinsurance assets	-	125,807	1,234,846	-	-	1,360,653
Land and development	-	-	-	89,564	-	89,564
Insurance receivables	73,587	304,418	626,614	-	-	1,004,619
Other assets	549,864	180,055	507,491	983,496	(602,604)	1,618,302
Total assets	14,285,669	12,015,932	4,287,265	3,408,898	(2,958,758)	31,039,006
LIABILITIES						
Borrowings	-	-	-	2,976,861	-	2,976,861
Insurance contracts liabilities	4,292,485	11,165,234	1,373,344	-	-	16,831,063
Investment contract liabilities	3,890,109	-	-	-	-	3,890,109
Deposit administration contracts	1,546,627	-	-	-	-	1,546,627
Other non-current liabilities	649,620	-	-	-	-	649,620
Other liabilities	1,200,601	492,485	2,281,740	773,622	(710,658)	4,037,790
Total liabilities	11,579,442	11,657,719	3,655,084	3,750,483	(710,658)	29,932,070
Net assets	2,706,227	358,213	632,181	(341,585)	(2,248,100)	1,106,936

Other segment reporting disclosures

For the year ended 31 December 2020	Ordinary life	Super-annuation	General business	Investments	Consolidation adjustments	Group Restated
	KShs.'000	KShs.'000	KShs.'000 Restated	KShs.'000	KShs.'000	KShs.'000
Additions to non-current assets	29,162	-	6,056	-	-	35,218
Interest and dividend income	866,043	1,419,013	147,356	194,113	(180,000)	2,446,525
Interest expense	22,427	-	8,148	490,421	-	520,996
Depreciation and amortisation	110,233	-	22,376	6,685	-	139,294
Total	1,027,865	1,419,013	183,936	691,219	(180,000)	3,142,033

Notes to the Financial Statements

4. a) Gross premium income

The principal activity of the Group is the underwriting of long-term and general insurance business as defined by the Insurance Act. Premium income can be analysed between the two main lines of insurance business as follows;

i) Long term insurance business	Group	
	2021	2020
	KShs.'000	KShs.'000
New business: Recurring		
Individual life	582,826	567,035
Group business	1,027,752	189,743
New business: Single premiums		
Group business	2,737,677	1,626,997
Total new business	4,348,255	2,383,775
Renewal recurring		
Individual life	2,481,603	2,335,800
Group business	539,404	494,207
Total renewal premium income	3,021,007	2,830,007
Total long-term business gross premium income	7,369,262	5,213,782
ii) General insurance business	2021	
	2020	
	KShs.'000	KShs.'000 Restated
Class of business		
Engineering	131,595	61,810
Fire domestic	70,969	69,846
Fire industrial	488,626	312,688
Liability	211,173	130,565
Marine	45,672	35,697
Motor private	945,784	712,908
Motor commercial	1,071,778	705,912
Motor PSV	312,750	171,646
Personal accident	10,840	23,000
Medical	751,679	1,037,762
Theft	154,748	113,563
Workmen compensation	425,681	89,502
Miscellaneous	51,461	18,944
Total general business gross premium income	4,672,756	3,483,843
Total group gross premium income	12,042,018	8,697,625

4. b) Premiums ceded to reinsurers

Section 29(1) of the Insurance Act requires all registered underwriters to have in place appropriate reinsurance arrangements being arrangements approved by the Commissioner of Insurance in respect of insurance business underwritten in the course of the business.

The premiums ceded to reinsurers can be analysed by the main classes of business as follows;

Long term insurance business	Group	
	2021	2020
	KShs.'000	KShs.'000
New business: Recurring		
Individual life	60,066	38,616
Group business	1,025,180	370,319
General insurance business	1,721,933	1,437,085
Total premiums ceded to reinsurers	2,807,179	1,846,020

5. Fees and commission income

Commission income	575,108	458,076
	575,108	458,076

Notes to the Financial Statements

6. a) Investment income

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Rental income	147,787	116,645	-	-
Rental expenses	(67,042)	-	-	-
Net rental income	80,745	116,645	-	-
Interest income on:				
- Financial assets designated at fair value through profit or loss	2,719,379	2,222,567	9,457	-
- Loans to related parties	-	6,101	-	-
- Loans and receivables	19,100	28,360	-	-
- Cash and cash equivalents	73,715	101,536	-	1,368
Dividend income	-	57,856	1,000,000	180,000
Write off of intercompany balance (deemed dividend)	-	-	425,464	-
Total investment income	2,892,939	2,533,065	1,434,921	181,368

6. b) Fair value losses on assets at fair value through profit or loss

Fair value losses on investment properties (Note 13)	(71,000)	(85,737)	-	-
Realised foreign exchange gains	13,619	-	-	-
Fair value losses on financial assets at fair value through profit or loss (Note 16)	(299,719)	(275,125)	-	-
Total investment income	(357,100)	(360,862)	-	-

6. c) Other operating revenue

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Plot sales	67,000	-	67,000	-
Other income	6,070	5,846	5,186	2,379
Total other income	73,070	5,846	72,186	2,379

7. Details of expenses

a) Benefits and claims	Group	
	2021	2020
	KShs.'000	KShs.'000

Gross benefits and claims paid

Long term insurance contracts with fixed and guaranteed terms

- Death and disability claims	1,041,083	983,392
- Maturity and survival benefits	1,812,160	1,594,420
- Policy surrenders	597,410	614,841
- Annuities	1,312,320	1,087,358
General insurance business claims	3,655,253	2,225,238

Gross benefits and claims paid	8,418,226	6,505,249
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Claims ceded to reinsurers	(1,543,251)	(1,480,676)
Gross change in actuarial value of insurance contract liabilities	3,136,843	1,872,702
Gross change in actuarial value of investment contract liabilities	(1,139,327)	(1,183,341)
Change in contract liabilities ceded to reinsurers	(256,510)	17,591

Net benefits and claims	8,615,981	5,731,525
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b) Fee and commission expense

Payable to agents	384,230	447,655
Payable to brokers and other intermediaries	954,315	695,178

Fee and commission expense	1,338,545	1,142,833
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c) Cost of sales - Inventory	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Land	11,061	-	11,061	-
	11,061	-	11,061	-

Items of cost of sales represent costs incurred on the land sold and carried in the books as inventory.

Notes to the Financial Statements

8. Operating expenses	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000 Restated	KShs.'000	KShs.'000
Other operating expense include:				
Staff costs (Note 9)	1,033,929	924,057	174,039	155,933
Amortisation (Note 11)	16,730	20,442	-	-
Depreciation (Note 12)	85,225	78,850	5,563	6,685
Right of use depreciation (Note 12 (c))	31,910	52,164	4,534	4,486
Fees for managerial and administrative services:				
Auditors remuneration	16,976	19,127	3,815	4,244
Tax audit fees	4,229	6,641	2,448	2,449
Legal fees	83,629	47,534	4,729	(1,057)
Actuarial fees	5,576	1,391	-	-
Premium tax and stamp duty	110,927	75,884	-	-
Premium collection charges	7,260	41,615	-	-
Advertising	157,713	103,649	9,931	9,635
Repairs and maintenance	6,441	6,196	171	126
Rental expenses	56,238	47,420	1,070	-
Other expenses	731,305	1,178,323	39,899	60,558
Total operating expenses	2,348,088	2,603,293	246,199	243,059

Other expenses comprise marketing expenses, printing and stationery expenses and other office expenses.

9. Staff costs	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Staff costs include the following:				
Defined contribution pension costs	75,345	73,429	11,520	11,180
Social security benefit costs	458	476	31	31
Salaries and other short-term benefits	958,126	850,152	162,488	144,722
	1,033,929	924,057	174,039	155,933

The total number of permanent employees for the Group as at 31 December 2021 was 177 compared to 178 as at 31 December 2020. Total employees for the Company as at 31 December 2021 was 7 (2020: 6)

10. a) Income tax expense	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000 Restated	KShs.'000	KShs.'000
Statement of profit or loss				
Current year tax charge	18,917	47,098	2,590	342
Under/(Over)-provision of current tax from prior years	3,276	(27,516)	2,642	3,176
Over-provision of deferred tax from prior years	(2,250)	-	-	-
Deferred income tax charge (Note 27)	108,734	80,034	-	-
Income tax expense	128,677	99,616	5,232	3,518
Reconciliation of income tax expense to tax based on accounting profit: -				
Loss before income tax	(413,682)	(528,696)	(48,504)	(556,160)
Tax calculated at a statutory rate of 30% (2020: 25%)	(124,103)	(132,174)	(14,551)	(139,040)
Tax effect of:				
Income not subject to tax	(279,545)	(149,827)	19,783	(54,909)
Expenses not deductible for tax	257,188	301,102	-	197,467
Under provision in prior years	-	481	-	-
Deferred tax charge	275,137	80,034	-	-
Income tax expense	128,677	99,616	5,232	3,518
10. b) Current income tax:	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000 Restated	KShs.'000	KShs.'000
At start of the year: current tax receivable	100,613	68,621	6,567	10,085
current tax payable	(138,253)	(11,185)	-	-
Income tax paid	448,883	80,158	646	-
Withholding tax credits	7,660	33,286	-	-
Current year income tax payable	(18,917)	(47,098)	(5,232)	(3,518)
Under/(over)-provision of current tax from prior years	(3,276)	27,516	-	-
Transfer from deferred tax on life fund surplus	(170,175)	(162,405)	-	-
Under provision of deferred tax in prior years life fund	(352)	(26,533)	-	-
Net tax position	226,183	(37,640)	1,981	6,567
At end of the year: current tax receivable	226,183	100,613	1,981	6,567
current tax payable	-	(138,253)	-	-

Notes to the Financial Statements

11. Intangible assets - software	
Year ended 31 December 2021	Group Software
	KShs.'000
Cost:	
At 1 January and 31 December	215,773
Write-offs	(44,291)
Transfer to property and equipment (note 12)	(11,275)
	160,207
Amortisation	
At start of year	(159,243)
Charge for the year	(16,730)
Write-offs	44,291
Transfer to property and equipment (note 12)	6,813
At 31 December	(124,869)
Carrying amount At 31 December	35,338
Year ended 31 December 2020	Software
	KShs.'000
Cost:	
At 1 January and 31 December	215,773
Amortisation	
At start of year	(138,801)
Charge for the year	(20,442)
At 31 December	159,243
Carrying amount At 31 December	56,530

12. (a) Property and equipment - Group

Year ended 31 December 2021	Motor vehicles	Computer equipment	Furniture and equipment	Owner occupied property	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Cost					
At 1 January	11,861	265,326	539,543	446,320	1,263,050
Write off	(75)	(136,896)	(120,075)	-	(257,046)
Additions	-	6,721	17,597	-	24,318
Transfer from intangible assets	-	11,275	-	-	11,275
Reclassification from furniture, fittings and equipment to computer	-	9,441	(9,441)	-	-
Disposal	-	-	(2,745)	-	(2,745)
At 31 December	11,786	155,867	424,879	446,320	1,038,852
Depreciation					
At 1 January	(10,858)	(233,372)	(304,965)	(22,316)	(571,511)
Write off	75	136,896	120,008	-	256,979
Prior years' depreciation adjustment*	296	(94)	-	-	202
Transfer from intangible assets	-	(6,813)	-	-	(6,813)
Reclassification from furniture, fittings and equipment to computer	-	590	(590)	-	-
Charge for the year	(1,299)	(35,062)	(37,706)	(11,158)	(85,225)
Disposal	-	-	2,745	-	2,745
At 31 December	(11,786)	(137,855)	(220,508)	(33,474)	(403,623)
Carrying amount At 1 January	1,003	31,954	234,578	424,004	691,539
At 31 December	-	18,012	204,371	412,846	635,229

There are no restrictions on the titles and no item of property or equipment is pledged as collateral.

Year ended 31 December 2020	Motor vehicles	Computer equipment	Furniture and equipment	Owner occupied property	Total
Cost					
At 1 January	13,093	253,400	506,536	446,320	1,219,349
Additions	-	7,052	28,188	-	35,240
Adjustments*	(1,232)	4,874	4,819	-	8,461
At 31 December	11,861	265,326	539,543	446,320	1,263,050
Depreciation					
At 1 January	(8,260)	(228,979)	(232,996)	(13,657)	(483,892)
Depreciation adjustments*	38	15,757	(24,564)	-	(8,769)
Charge for the year	(2,636)	(20,150)	(47,405)	(8,659)	(78,850)
At 31 December	(10,858)	(233,372)	(304,965)	(22,316)	(571,511)
Carrying amount At 1 January	4,833	24,421	273,540	432,663	735,457
At 31 December	1,003	31,954	234,578	424,004	691,539

Fully depreciated assets still in use had a cost of KSh 329,568,763 (2020: KSh 343,973,000).

There are no restrictions on the titles and no item of property or equipment is pledged as collateral (2020; nil).

Notional depreciation of fully depreciated assets were Ksh 65,727,944 (2020; Ksh 68,600,671).

Notes to the Financial Statements

12. (b) Property and equipment (continued)

The adjustments in the movement schedule above relate to expensing of historical costs and depreciation not supported by asset register and reclassification of depreciation on transfer of assets between asset classes.

Company

Year ended 31 December 2021	Computer equipment	Furniture and equipment	Total
	KShs.'000	KShs.'000	KShs.'000
Cost			
At 1 January and 31 December	4,116	52,726	56,842
Depreciation			
At 1 January	(2,942)	(26,441)	(29,383)
Charge for the year	(186)	(5,377)	(5,563)
At 31 December	(3,128)	(31,818)	(34,946)
Carrying amount At 31 December	988	20,908	21,896
Year ended 31 December 2020	Computer equipment	Furniture and equipment	Total
	KShs.'000	KShs.'000	KShs.'000
Cost			
At 1 January	4,116	52,704	56,820
Additions	-	22	22
At 31 December	4,116	52,726	56,842
Depreciation			
At 1 January	(2,393)	(20,305)	(22,698)
Charge for the year	(549)	(6,136)	(6,685)
At 31 December	(2,942)	(26,441)	(29,383)
Carrying amount At 31 December	1,174	26,285	27,459

Fully depreciated assets still in use had a cost of KShs 14,912,000 (2020: KShs 14,912,000). Notional depreciation of fully depreciated assets was KShs 1,864,000 (2020: KShs 1,864,000).

There are no restrictions on the titles and no item of property or equipment is pledged as collateral (2020; nil).

12 (c) Leases

This note provides information for leases where the Group is a lessee.

The Group leases office space for branch operations across the country. These leases span for a period of 5 to 6 years and are negotiable at the expiry for a new term at the discretion of the lessee. The offices are fitted to put them in operational state and fitting are capitalized and depreciated as per note 2 (i)

On the commencement date of each lease (excluding leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value) the Group recognises a right-of-use asset and a lease liability.

The lease liability is measured at the present value of the lease payments that are not paid on that date.. The lease payments are discounted at the interest rate implicit in the lease. If that rate cannot be readily determined, the Group's incremental borrowing rate is used. The incremental borrowing rate is the internal cost of debt determined as the risk free borrowing rate adjusted for country premium.

For leases that contain non-lease components, the Group allocates the consideration payable to the lease and non-lease components based on their relative stand-alone components.

The right-of-use asset is initially measured at cost comprising the initial measurement of the lease liability, any lease payments made on or before the commencement date, any initial direct costs incurred, and an estimate of the costs of restoring the underlying asset to the condition required under the terms of the lease.

Subsequently the lease liability is measured at amortised cost, subject to re-measurement to reflect any reassessment, lease modifications, or revised fixed lease payments.

Depreciation is calculated using the straight-line method to write down the cost of each asset to its residual value over its estimated useful life. If ownership of the underlying asset is not expected to pass to the Group at the end of the lease term, the estimated useful life would not exceed the lease term.

For leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value, the total lease payments are recognized in profit or loss on a straight-line basis over the lease period.

The changes in leases which do not fall under the scope of COVID-19 related concessions are treated as lease modifications. Right of use assets are re-measured and gains or losses thereof recognised in the statement of profit or loss.

Leases of assets where a significant proportion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the lease period. Prepaid operating lease rentals are recognised as assets and are subsequently amortised over the lease period.

Notes to the Financial Statements

12 (c) Leases (continued)

Measurement of right of use assets and lease liabilities

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
i) Right of use asset				
At start of year	122,627	94,907	34,092	38,578
Additions	36,451	79,884	-	-
Disposal	(39,357)	-	-	-
Amortisation of right of use asset in statement of profit or loss	(31,910)	52,164	4,534	4,486
At end of year	87,811	122,627	29,558	34,092
Lease liabilities				
At start of year	132,469	85,643	42,682	40,900
Additions	36,451	79,884	-	-
Disposal	(36,716)	-	-	-
Finance charge in the income statement	33,913	41,418	4,631	4,772
Lease payments recognised in the cashflow statement	(64,908)	(74,476)	(6,195)	(2,990)
At end of year	101,209	132,469	41,118	42,682
ii) Amounts recognised in profit or loss				
Interest on lease liabilities	33,913	41,418	4,631	4,772
iii) Amounts recognised in statement of cash flows				
Total cash outflow for leases	64,908	74,476	6,195	2,990

iv) Extension options

Where practicable, the Group may seek to include extension options in new leases to provide operational flexibility. The extension options will be exercisable only by the Group and not by the lessors. The Group current opts to negotiate new lease terms with the lessors.

The Group has estimated that the potential future lease payments, should it exercise the extension options, would result in an increase in lease liability of KShs 80 million (2020 – KShs 92 million).

13. a) Investment properties

Group	2021	2020
	KShs.'000	KShs.'000
At start of year	2,383,680	2,518,680
Additions	-	105,737
Acquisition from Saham business	77,000	-
Disposals	-	(155,000)
Transfer from non-current assets held for disposal (Note 13 (b))	70,000	-
Fair value loss	(71,000)	(85,737)
At 31 December	2,459,680	2,383,680

Investment properties are stated at fair value, which has been determined based on valuations performed by Knight Frank Limited during the year. Knight Frank Limited are industry specialists in valuing investment properties and have appropriate recognised professional qualification and recent experience in the location and category of property being valued. The fair value represents the amount at which the assets could be exchanged between a knowledgeable, willing buyer and a knowledgeable, willing seller in an arm's length transaction at the date of valuation.

Valuations are performed on an annual basis and the fair value gains and losses are recorded within the statement of profit or loss. The Group leases some of its investment properties. The rental income arising during the year and expenses arising in respect of those properties are disclosed in Note 6 (a).

Amounts recognised in statement of profit or loss:

	2021	2020
	Kshs. '000	Kshs. '000
Rental income from operating leases	147,787	116,645
Direct operating expenses from property that generated rental income	(67,042)	(59,188)

Leasing arrangements

The investment properties are leased to tenants under operating leases with rentals payable monthly. Although the Company is exposed to changes in the residual value at the end of the current leases, the Company typically enters into new operating leases and therefore will not immediately realise any reduction in residual value at the end of these leases. Expectations about the future residual values are reflected in the fair value of the properties

Notes to the Financial Statements

13. a) Investment properties (continued)

Minimum lease payments receivable on leases of investment properties are as follows

	2021	2020
	KShs.'000	KShs.'000
Within 1 year	92,987	86,904
Within 2 – 5 years	374,903	350,377
Later than 5 years	227,689	212,793
	695,579	650,074

Valuation technique used to derive level 3 fair values

Level 3 fair values of land and buildings have been derived using the sales comparison approach. Sales prices of comparable land and buildings in proximity are adjusted for differences in key attributes such as property size and location.

The following table shows the valuation technique used in measuring the fair values of investment properties, as well as the significant unobservable inputs used.

Valuation technique	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
Discounted cash flows: The valuation model considers the present value of net cash flows to be generated from the property, taking into account expected rental growth rate, void periods, occupancy rate, lease incentive costs such as rent-free periods and other costs not paid by tenants.	Expected market rental growth 5%. Void periods 6 months at the beginning of each lease. Occupancy rate 90%. Rent-free periods 6 months at the beginning of each lease. Discount rate 14%.	The estimated fair value would increase (decrease) if: – expected market rental growth were higher (lower); – void periods were shorter (longer); – the occupancy rate were higher (lower); – rent-free periods were shorter (longer); or – the discount rate were lower (higher).

13. a) Investment properties (continued)

The fair valuation basis considers the existing use and the tenancies and considers the normal lease structure for similar buildings.

The table below analyses the non-financial assets carried at fair value, by valuation method. The different levels have been defined as follows:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or immediately (that is, derived from prices) (Level 2).
- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (Level 3).

	Level 1	Level 2	Level 3	Total
	KShs. '000	KShs. '000	KShs. '000	KShs. '000
As at 31 December 2021				
Investment properties	-	-	2,459,680	2,459,680
As at 31 December 2020				
Investment properties	-	-	2,383,680	2,383,680

The fair value of investment property was determined by reference to the market prices of similar properties of the type and in the area in which the property is situated.

13 (b) Non-current asset held for disposal

	2021	2020
	KShs.'000	KShs.'000
At 1 January	70,000	-
Additions	-	900,000
Disposals	-	(833,500)
Transfer to investment properties (Note 13(a))	(70,000)	-
Fair value loss	-	3,500
Total	-	70,000

Notes to the Financial Statements

13. b) Non-current asset held for disposal (continued)

Income from non-current assets held for disposal

	2021	2020
	KShs.'000	KShs.'000
Net rental income	(5,405)	6,357
Fair value loss on investment properties	-	3,500
Net (expenses) income	(5,405)	2,857

Assets classified as held for disposal are assets expected to be disposed within the next 12 months.

Changes in fair values are recognised as gains in profit or loss and included in fair value (loss)/gain. All losses are realised. There are no cumulative income or expenses included in OCI relating to the disposal group.

14. (a) Investments in subsidiaries

Company	Shareholding in 2021	At 1 January 2021	Impairment of investment in subsidiary	At 31 December 2021
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Sanlam Life Insurance Limited	100%	873,399	-	873,399
Sanlam Securities Limited	100%	679,009	(195,112)	483,897
Sanlam Investments Limited	100%	-	-	-
Sanlam General Insurance Limited	71.84%	701,027	(606,385)	94,642
		2,253,435	(801,497)	1,451,938

14. (a) Investments in subsidiaries (continued)

During the year, the Company assessed the carrying amount for the investments in Sanlam Securities Limited and Sanlam General Insurance Limited, which exceeded the net asset value attributable to the Company and therefore an indication of impairment loss was evident as indicated above and the Company recognised the impairment.

Company	Shareholding in 2020	At 1 January 2020	Impairment of investment in subsidiary	At 31 December 2021
		KShs.'000	KShs.'000	KShs.'000
Sanlam Life Insurance Limited	100%	873,399	-	873,399
Sanlam Securities Limited	100%	679,009	-	679,009
Sanlam Investments Limited	100%	-	-	-
Sanlam General Insurance Limited	71.84%	700,801	226	701,027
		2,253,209	226	2,253,435

Set out below is the summarised financial information of Sanlam General Limited, the only subsidiary whose non-controlling interest is material to the Group. The amounts disclosed are before intercompany eliminations.

Summarised statement of financial position	2021	Restated 2020
	KShs.'000	KShs.'000
Total assets	4,667,416	4,287,261
Total liabilities	(4,536,151)	(3,655,084)
Net assets	131,265	632,177
Summarised statement of comprehensive income		
Gross written premiums	4,672,756	3,741,095
Underwriting loss	(668,951)	(385,279)

Notes to the Financial Statements

14. (a) Investments in subsidiaries (continued)

	2021	Restated 2020
	KShs.'000	KShs.'000
Loss before income tax	(668,951)	(385,279)
Income tax expense	168,039	(27,077)
Other comprehensive income	-	-
Total comprehensive income for the year	(500,912)	(412,356)
Total comprehensive income allocated to non-controlling interests	(141,070)	(116,130)
Summarised cash flows		
Net cash generated from operating activities	374,585	211,145
Net cash used in investing activities	(319,216)	(169,264)
Net cash used in financing activities	(11,582)	(22,423)
Net increase in cash and cash equivalents	43,787	19,458
Cash and cash equivalents at start of year	272,823	253,365
Effects of changes in exchange rates	13,619	-
Cash and cash equivalents at end of year	330,229	272,823

14. (b) Investment in associate

		2021	2020
Investments comprise:	Principal activity	Shareholding	Shareholding
Runda Water Limited	Water distribution	24.90%	24.90%

Runda Water Limited is a private entity incorporated in Kenya. The entity is not listed on any public exchange and there is no published price quotation for the fair value of this investment. The principal place of business of the associate is Delta Riverside, Riverside Drive. The share capital in the entity is solely made up of ordinary shares. The reporting date of Runda Water Limited is the same as the Group's and both use uniform accounting policies. There are no contingent liabilities relating to the group's interest in the associates. The investment in associate carried at net assets value attributable to the Group of KShs 17,779,000 and at investment cost in the company amounting KShs 4,863,000 as at 31 December 2020 were fully impaired in the Group and Company respectively in the year ended 31 December 2020 and share of its results are no longer equity accounted for in these financial statements.

Below are extracts of the last audited financial statements of Runda Water Limited.

	2020	2019
	KShs.'000	KShs.'000
Summarised statement of financial position		
Total assets	144,735	127,250
Total liabilities	(40,844)	(51,229)
Net assets	103,891	76,021
Summarised statement of comprehensive income		
Gross revenues	59,269	63,075
Administration and other expenses	(55,329)	(54,133)
Profit for the year before tax	3,940	8,942
Tax Credit/(expense)	3,205	(2,663)
Profit for the year after tax	7,145	6,279

Notes to the Financial Statements

14. (b) Investment in associate (continued)

Carrying value in the statement of financial position

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At 1 January	-	17,779	-	4,863
Impairment of investment in associate	-	(17,779)	-	(4,863)
At 31 December	-	-	-	-

c) Non-controlling interest movement

Sanlam General Insurance Limited (28.16%)	2021	2020
	KShs.'000	Kshs. '000 Restated
At 1 January	178,036	293,937
NCI share of total comprehensive income	(141,070)	(116,130)
Capital Injection	-	226
Net assets valued changes on injection	-	3
At 31 December	36,966	178,036

15. Loans

	Group	
	2021	2020
	KShs.'000	Kshs. '000
Mortgage loans (Note 15 (a))	95,660	99,436
Policy loans (Note 15 (b))	154,976	197,281
IPF loans (Note 15 (c))	-	3,602
Total loans	250,636	300,319

15. Loans (continued)

As at the reporting date, the carrying value of the loans receivable fairly approximates the fair value of the loans. Mortgage loans are secured on the underlying property while policy loans are secured by the cash surrender value of the underlying policies.

a) Mortgage loans

Gross mortgage loans	Group	
	2021	2020
	KShs.'000	Kshs. '000
At 1 January	127,639	134,441
Accrued interest	5,102	4,854
Loan repayments	(8,885)	(11,656)
At 31 December	123,856	127,639
Impairment:		
At 1 January	(28,203)	(28,362)
Movement in the year	7	159
At 31 December	(28,196)	(28,203)
Net mortgages at 31 December	95,660	99,436

Notes to the Financial Statements

15. Loans (continued)

a) Mortgage loans (continued)

Maturity profile of mortgage loans	Group	
	2021	2020
	KShs.'000	Kshs. '000
Loans maturing:		
Within 1 year	54,868	48,094
In 1 - 5 years	36,003	20,878
After 5 years	32,985	58,667
	123,856	127,639

b) Policy loans

At 1 January	254,390	309,791
Additions	93,082	88,684
Repayments	(129,101)	(167,590)
Interest accrued	13,998	23,505
At 31 December	232,369	254,390

Provision for impairment:

At 1 January	(57,109)	(57,109)
Movement in the year	(20,284)	-
At 31 December	(77,393)	(57,109)

Net policy loans

	154,976	197,281
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Maturity profile of Policy loans

Loans maturing:		
Within 1 year	105,018	114,064
In 1 - 5 years	48,391	71,854
After 5 years	78,960	68,472
	232,369	254,390

c) Insurance premium finance loans (IPF)

At start of year	21,464	23,139
Repayments	-	(1,675)
At end of year	21,464	21,464

Provision for impairment:

At start of the year	(17,862)	-
Increase during the year	(3,602)	(17,862)
At end of the year	(21,464)	(17,862)

Net insurance premium finance loans

	-	3,602
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15. Loans (continued)**Maturity profile**

All insurance premium finance loans are provided to policyholders of Sanlam General over a period not exceeding 10 months and are therefore due within one year.

16. Financial assets at fair value through profit and loss**a) Classification**

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value through profit or loss and
- those to be measured at amortised cost.

For assets measured at fair value, gains and losses will be recorded in profit or loss.

At 31 December 2021:	Amortised cost	Fair value through profit or loss	Total
	KShs.'000	KShs.'000	KShs.'000
Equity securities	-	671,655	671,655
Government securities	-	25,259,492	25,259,492
Deposits with financial institutions	-	1,048,650	1,048,650
Total	-	26,979,797	26,979,797
At 31 December 2020:	Amortised cost	Fair value through profit or loss	Total
	KShs.'000	KShs.'000	KShs.'000
Equity securities	-	516,342	516,342
Government securities	-	22,012,625	22,012,625
Deposits with financial institutions	-	1,247,857	1,247,857
Total	-	23,776,824	23,776,824
Company			
Assets measured at fair value through profit or loss	2021	2020	
	KShs.'000	KShs.'000	
Deposits with financial institutions	180,357	-	
Total	180,357	-	

All the government securities and deposits with financial institutions are measured at fair value through profit or loss.

Notes to the Financial Statements

16. Financial assets at fair value through P&L (continued)

Financial assets movement

The movement in financial assets is as shown below:

Year ended 31 December 2021:	Opening balance	IFRS 9 adjustment	Purchases	Disposals	Fair value adjustment	Accrued interest	Closing balance
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Equity securities	516,342	-	210,880	(73,486)	17,919	-	671,655
Government securities	22,012,625	(212)	7,905,828	(4,350,854)	(325,182)	17,287	25,259,492
Deposits with financial institutions	1,247,857	245	(2,998,658)	2,791,662	7,544	-	1,048,650
Total	23,776,824	33	5,118,050	(1,632,678)	(299,719)	17,287	26,979,797
Year ended 31 December 2020	Opening balance	IFRS 9 adjustment	Purchases	Disposals	Fair value adjustment	Accrued interest	Closing balance
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Equity securities	1,933,402	-	66,766	(1,197,395)	(286,431)	-	516,342
Government securities	18,681,638	516	5,995,089	(2,676,603)	(7,513)	19,498	22,012,625
Corporate bonds	53,695	-	-	(52,418)	(1,277)	-	-
Deposits with financial institutions	573,740	6,714	(3,271,443)	2,828,088	20,096	1,090,662	1,247,857
Total	21,242,475	7,230	2,790,412	(1,098,328)	(275,125)	1,110,160	23,776,824

Maturity analysis:

As at 31 December 2021	< 1 year	1 - 5 years	> 5 years	Open ended	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Equity securities	-	-	-	671,655	671,655
Government securities	684,084	1,065,387	23,510,021	-	25,259,492
Deposits with financial institutions	1,048,650	-	-	-	1,048,650
Total	1,732,734	1,065,387	23,510,021	671,655	26,979,797
As at 31 December 2020	< 1 year	1 - 5 years	> 5 years	Open ended	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Equity securities	-	-	-	516,342	516,342
Government securities	489,024	1,974,846	19,548,755	-	22,012,625
Deposits with financial institutions	1,247,857	-	-	-	1,247,857
Total	1,736,881	1,974,846	19,548,755	516,342	23,776,824

16. Financial assets at fair value through P&L (continued)

Included within the government securities are bonds held under lien as required by the Insurance Regulatory Authority. The Group has the positive intention and ability to hold these bonds until maturity.

d) Determination of fair value and fair value hierarchy

Below is the required disclosure of fair value measurements, using a three-level fair value hierarchy that reflects the significance of the inputs used in determining the measurements.

Level 1

Included in level 1 category are financial assets and liabilities that are measured in whole or in part by reference to unadjusted, quoted prices in an active market for identical assets and liabilities. Quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

Included in level 2 category are financial assets and liabilities measured using inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices). For example, instruments measured using a valuation technique such as discounted cash flows, based on assumptions that are supported by prices from observable current market transactions are categorised as level 2. The Group's level 2 financial assets indicated below comprise of unquoted equities and fixed deposit with financial institutions which are at fair value through profit or loss.

Fair value is determined by discounting estimated cash flows with a discount rate based on a market yield for similar instruments at year-end. Inputs applied include a market discount rate and credit risk of the counterparty. The market discount rate used is the 91 days treasury bill rate.

Level 3

Financial assets and liabilities measured using inputs that are not based on observable market data are categorised as level 3. Non-market observable inputs mean that fair values are determined in whole or in part using a valuation technique (model) based on assumptions that are neither supported by prices from observable current market transactions in the same instrument nor are they based on available market data.

Significant unobservable inputs are developed as follows.

- Expected prepayment rates are derived from historical prepayment trends, adjusted to reflect current conditions.
- The probabilities of defaults and loss severities for commercial assets are derived from the CDS market. When this information is not available, the inputs are obtained from historical default and recovery information and adjusted for current conditions.
- The probabilities of default and loss severities for retail assets are derived from historical default and recovery information and adjusted for current conditions.
- Correlations between and volatilities of the underlying are derived through extrapolation of observable volatilities, recent transaction prices, quotes from other market participants, data from consensus pricing services and historical data adjusted for current conditions.
- Risk-adjusted spreads are derived from the CDS market (when this information is available) and from historical defaults and prepayment trends adjusted for current conditions.
- Expected cash flows are derived from the entity's business plan and from historical comparison between plans and actual results.

Notes to the Financial Statements

16. Financial assets at fair value through P&L (continued)

d) Determination of fair value and fair value hierarchy (continued)

Valuation techniques are used to the extent that observable inputs are not available, thereby allowing for situations for which there is little, if any, market activity for the asset or liability at the measurement date. However, the fair value measurement objective remains the same, that is, an exit price from the perspective of the Group. Therefore, unobservable inputs reflect the Group's own assumptions about the assumptions that market participants would use in pricing the asset or liability (including assumptions about risk). These inputs are developed based on the best information available, which might include the Group's own data.

As at 31 December 2021	Level 1	Level 2	Level 3	Total fair value
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Equity securities	227,155	444,500	-	671,655
Government securities	25,259,492	-	-	25,259,492
Deposits with financial institutions	-	1,048,650	-	1,048,650
Total	25,486,647	1,493,150	-	26,979,797
As at 31 December 2020	Level 1	Level 2	Level 3	Total fair value
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Equity securities	80,691	435,651	-	516,342
Government securities	22,012,625	-	-	22,012,625
Deposits with financial institutions	-	1,247,857	-	1,247,857
Total	22,093,316	1,683,508	-	23,776,824

COVID-19 introduced market volatility which affected the fair values of the instruments at Fair value. The disclosures above include the impact of these volatilities.

17. Weighted average effective interest rate

The following table summarises the fixed average effective interest rates at the year-end on the principal interest-bearing investments. The interest contractual rates do not fluctuate during the term of the investments.

	2021	2020
Treasury bills	10%	10%
Treasury bonds	12%	12%
Mortgage loans and corporate bonds	6%	6%
Deposits with financial institutions	10%	8%
Policy loans	8%	10%

18. Reinsurance share of insurance contract liabilities

The reinsurance asset can be broken down as follows;

	Group	
	2021	2020
	KShs. '000	Kshs. '000
Long term business reinsurance asset (Note 18 (i))	382,317	125,807
General business reinsurance asset (Note 18 (ii))	1,143,154	1,234,846
	1,525,471	1,360,653

The following is a summary of the movements in the reinsurance share of insurance contract liabilities:

i) Long term reinsurance asset movement

	Group	
	2021	2020
	KShs. '000	Kshs. '000
Opening balance	125,807	143,398
Current year movement (Note 24 (b))	256,510	(17,591)
	382,317	125,807

ii) General reinsurance asset movement

Reinsurers' share of:

Notified claims outstanding	476,112	549,352
Unearned premium	544,203	607,376
Additional unexpired risk reserve (AURR)	6,087	-
Claims incurred but not reported (IBNR)	116,752	78,118
	1,143,154	1,234,846

Notes to the Financial Statements

19. Inventory

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At start of year	89,564	89,564	89,564	89,564
Additions	1,736	-	1,736	-
Disposal	(1,604)	-	(1,604)	-
At end of year	89,696	89,564	89,696	89,564

Inventory is measured at the lower of cost and net realisable value.

20. Receivables and deferred acquisition costs

(a) Insurance receivables

	Group	
	2021	2020
	KShs.'000	Kshs. '000 Restated
Due from policyholders	1,628,847	2,696,839
Provision for doubtful debts	(1,039,386)	(2,301,521)
Net amount due from policyholders	589,461	395,318
Amounts due from reinsurers	477,764	471,770
Provision for doubtful debts	(20,686)	(20,686)
Amounts due to/ from agents, brokers and intermediaries	(210,465)	158,217
	836,074	1,004,619

20. Receivables and deferred acquisition costs (continued)**(a) Insurance receivables (continued)**

The amounts receivable do not carry interest and are due within period ranging from 30 days to 180 days. The impairment is charged to expenses in the respective period. The carrying amounts disclosed above reasonably approximate fair value at the reporting date.

(b) Receivables and other financial assets

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Amounts due from related parties (Note 33 (a))	4,878	-	4,769	2,587
Rent outstanding	58,981	14,179	-	-
Prepayments	37,010	32,086	11,354	9,852
VAT claimable	49,848	53,669	-	-
Other receivables	182,577	91,263	23,224	13,769
Total	333,294	191,197	39,347	26,208

The carrying amounts disclosed above reasonably approximate fair value at reporting date due to their short-term nature.

(c) Deferred acquisition costs

The movement in deferred acquisition costs is shown below;

	Group	
	2021	2020
	KShs.'000	KShs.'000
At start of year	198,477	172,008
Net movements in the year	45,492	26,469
At end of year	243,969	198,477

Notes to the Financial Statements

21. Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise the following:

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000 Restated	KShs.'000	KShs.'000
Cash and bank balances	658,260	538,518	10,497	5,220
Deposits with financial institutions (Note 16)	1,048,650	1,247,857	180,357	-
	1,706,910	1,786,375	190,854	5,220

Short-term deposits are made for varying periods of between one day and three months depending on the immediate cash requirements of the Group. The carrying amounts disclosed above reasonably approximate fair value at the reporting date.

22. Capital and reserves

Group and Company:

Share capital	Ordinary shares		2021	2020
	Thousands	KShs.'000	KShs.'000	KShs.'000
At start of year	144,000	720,000	720,000	720,000
At end of year	144,000	720,000	198,477	

The total number of authorised ordinary shares is 400,000,000 with a par value of KShs 5 per share. There are 144,000,000 shares in issue with a par value of KShs 5 per share. All issued shares are fully paid.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Group and Company. All ordinary shares ranked equally with regards to the Group and Company residual assets.

22. Capital and reserves (continued)

Statutory fund

The statutory fund represents a reserve maintained within the long-term insurance business and represents unallocated surpluses from previous actuarial valuations as required by section 46 (5) of the Insurance Act. Transfers from this fund are made upon recommendation of the actuary. This movement has been shown on the statement of changes in equity.

Through a business transfer agreement on 23 June 2021, Saham Assurance Company Kenya Limited transferred its life assurance business in Kenya to Sanlam Life insurance Limited. The business transferred consisted of the life fund made up of the long-term policy liabilities amounting to Kshs 189,714,000 and a net surplus on the fund of Kshs 31,183,000.

	Group	
	2021	2020
	KShs.'000	Kshs. '000
Balance at the beginning of the year	1,323,581	1,312,284
Transfer to the statutory fund	641,987	498,513
Transfer to retained earnings	(397,074)	(487,216)
Acquired on business transfer	31,183	-
Closing fund	1,599,677	1,323,581

23. Borrowings

Finance costs incurred

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Lease liabilities finance costs (note 12(c))	33,913	41,418	4,631	4,742
Accrued interest	398,432	265,927	398,432	265,927
Interest on related party balance	-	-	7,273	7,665
Foreign exchange loss on revaluation of borrowings	86,518	213,651	86,518	213,651
	484,950	479,578	492,223	487,243
Total finance cost	518,863	520,996	496,854	491,985

Notes to the Financial Statements

23. Borrowings (continued)

Finance costs incurred (continued)

The movement in the loan balance during the period is as shown below;

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At start of year	2,976,861	2,763,210	2,976,861	2,763,210
Loans received during the year	3,000,000	-	3,000,000	-
Accrued interest	398,432	265,927	398,432	265,927
Forex exchange loss	86,517	213,651	86,517	213,651
Interest repayments	(421,696)	(265,927)	(421,696)	(265,927)
Loan repayments	(3,040,114)	-	(3,040,114)	-
At end of year	3,000,000	2,976,861	3,000,000	2,976,861

Net debt reconciliation

This section sets out an analysis of net debt and the movements in net debt for each of the periods presented

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Cash and cash equivalents	658,260	898,595	10,497	5,220
Liquid investments*	26,979,797	23,776,824	-	-
Borrowings	(3,000,000)	(2,976,861)	(3,000,000)	(2,976,861)
Lease liabilities	(101,209)	(132,469)	(41,118)	(42,682)
Total finance cost	27,536,848	21,566,089	(3,030,621)	(3,014,323)

* Liquid investments comprise current investments that are traded in an active market, being the group's financial assets held at FVTPL.

23. Borrowings (continued)

Maturity profile of the borrowings:

The maturity profile of borrowing is as shown below:

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
- Current	-	2,976,861	-	2,976,861
- Non-Current	3,000,000	-	3,000,000	-
At end of year	3,000,000	2,976,861	3,000,000	2,976,861

The Group on 21 December 2017 and on 19 December 2018 acquired loan facilities from Sanlam Capital Markets Property Limited of USD10million and USD17million respectively for a period of two years each whose interest was referenced to the 3month LIBOR plus 7% margin. The facility was obtained to settle intercompany balances with related parties, recapitalize the Group's insurance businesses and finance completion of the Sanlam Tower. Sanlam Plc extended repayment to 17 February 2021 and refinanced the loan facilities with a Kenya shilling loan from Stanbic Bank of KShs 3 billion at a cost of 11.7% for a term of three years and four year with two equal repayment amounts due on 17 February 2023 and 17 February 2024. The Group was not in default of any loan agreement during the year ended 31 December 2021.

24. Insurance contract liabilities

The insurance contract liabilities are made up of liabilities arising from both general and long-term insurance contracts. The balances as presented in the statement of financial position are made up as follows;

	2021	2020
	KShs.'000	Kshs.'000
Insurance contract liabilities		
- General insurance policy liabilities	2,146,881	1,373,344
- Long term policy liabilities	18,767,763	15,457,719
Total insurance contract liabilities	20,914,644	16,831,063
Investment contract liabilities - long-term	2,750,782	3,890,109
Payables under deposit administration contracts	2,592,275	1,546,627
Total insurance contract liabilities	5,343,057	5,436,736
Total liabilities	26,257,701	22,267,799

For purposes of the financial statement disclosures, the liabilities have been categorised as follows;

General insurance policy liabilities (Note 24(a))	2,146,881	1,373,344
Long term policy liabilities (insurance and investment contracts) (Note 24(b))	21,518,545	19,347,828
Payables under deposit administration (Note 24(b))	2,592,275	1,546,627
	26,257,701	22,267,799

Notes to the Financial Statements

24. Insurance contract liabilities (continued)

(a) Group policy liabilities – General insurance

The movement in the Group general insurance contract liabilities and reinsurance assets are shown below;

	2021			2020		
	Gross	Reinsurance	Net	Gross	Reinsurance	Net
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At beginning of year	1,373,344	627,470	745,874	947,676	258,013	689,663
Cash paid for claims settled in year	(2,881,690)	(1,164,193)	(1,717,497)	(1,799,569)	(688,133)	(1,111,437)
Movement in liabilities						
- arising from IBNR	280,393	38,708	241,685	42,995	26,739	16,256
- arising from AURR	27,403	6,087	21,316	(5,128)	(2,258)	(2,870)
- arising from current year claims	3,347,431	1,090,879	2,256,552	2,187,371	1,033,109	1,154,262
- arising from prior year claims	-	-	-	-	-	-
Total at end of year	2,146,881	598,951	1,547,930	1,373,344	627,470	745,874
Notified claims	1,617,240	476,112	1,141,128	1,151,499	549,352	602,147
Additional unexpired risk reserve (AURR)	27,403	6,087	21,316	-	-	-
Incurred but not reported (IBNR)	502,238	116,752	385,486	221,845	78,118	143,727
Total at end of year	2,146,881	598,951	1,547,930	1,373,344	627,470	745,874

24. Insurance contract liabilities (continued)

b) Group long-term policy liabilities

Long term policy liabilities refer to the amount that needs to be set aside by the life assurance company within the Group in order to be able to cover future obligations to policy holders. It is the difference between the present value of the future benefits and the present value of the expected premiums. In the case of unit linked policies, it is the current value of the fund held by the Group on behalf of policy holders.

Current value of unit linked fund is determined by multiplying the number of units purchased by the policyholder from premium by the unit price as at the valuation date. This is done at a policy by policy level. The number of units purchased is a function of allocated premium using factors based on age, term and defined allocation criteria.

Summary of movements is as shown below;

	2021			2020		
	Total	Insurance and Investment contracts	Deposit admin contracts	Total	Insurance and Investment contracts	Deposit admin contracts
	KShs.'000	KShs.'000		KShs.'000		KShs.'000
(i) Analysis of movement in policy liabilities:						
Premium income/contributions (net)	7,438,696	6,284,016	1,154,680	5,501,501	4,804,847	696,654
Income on Investment	2,635,450	2,440,809	194,641	2,218,165	2,068,460	149,705
Asset management fees	(53,006)	(43,278)	(9,728)	(51,582)	(45,967)	(5,615)
Net investment income	2,582,444	2,397,531	184,913	2,166,583	2,022,493	144,090
Income /Inflow	10,021,140	8,681,547	1,339,593	7,668,084	6,827,341	840,743
Policy benefits (net)	(4,615,284)	(4,355,422)	(259,862)	(4,258,988)	(3,856,926)	(402,062)
Sales remuneration and administrative expenses	(1,703,899)	(1,653,302)	(50,597)	(1,687,928)	(1,664,155)	(23,773)
Tax Expense	(289,831)	(289,831)	-	(100,794)	(100,794)	-
Transfer to statutory fund	(641,986)	(641,986)	-	(498,513)	(498,513)	-
Outflow	(7,251,000)	(6,940,541)	(310,459)	(6,546,223)	(6,120,388)	(425,835)
Net movement for the year	2,770,140	1,741,006	1,029,134	1,121,860	706,952	414,908
Balance at beginning of the year (net of reinsurance)	20,894,456	19,347,828	1,546,628	19,790,186	18,658,467	1,131,719
Business transfer from Saham	189,714	173,201	16,513	-	-	-
Contract liabilities ceded to reinsurers	256,510	256,510	-	(17,591)	(17,591)	-
Balance at end of year	24,110,820	21,518,545	2,592,275	20,894,455	19,347,828	1,546,627

Notes to the Financial Statements

24. Insurance contract liabilities (continued)

b) Group Long-term policy liabilities (continued)

The assets backing the amounts payable under deposits administration contracts are included in the investments reported by the group under fair value through profit and loss and deposits with financial institutions. The carrying values of the liabilities approximate the fair value of the investments.

The carrying amounts disclosed above reasonably approximate fair value at the reporting date.

The impact of COVID-19 on the insurance contract liabilities has been assessed to be immaterial. No COVID-19 overlays have been applied in the estimation of the insurance contract liabilities.

(ii) Maturity analysis of long term policy liabilities:

	< 1 year	1-5 years	>5 years	>10 years	open ended	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
As at December 2021:						
Linked and market-related investment contract liabilities	637,162	1,772,220	317,312	24,088	-	25,259,492
Insurance contract liabilities:						
Reversionary bonus policies	785,781	1,451,395	1,646,347	439,881	-	4,323,404
Other non-participating liabilities	1,960,464	4,631,330	3,689,208	3,970,623	192,734	14,444,359
Total insurance contracts	2,746,245	6,082,725	5,335,555	4,410,504	192,734	18,767,763
Deposit administration contracts	-	-	-	-	2,592,275	2,592,275
Total long-term policy liabilities	3,383,407	7,854,945	5,652,867	4,434,592	2,785,009	24,110,820
As at December 2020:						
Linked and market-related investment contract liabilities	1,141,697	2,143,761	604,650	-	-	3,890,109
Insurance contract liabilities:						
Reversionary bonus policies	357,450	1,291,856	1,736,247	-	-	3,385,553
Other non-participating liabilities	1,262,485	3,645,934	6,972,317	-	191,431	12,072,166
Total insurance contracts	1,619,935	4,937,789	8,708,564	-	191,431	15,457,719
Deposit administration contracts	-	-	-	-	1,546,627	1,546,627
Total long-term policy liabilities	2,761,632	7,081,551	9,313,214	-	1,738,058	20,894,455

24. Insurance contract liabilities (continued)**b) Group Long-term policy liabilities (continued)**

The maturity analysis for the long-term policy liabilities is derived from the contract period of the underlying policies.

The carrying amounts disclosed above reasonably approximate fair value at the reporting date.

The following is a summary of the contract provisions and related reinsurance assets as at 31 December 2021:

	Gross provisions	Reinsurance assets	Net
	KShs.'000	KShs.'000	KShs.'000
Long-term business:			
Insurance contracts liabilities	18,767,763	(382,317)	18,385,446
Investment contract liabilities	2,750,782	-	2,750,782
Deposit administration contracts	2,592,275	-	2,592,275
	24,110,820	(382,317)	23,728,503

The following is a summary of the contract provisions and related reinsurance assets as at 31 December 2020:

	Gross provisions	Reinsurance assets	Net
	KShs.'000	KShs.'000	KShs.'000
Long-term business:			
Insurance contracts liabilities	15,457,720	(125,807)	15,331,913
Investment contract liabilities	3,890,108	-	3,890,108
Deposit administration contracts	1,546,627	-	1,546,627
	20,894,455	(125,807)	20,768,648

The summary of the movements in the reinsurance asset is outlined in Note 18.

Notes to the Financial Statements

24. Insurance contract liabilities (continued)

c) Interest and bonus declaration

Deposit administration contracts

The liabilities of the Group in respect of funds managed under deposit administration contracts are shown inclusive of interest accumulated to year end i.e. 31 December. Interest was declared and credited to the customer accounts at a weighted average rate of 6% (2020: 8%).

Guaranteed funds

The objective of our guaranteed funds is to ensure preservation of capital and protect policyholders against adverse market movements. The fund is invested in a suitable asset mix to ensure stable returns. The guaranteed amount is provided when there is adverse market movement otherwise when the market outperforms the guarantee, the policyholders benefit in the outperformance. The guarantee ranges from 2% to 5% depending on the objectives of the fund. The guaranteed funds amounted to KShs 5,343,056,000 as at end of 2021 (2020: KShs 5,436,736,000) as indicated in the table below.

	2021	2020
	KShs.'000	Kshs. '000
Investment contract liabilities	2,750,782	3,890,108
Payable under deposit administration contracts	2,592,275	1,546,627
Total guaranteed funds	5,343,057	5,436,735

Insurance contracts

The insurance contract liabilities are shown gross of bonus declaration. Bonus to with profit policies was declared and credited as follows:

Reversionary bonus	1.5%	1.5%
Terminal bonus	1.5%	1.5%
Total bonus declared	3.0%	3.0%

Reversionary bonus vest immediately while terminal bonus vest after 8 years or on maturity if earlier.

24. Insurance contract liabilities (continued)

The development of insurance liabilities provides a measure of the Group's ability to estimate the ultimate value of claims. The table below illustrates how the Group's estimate of total claims outstanding for each accident year has changed at successive year ends.

	2014	2015	2016	2017	2018	2019	2020	2021
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
Accident year	79,724	71,994	152,288	366,025	520,431	307,784	724,141	866,431
One year later	140,954	152,185	77,524	171,044	94,099	149,637	251,721	-
Two years later	140,957	86,936	52,955	76,710	45,894	99,010	-	-
Three years later	66,336	49,377	24,144	32,497	80,044	-	-	-
Four years later	44,677	31,803	8,762	37,199	-	-	-	-
Five years later	31,348	20,512	15,767	-	-	-	-	-
Six years later	15,816	16,171	-	-	-	-	-	-
Seven years later	11,689	-	-	-	-	-	-	-
Current estimate of cumulative claims	188,419	320,524	478,280	1,430,198	1,248,113	847,091	1,336,350	1,925,376
Cumulative payments to date	176,730	304,353	462,514	1,392,999	1,168,069	748,081	1,084,629	1,058,945
Incurred but not reported	27	4	1,685	19,145	16,418	9,049	99,989	502,238
Total gross claims liability included in the statement of financial position	11,716	16,175	17,451	56,344	96,463	108,059	351,710	2,146,881

25. Unearned premium reserve

Unearned premiums reserve represents the liability for general business contracts where the Group's obligations are not yet expired at the year end. The movements in the reserve are as shown below;

	2021			2020		
	Gross	Reinsurance	Net	Gross	Reinsurance	Net
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
At beginning of year	1,847,958	(607,376)	1,240,582	1,265,707	(350,125)	915,582
Net increase in the period	117,966	(257,251)	(139,285)	582,251	(257,251)	325,000
At end of year	1,965,924	(864,627)	1,101,297	1,847,958	(607,376)	1,240,582

26. Provisions

	Group	
	2021	2020
	KShs.'000	Kshs. '000
General provision on insurance claims	34,570	34,620
	34,570	34,620
The movement in the provisions is as follows:		
At 1 January	34,620	34,619
Used amounts reversed	(50)	1
At end of year	34,570	34,620

The above provisions relate to provisions on insurance claims under special arrangements and the directors have a reason to believe the amounts provided will be paid out as benefits under the claims.

27. Deferred income taxation

a) Recognized deferred tax at Group

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2020: 25%). The movement on the deferred income tax account is as follows:

	At start of year	(Charge)/credit to Income statement	Prior year adjustment	Acquired on business transfer	Transfer to current tax	At end of year
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
For the year ended 31 December 2021:						
Property and equipment	12,594	614	-	-	-	13,208
Other deductible differences	141,252	165,789	2,250	-	-	309,291
Deferred tax on life fund surplus	(567,249)	(275,137)	-	(13,365)	170,175	(685,576)
	(413,403)	(108,734)	2,250	(13,365)	170,175	(363,077)
Deferred tax asset	153,846	166,403	2,250	-	-	322,499
Deferred tax liability	(567,249)	(275,137)	-	(13,365)	170,175	(685,576)
For the year ended 31 December 2020:						
Property and equipment	8,020	4,574	-	-	-	12,594
Other deductible differences	147,192	(5,459)	(481)	-	-	141,252
Deferred tax on life fund surplus	(649,620)	(80,034)	-	-	162,405	(567,249)
	(494,408)	(80,919)	(481)	-	162,405	(413,403)
Deferred tax asset	155,212	(885)	(481)	-	-	153,846
Deferred tax liability	(649,620)	(80,034)	-	-	162,405	(567,249)

b) Unrecognised deferred tax asset

For the year ended 31 December 2021:						
	Group			Company		
	At start of year	Movement	At end of year	At start of year	Movement	At end of year
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Temporary differences on property and equipment	(1,705)	4,478	2,774	(1,705)	4,478	2,774
Other temporary differences	288,135	(241,283)	46,852	288,135	(241,283)	46,852
Trading tax losses	554,384	(244,861)	309,523	554,384	(244,861)	309,523
Total	840,814	(481,666)	359,149	840,814	(481,666)	359,149
Deferred tax asset @30%	252,244	(144,500)	107,745	252,244	(144,500)	107,745

Notes to the Financial Statements

27. Deferred income taxation (continued)

b. Unrecognised deferred tax asset (continued)

	Group			Company		
	At start of year	Movement	At end of year	At start of year	Movement	At end of year
	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000	KShs.'000
For the year ended 31 December 2020:						
Temporary differences on property and equipment	3,706	(5,410)	(1,705)	3,706	(5,410)	(1,705)
Other temporary differences	14,112	274,023	288,135	14,112	274,023	288,135
Trading tax losses	597,227	(42,842)	554,384	597,227	(42,842)	554,384
Total	615,045	225,771	840,814	615,045	225,771	840,814
Deferred tax asset @30%	184,513	67,731	252,244	184,513	67,731	252,244

28. Insurance payables

	Group	
	2021	2020
	KShs.'000	Kshs. '000
Outstanding claims	878,177	876,161
Payables arising out of direct insurance arrangements	175,848	153,753
Payables arising out of reinsurance operations arrangements	118,206	64,607
Total insurance payables	1,172,231	1,094,521

The amounts payable does not carry interest and are due within period ranging from 30 days to 180 days.

29. Payables and other charges

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Amounts due to related parties	22,235	14,185	4,769	597,743
Deposits received from sale of plots	41,550	-	41,550	-
Accruals	450,366	286,601	27,165	60,115
Trade creditors	1,040	-	-	-
Payroll creditors	40,713	37,336	3,476	4,093
Other payables	203,853	415,029	-	123
Total finance cost	759,757	753,151	76,960	662,074

The carrying amounts disclosed above reasonably approximate fair value at reporting date due to their short-term nature. The amounts payable do not carry interest and are due within a period ranging from 30 days to 180 days. Payables and other charges are included in financial liabilities at amortised cost.

30. Earnings per share

The following reflects the income and share data used in the basic and diluted earnings per share computation:

a) Group

	2021	2020
	KShs.'000	KShs.'000 Restated
Net loss attributable to ordinary shareholders for basic and diluted earnings	(401,289)	(512,182)
Weighted average number of ordinary shares for basic and diluted earnings per share in '000	144,000	144,000
Basic loss per ordinary share KShs.	(2.79)	(3.55)
Diluted loss per ordinary share KShs.	(2.79)	(3.55)

Notes to the Financial Statements

30. Earnings per share (continued)

b) Company

	2021	2020
	KShs.'000	Kshs. '000 Restated
Net loss attributable to ordinary shareholders for basic and diluted earnings	(53,510)	(559,678)
Weighted average number of ordinary shares for basic and diluted earnings per share	144,000	144,000
Basic loss per ordinary share KShs.	(0.37)	(3.89)
Diluted loss per ordinary share KShs.	(0.37)	(3.89)

31. Contingent liabilities – Group

Companies in the Group are defendants to legal proceedings filed against them by third parties. The directors are of the opinion that the outcome of these proceedings and claims will not have a material impact on the financial position of the Group.

32. Cash generated from operations

a) Group

Reconciliation of loss before income tax to cash generated from operations:

		2021	2020
	Note	KShs.'000	KShs.'000 Restated
Loss before income tax:		(413,682)	(528,696)
Adjusted for:			
Amortisation of intangible assets	11	16,730	20,442
Depreciation of property and equipment	12(a)	85,225	78,850
Depreciation of right of use assets	12(c)	31,910	52,164
Finance charge on lease	12(c)	33,913	41,418
Cost of sales – Inventory	7(c)	11,061	-
Interest income on financial assets designated at fair value through profit or loss	6(a)	(2,719,379)	(2,222,567)
Fair value losses loss on investment property	6(b)	71,000	85,737
Fair value losses on financial assets at fair value through profit or loss	6(b)	299,719	275,125
Net rental income	6(a)	(80,745)	(116,645)
Other investment income	6(a)	(92,815)	(193,853)
Foreign exchange gain	6(b)	(13,619)	-
Impairment of investment in associate	14(b)	-	17,779
Other operating revenues	6(c)	-	(5,846)
Foreign exchange gain	23	86,517	213,651
Accrued interest	23	398,432	265,927
		(2,285,733)	(2,016,514)
Changes in working capital:			
Actuarial value of policyholder liabilities		2,944,254	1,115,029
Payables under deposit administration contracts		1,045,648	414,909
Reinsurance share of insurance contract liabilities		(164,818)	(609,119)
Insurance receivables		168,545	(66,048)
Unearned premium reserves		117,966	582,251
Deferred acquisition costs		(45,492)	(74,704)
Deferred reinsurance commission		(7,980)	119,189
Insurance payables		77,710	122,284
Receivables and other financial assets		(142,097)	128,102
Provision		(50)	-
Payables and other charges		6,606	(24,327)
Cash utilised in operations		1,714,559	(308,948)

Notes to the Financial Statements

32. Cash generated from/ (used in) operations (continued)

b) Company

Reconciliation of profit before income tax to cash generated from operations

		2021	2020
	Note	KShs.'000	KShs.'000
Loss before income tax:		(48,504)	(556,160)
Adjusted for:			
Investment income	6(a)	(9,457)	(1,368)
Depreciation	12(b)	5,563	6,685
Dividend income	6(a)	(1,000,000)	(180,000)
Write off of intercompany balance (deemed dividend)	6(a)	(425,464)	-
Depreciation of right of use asset	12(c)	4,534	4,486
Finance charge on lease	12(c)	4,631	4,772
Cost of sales – Inventory	7(c)	11,061	-
Interest on intercompany loan	23	7,273	-
Interest expense	23	398,432	265,927
Forex exchange losses	23	86,517	213,651
Impairment of investment in subsidiaries and associate	14	801,497	4,863
		(163,917)	(237,144)
Changes in working capital:			
Receivables and other financial assets		(13,139)	56,190
Payables and other charges		(159,650)	160,104
		(336,706)	(20,850)
Tax paid	10	(646)	-
Net cash used in from operations		(337,352)	(20,850)

33. Related party transactions

The Group is controlled by the following entities;

Name	Type	Place of incorporation	Ownership interest	
			2021	2020
Hubris Holdings Limited	Intermediate parent entity	Kenya	57.14%	57.14%
Sanlam Emerging Markets Proprietary Limited	Intermediate parent entity	South Africa	57.14%	57.14%
Sanlam Limited	Ultimate parent entity and controlling party	South Africa	57.14%	57.14%

There are other companies that are related to the company through common shareholdings or common directorships.

Interests in subsidiaries are set out in note 14 (a).

a) Amounts due from related parties:

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Sanlam Investments Limited (subsidiary)	-	-	-	2,587
Total	-	-	-	2,587

Notes to the Financial Statements

33. Related party transactions (continued)

There were no provisions made or amounts written off on related party balances during the year (2020: nil). The amounts due from related parties are non-interest bearing and will be paid using cash and cash equivalents.

The intercompany balance arises due to functions carried out by one related entity for the benefit of the other, including IT support, investment management and other operation support. The balance are settled on a monthly basis.

b) Loans and amounts due to related parties

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Sanlam Capital Markets (Common ultimate parent) (Note 23)	-	2,976,861	-	2,976,861
Hubris Holding (Parent)	4,878	-	4,878	-
Sanlam Life Insurance Limited (Subsidiary)	-	-	(58)	171,106
Sanlam Securities Limited (Subsidiary)	-	-	(51)	426,637
Sanlam Emerging Markets Proprietary Limited (Intermediate parent)	17,357	14,185	-	-
Total	22,235	2,991,046	4,769	3,574,604

The Group on 21 December 2017 and on 19 December 2018 acquired loan facilities from Sanlam Capital Markets Property Limited of \$10 million and \$17 million respectively for a period of two years each whose interest was referenced to the 3-month LIBOR plus 7% margin. The facility was obtained to settle intercompany balances with related parties, recapitalise the Group's insurance businesses and finance completion of the Sanlam Tower. Sanlam Plc extended repayment to 17 February 2021 and refinanced the loan facilities with a Kenya shilling loan from Stanbic Bank of KShs 3 billion at a cost of 11.7% for a term of three years and four year with two equal repayment amounts due on 17 February 2023 and 17 February 2024. The Group was not in default of any loan agreement during the year ended 31 December 2021.

The amounts due to related parties are non-interest bearing and will be paid using cash and cash equivalents.

The intercompany balance arises due to functions carried out by one related entity for the benefit of the other, including IT support, investment management and other operation support. The balance are settled on a monthly basis.

33. Related party transactions (continued)**c) Key management compensation:**

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Salaries and other short-term employment benefits	336,088	217,243	73,636	62,003
Post-employment benefits	19,649	20,109	7,037	6,937
	355,737	237,352	80,673	68,940

d) Directors' remuneration:

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Fees	23,476	23,361	11,738	11,680
Other emoluments (included in (c) above)	73,636	62,003	73,636	62,003
Total	97,112	85,364	85,374	73,683

e) Directors' pension

Pension benefits	7,037	6,937	7,037	6,937
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Notes to the Financial Statements

33. Related party transactions (continued)

f) Other related party transactions through the statement of profit or loss

	Group		Company	
	2021	2020	2021	2020
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Fund management fees payable to Sanlam Investments East Africa Limited (Common ultimate parent)	45,968	45,968	-	-
Management fees payable to Sanlam Emerging Markets Proprietary Limited (Intermediate parent)	25,854	25,854	-	-
Finance costs payable to Sanlam Capital Markets (Common ultimate parent)	260,468	260,468	68,048	260,468
Interest expense on intercompany advances payable to Sanlam Life Insurance Limited (Subsidiary)	-	-	7,273	6,101
	332,290	332,290	75,321	266,569

g) Particulars of the Group's principal subsidiaries are shown below:

	Country of incorporation and domicile	Primary business operation	% Held
Sanlam Life Insurance Limited	Kenya	Life insurance	100
Sanlam General Insurance Limited	Kenya	General insurance	71.86
Sanlam Securities Limited	Kenya	Investment	100
Sanlam Investments Limited	Kenya	Investment Managers	100
Mae Properties Limited	Kenya	Investment in Properties (dormant)	100
Chem Chemi Mineral Water Limited	Kenya	Dealing with bottled water (dormant)	100

The assets and liabilities held by the respective companies can only be transferred within the subsidiaries if a proper Board resolution is passed and sanctioned by the shareholders as provided by the regulatory framework touching on transfer of the said assets and liabilities.

34. Restatement of prior year comparatives

34.1 Correction of errors

During the year the Group discovered erroneous and material misstatements in one subsidiary arising from omissions of management expenses, overstated cash and bank balances due to erroneous unreconciling items, misstatement of current tax receivable by capital gain tax and overstated direct insurance receivables due to unrecoverable amounts. These errors have been corrected by restating each of the affected financial statement line items in the 2020. The errors did not have any impact on the 2019 financial statements hence these were not restated. The following table summarise the impacts on the Group consolidated financial statements.

Statement of financial position changes:

1. Receivables arising out of direct insurance arrangements reduced due to additional provision for impairment done.
2. Current income tax updated in line with changes in statement of profit and loss and other comprehensive income.
3. Deferred income tax updated in line with changes in statement of profit and loss and other comprehensive income.
4. Cash and bank balances overstatement due to erroneous unreconciling items.
5. Other payables updated to account for additional accruals.
6. Retained earnings reduced to changes in income statement.

Statement of profit or loss and other comprehensive income:

7. Operating and other expenses revised to account for additional accruals.
8. Income tax revised in line with changes in expenses.

Statement of cash flows:

9. Cash generated from operations revised to account for change in profitability.

Notes to the financial statements:

In line with the changes noted above, the relevant notes below have been updated:

Note 3 segment information.

Note 8 Operating expenses – office and administrative expenses, marketing expenses, provision for doubtful insurance receivables and other expenses.

Note 10 Current tax expense

Note 14 Investment in subsidiaries.

Note 16 Financial asset at fair value through profit and loss

Notes to the Financial Statements

34.1 Correction of errors (continued)

Note 20 Receivables and deferred acquisition costs

Note 21 Cash and cash equivalents

Note 29 Other payables and other charges

Note 27 Deferred tax

Note 32 Cash generated from operations

34.2 The tables below summarise the effect of the restatements to the Group's statement of financial position, statement of profit or loss and other comprehensive income and statement of cash flows

Statement of financial position as at 1 January 2021	As Previously Reported	Impact of correction of errors	Restated
	KShs '000	KShs '000	KShs '000
Assets			
Property and equipment	691,539	-	691,539
Right-of-use assets	122,627	-	122,627
Investment properties	2,383,680	-	2,383,680
Intangible assets	56,530	-	56,530
Deferred income tax	151,596	2,250	153,846
Other assets	25,987,034	-	25,987,034
Receivables arising out of direct insurance arrangement	1,148,029	(143,410)	1,004,619
Current income tax	80,977	19,636	100,613
Cash and bank balances	898,594	(360,076)	538,518
Total assets	31,520,606	(481,600)	31,039,006

34.2 Correction of errors (continued)

Statement of financial position as at 1 January 2021 (continued)	As Previously Reported	Impact of correction of errors	Restated
	KShs '000	KShs '000	KShs '000
Liabilities			
Borrowing	2,976,861	-	2,976,861
Insurance contract liabilities	22,267,799	-	22,267,799
Other liabilities	3,934,259	-	3,934,259
Other payables and other charges	684,656	68,495	753,151
Total liabilities	29,863,575	68,495	29,932,070
Capital employed			
Issued share capital	720,000	-	720,000
Statutory fund	1,323,581	-	1,323,581
Retained earnings	(719,507)	(395,174)	(1,114,681)
Non-controlling interest	332,957	(154,921)	178,036
Total capital and reserves	1,657,031	(550,095)	1,106,936
Statement of comprehensive income for the year ended 31 December 2020	As Previously Reported	Impact of correction of errors	Restated
	KShs '000	KShs '000	KShs '000
Net premium income	6,851,605	-	6,851,605
Total other revenue	2,636,125	-	2,636,125
Total revenue	9,487,730	-	9,487,730
Net benefits and claims	(5,731,525)	-	(5,731,525)
Fees and commission expenses	(1,142,832)	-	(1,142,832)
Impairment of investment in associate	(17,779)	-	(17,779)
Finance costs	(520,996)	-	(520,996)
Operating and administrative expenses	(2,031,315)	(571,980)	(2,603,295)
Total benefits, claims and other expenses	(9,444,447)	(571,980)	(10,016,427)
Profit/(loss) before tax	43,283	(571,980)	(528,697)
Income tax expense	(121,501)	21,885	(99,616)
Loss for the year after tax	(78,218)	(550,095)	(628,313)
Statement of cash flows for the year ended 31 December 2020	As Previously Reported	Impact of correction of errors	Restated
	KShs '000	KShs '000	KShs '000
Cash generated/(used) in operations	51,128	(360,076)	(308,948)
Net cash generated/(utilized) in operations	29,921	(360,076)	(330,155)
Net cash generated from investing activities	1,261,415	-	1,261,415
Net cash used financing activities	(340,177)	-	(340,177)
Increase/(decrease) in cash and cash equivalents	951,159	(360,076)	591,083
Cash and cash equivalents at start of year	1,195,292	-	1,195,292
Cash and cash equivalents at end of year	2,146,451	(360,076)	1,786,375

35. Capital management

Group

Objective:

The Group's objective in managing its capital is to ensure that it supports the development of its business and is able to continue as a going concern, while at the same time maximising the return to its shareholders.

The Life and General insurance subsidiaries of the Group are subject to the following external capital requirements as guided by the Risk Based Capital guidelines in the insurance act;

The risk-based capital of an insurer shall be the square root of the sum of the squares of capital required for;

- i. insurance risk
- ii. market risk
- iii. credit risk
- iv. capital required for operational risk.

The Capital Adequacy Ratio (CAR) is the measure used for capital and the minimum requirement as stipulated by the guidelines is 100%.

As at 31 December 2021, Sanlam Life Insurance Limited had complied with the external capital requirements with a CAR of 192% while Sanlam General Insurance had not complied with the external capital requirements with a CAR of -81%. Subsequent to year end, on 5 May 2022, the subsidiary received KShs 1.085 billion from Sanlam Emerging Markets, reversing the CAR to 100%.

Other businesses of the Group are not subject to any external capital requirements.

The effective management of Sanlam Kenya Plc capital base is an essential component of meeting the Group's strategic objective of maximising shareholder value. The capital value used by the Group as the primary performance measurement base is the Group Embedded Value. The Group Embedded Value is the aggregate of the following components:

- (i) The embedded value of covered business, which comprises the long - term required capital supporting these operations and their net value of in - force business; and
- (ii) The fair value of other Group operations, which includes the land and property development, capital markets and short-term insurance.

35. Capital management (continued)

The management of the Group's capital base requires a continuous review of optimal capital levels, including the use of alternative sources of funding, to maximise return on Group Embedded Value. The Group has an integrated capital and risk management approach. The amount of capital required by the various businesses is directly linked to their exposure to financial and operational risks. Risk management is accordingly an important component of effective capital management.

All the subsidiaries of the Group are within the Kenyan jurisdiction and therefore apply the same capital management policies and processes.

Processes for managing capital:

a) Capital allocation methodology

Group businesses are each allocated an optimal level of capital and are measured against appropriate return hurdles.

The following methodology is used to determine the allocation of long-term required capital to the covered business:

- The level and nature of the supporting capital is determined by minimum regulatory capital requirements as well as economic, risk and growth considerations. Regulatory capital must comply with specific requirements of the Insurance Act and Kenya Companies Act, 2015. A deterministic modelling process is used to determine the long-term required capital levels.
- The fair value of other Group operations includes the working capital allocated to the respective operations.

The Group's policy to ensure appropriate capital levels is twofold:

- (i) The Group dividend policy is based on the annual declaration of all discretionary capital that is not required for normal operations or expansion; and
- (ii) Performance targets are set for other Group operations based on an expected return on the fair value of the businesses, equal to their internal hurdle rates. This ensures that all non-productive working capital is declared as a dividend to the Group.

b) Required capital

i) Long-term required capital – covered business

The Group's covered business requires significantly higher levels of allocated capital than the other Group operations. The optimisation of long-term required capital is accordingly a primary focus area of the Group's capital management philosophy given the significant potential to enhance shareholder value.

Notes to the Financial Statements

35. Capital management (continued)

b) Required capital (continued)

The following main strategies are used to achieve this objective:

- i. Appropriate matching of assets and liabilities for policyholder solutions. This is especially important for long-duration policyholder solutions that expose the Group to interest rate risk, e.g. non-participating annuities, but also for participating business where asset/liability matching and investment strategy have a direct impact on capital requirements.
- ii. Managing the impact of new business on capital requirements by limiting volumes of capital-intensive new business per business.
- iii. The asset mix of the long-term required capital also impacts on the overall capital requirement. An increased exposure to interest-bearing instruments reduces the volatility of the capital base and accordingly also the capital requirement. The expected investment return on these instruments are however lower than equity with a potential negative impact on the return on Group Embedded Value. There is accordingly a trade-off between lower capital levels and the return on capital. The Group's stochastic capital model is used to determine the optimal asset mix that will ensure the highest return on capital.
- iv. Certain of the Group's long term required capital covered business investments in other Group operations qualify, to a varying degree, to be utilised as regulatory capital for the covered business. Maximum capital efficiency can therefore be achieved by optimising the level of such investments held in the life company's regulatory capital.

The Group continues to improve and further develop its capital management models and processes in line with international best practice and the current significant international developments surrounding solvency and capital requirements.

ii) Other Group operations

The performance measurement of other Group operations is based on the return achieved on the fair value of the businesses. Risk adjusted return targets are set for the businesses to ensure that each business' return target takes cognisance of the inherent risks in the business. This approach ensures that the management teams are focused on operational strategies that will optimise the return on fair value, thereby contributing to the Group's main objective of optimising return on Group Embedded Value.

c) Discretionary capital

Any capital in excess of requirements, and not optimally utilised, is identified on a continuous basis. The pursuit of structural growth initiatives has been set as the preferred application of Group capital, subject to such initiatives yielding the applicable hurdle rate and being complementary to or in support of Group strategy. Any discretionary capital not being efficiently redeployed will be returned to shareholders in the most effective form.

35. Capital management (continued)

c) Discretionary capital (continued)

Company

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

The Company monitors capital based on the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt

The gearing ratios at 31 December 2021 was as follows:

	2021	2020
	KShs.'000	Kshs. '000
Total borrowings	3,000,000	2,976,861
Less: cash at bank and in hand	(10,497)	(5,220)
Net debt	2,989,503	2,971,641
Total equity	(1,292,582)	(1,239,072)
Negative capital	1,696,921	1,732,569
Gearing ratio	176%	172%

36. Risk management

The Group's robust risk management framework continues to be applied across the various risk areas introduced by financial instruments and the various risk owners continue to monitor the impact of COVID-19 on the Group's risk profile. Non-financial risks emerging from global movement restrictions, remote working are being assessed, identified and managed through timely application of the Group's risk management framework.

a) Market risk

Market risk is the risk of adverse financial impact due to changes in fair values or future cash flows of financial instruments from fluctuations in interest rates, equity prices, property prices, and foreign currency exchange rates. Market risk arises in business units due to fluctuations in both the value of liabilities and the value of investments held. At Group level, it also arises in relation to the overall portfolio businesses and in the value of investment assets owned directly by the shareholders.

i) Equity risk

Equity price risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market. The Group's shareholders are exposed to the following sources of equity risk:

- i. Direct equity shareholdings in shareholder funds
- ii. The indirect impact from changes in the value of equities held in policyholders' funds from which management charges or a share of performance are taken
- iii. Equity assets backing insurance liabilities that are not participating or not fully market linked
- iv. Interest in the free estate of long term with profit funds.

Changes in prices of equities will have the following impact in the statement of profit or loss. The impact is net of tax

	Gross Portfolio		
	KShs.'000	% change in base	KShs.'000
31 December 2021			
Equities and similar securities	671,655	+(-) 8.6%	57,762
31 December 2020			
Equities and similar securities	516,342	+(-) 8.6%	37,516

Change in base is the relative movement in the carrying value of equities and similar securities over the two reporting periods in review.

36. Risk management (continued)

a) Market risk (continued)

i) Equity risk (continued)

Linked and market-related business

Linked and market-related business are contracts where there is a direct relationship between the returns earned on the underlying portfolio and the returns credited to the contract. Policyholders carry the full market risk in respect of linked business. Market-related policies however, provide for guaranteed minimum benefits at death or maturity, and therefore expose the life insurance business to market risk.

The risk relating to guaranteed minimum benefits is managed by appropriate investment policies, determined by the Actuarial committee, and by adjusting the level of guarantees for new policies to prevailing market conditions. These investment policies are then reflected in the investment guidelines for the policyholder portfolios.

Market risk on stable, reversionary bonus and participating annuity business (smoothed-bonus business)

These policies provide for the payment of an after-tax and after-cost investment return to the policyholder, in the form of bonuses. The use of bonuses is a mechanism to smooth returns to policyholders in order to reduce the effects of volatile investment performance, and bonus rates are determined in line with the product design, policyholder reasonable expectations, affordability and the approved bonus philosophy. Any returns not yet distributed are retained in a bonus stabilisation reserve, for future distribution to policyholders.

In the event of adverse investment performance, this reserve may become negative. Negative bonus stabilisation reserves are allowed for in the valuation of these liabilities to the extent that the shortfall is expected to be recovered by declaring lower bonuses in the subsequent three years. The funding level of portfolios is bolstered through loans from shareholders in instances where negative stabilisation reserves will not be eliminated by these management actions. At end of year 2021, all stable and reversionary bonus business portfolios had a funding level in excess of 100%. (2020: 100%)

Equity risk is borne by policyholders to the extent that the after-tax and after - cost investment return is declared as bonuses. The capital portfolio is however exposed to some equity risk as an under performance in equity markets may result in an underfunded position that will require financial support by the capital portfolio. The Group manages this risk through an appropriate investment policy. Actuarial and Investment Committees oversees the investment policy for the various smoothed-bonus portfolios.

The aim is to find the optimum balance between high investment returns (to be able to declare competitive bonus rates) and stable investment returns given the need to meet guaranteed benefits and to support the granting of stable bonus rates. The requirements for the investment management of each portfolio are set out in investment guidelines, which cover, inter alia, the following:

- Limitations on exposure to volatile assets

36. Risk management (continued)

a) Market risk (continued)

i) Equity risk (continued)

- The benchmarks for the performance measurement of each asset class and limits on deviations from these benchmarks
- Credit risk limits
- Limits on asset concentration – with regard to strategic investments, the exposure of policyholders' portfolios to these investments is based on portfolio investment considerations and restricted with reference to a specific counter's weight in the benchmark portfolio
- Limits on exposure to some particular types of assets, such as unlisted equities, property and hedge funds
- Regulatory constraints.

Feedback on the investment policy and its implementation and the performance of the smoothed-bonus portfolios is provided quarterly to the Sanlam Kenya Plc Board.

The Group's equity price risk exposure relates to financial assets whose values will fluctuate as a result of changes in market prices, principally investment securities not held for the account of unit-linked business.

The Group's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market and careful and planned use of financial instruments.

ii) Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk. The Group is not exposed to cash flow interest risk as it does not hold instruments with a floating rate. The Group is however exposed to fair value interest risk as it holds investments in government bonds, corporate bonds and deposits with financial institutions which are designated at fair value through profit and loss. Interest on fixed interest rate instruments is priced at inception of the financial instrument and is fixed until maturity.

The Group manages this risk by adopting close asset liability matching criteria, to minimise the impact of mismatches between the value of assets and liabilities from interest rate movements.

Changes in prices of public loans and stock as a result of changes in interest rates will have the following impact in the statement of profit or loss. The impact is net of tax.

36. Risk management (continued)

Financial assets	Gross portfolio	% change in base	2021	Gross portfolio	% change in base	2020
			KShs.'000			KShs.'000
Government bonds	25,259,492	10%	2,525,949	22,012,625	10%	264,151
Deposits with financial institutions	1,048,650	10%	104,865	1,247,857	10%	12,495
Financial liabilities						
Borrowings	3,000,000	10%	300,000	2,976,861	10%	27,170
Lease liabilities	101,209	10%	10,121	132,469	10%	1,325

The table below summarises the exposure to interest rate risks. Included in the table are the Group's assets and liabilities at carrying amounts, categorised by the earlier of contractual maturity and interest rate repricing.

At 31 December 2021	Contractual cashflows (undiscounted)			
	Carrying amount	< 1 year	1 - 5 years	> 5 years
		KShs '000	KShs '000	KShs '000
Assets				
Government securities	25,259,492	684,083	1,065,387	23,510,022
Deposits with financial institutions	1,048,650	1,048,650	-	-
Cash and bank balances	658,260	658,260	-	-
Total	26,966,402	2,390,993	1,065,387	23,510,022
Liabilities				
Borrowings	3,000,000	354,648	3,315,782	-
Lease liabilities	101,209	45,079	180,314	-
Total	3,101,209	399,727	3,496,096	-

Notes to the Financial Statements

36. Risk management (continued)

a) Market risk (continued)

ii) Interest rate risk (continued)

At 31 December 2020	Carrying amount	Contractual cashflows (undiscounted)		
		< 1 year	1 - 5 years	> 5 years
		KShs '000	KShs '000	KShs '000
Assets				
Government securities	22,012,625	489,024	1,974,846	19,548,755
Corporate bonds	-	-	-	-
Deposits with financial institutions	1,247,857	1,247,857	-	-
Cash and bank balances	538,518	538,518	-	-
Total	23,799,000	2,275,399	1,974,846	19,548,755
Liabilities				
Borrowings	2,976,861	3,067,099	-	-
Lease liabilities	132,469	59,002	236,008	-
Total	3,109,330	3,126,101	236,008	-

Interest rate risk is managed as follows with regard to long-term life business.

Linked and market - related business

Linked and market-related business relates to contracts where there is a direct relationship between the returns earned on the underlying portfolio and the returns credited to the contract. Policyholders carry the full interest rate risk in respect of linked business.

The life business is exposed to interest rate risk to the extent that guaranteed minimum benefits at death or maturity are provided. Refer to equity risk above for the management of market risk in respect of these policies.

Stable, reversionary bonus and participating annuity business (smoothed - bonus business)

The life business is exposed to interest rate risk to the extent that changes in effective interest rates result in negative stabilisation reserves that cannot be eliminated through the smoothed - bonus management action philosophy. In these circumstances the life insurance businesses will have to provide support to the policyholders' portfolios.

Guarantee plans

Our Flexi Saver and Flexi Educator policies provide for guaranteed maturity amounts. The life insurance business is therefore exposed to interest rate risk, if the assets backing these liabilities do not provide a comparable yield to the guaranteed value.

Interest rate risk is managed by matching the liabilities with assets that have similar investment return profiles as the liabilities.

36. Risk management (continued)**b) Currency risk**

The Group is exposed to currency risk due to revenue collected in foreign currency. The revenue amounts in foreign currency are not significant and consequent claims are paid in foreign currency.

c) Property risk

The Group is subject to property price risk due to holdings of investment properties in a variety of locations. Investment in property is managed by a professional property manager with regard to liquidity requirements and the expectations of shareholders' and policyholders as well as overall risk appetite. The Group Investment Committee also monitors property assets owned directly by the Group on a quarterly basis.

The majority of the investment properties are held in respect of market-related and non-participating policyholder business as well as smoothed - bonus business. Refer to equity risk above for a description on how the risks associated with these types of business are managed.

Comprehensive measures and limits are in place to control the exposure of the insurance businesses' capital to market risk. Continuous monitoring takes place to ensure that appropriate assets are held in support of the capital and investment return targets. Limits are applied in respect of the exposure to asset classes and individual counters.

Market risk – sensitivities

Sensitivities that illustrate the effect of changes in investment return assumptions on the value of in-force (VIF) business and change in VIF relative to the base value is an indication of how the present value of future after-tax profits (including the allowance for the cost of capital at risk) are impacted based on these assumptions.

Investment return (and inflation) decreased by 1% and with bonus rates and discount rates changing commensurately, the impact on the on the value of in-force business net of cost of capital would be a decrease of KShs 386 million (2020: decrease of KShs 808 million).

The basis of valuation of insurance contract liabilities is prescribed in the Insurance Act of Kenya 2020. The Act prescribes a Gross Premium Valuation method with prescribed risk margins applicable for valuation of long term insurance contract liabilities.

Notes to the Financial Statements

36. Risk management (continued)

d) Market risk – capital

Changes in economic assumptions will have the following impact in the statement of profit or loss.

Sensitivities	% change in base	Insurance Participating	Insurance non-participating	Shareholders' funds
		KShs '000	KShs '000	KShs '000
31 December 2021				
Interest rate risk	+(-)3%	+(-) 112,872	+(-) 445,231	+(-)1,468
Price risk - equity	+(-)4%	+(-)16,932	+(-)5,682	+(-)91,626
31 December 2020				
Interest rate risk	+(-)3%	+(-) 91,979	+(-) 369,410	+(-) 16,843
Price risk - equity	+(-)4%	+(-) -	-	+(-)113,200

The above sensitivity analysis excluded unit linked investments, as the movement in assets and liabilities offset each other.

e) Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. Credit risk mainly arises from financial assets, and is managed on a Group-wide basis. The Group does not grade the credit quality of financial assets that are neither past due nor impaired.

Sanlam Kenya Plc recognises that a sound credit risk policy is essential to minimise the effect on the Group as a result of loss due to a major corporate failure and the possible systemic risk such a failure could lead to. The Sanlam Kenya Plc Investment Risk Policy and Strategy has been established for this purpose.

The governance structures ensure that an appropriate credit culture and environment is maintained, such that no transactions are concluded outside areas of competence, nor without following normal procedures. This credit culture is the product of a formal credit risk strategy and credit risk policy.

The credit risk strategy stipulates the parameters for approval of credit applications, such as: economic sector; risk concentration; maximum exposure per obligor, group, and industry; geographical location; product type; currency; maturity, anticipated profitability or excess spread; economic capital limits; and cyclical aspects of the economy.

All facilities are reviewed on at least an annual basis by the appropriate approval authority. Where possible, Sanlam Kenya Plc interest is protected by obtaining acceptable security. Covenants are also stipulated in the loan agreements, specifying actions that are agreed to.

36. Risk management (continued)

e) Credit risk (continued)

In addition to the above measures, the portfolios are also managed in terms of the investment guidelines of the life insurance operations, which place limits in terms of the lowest credit quality that may be included in a portfolio, the average credit quality of instruments in a portfolio as well as limits on concentration risk.

The Group is also exposed to credit risk in respect of its working capital assets. The following are some of the main credit risk management actions:

- Unacceptable concentrations of credit risk to groups of counter-parties, business sectors and product types are avoided by dealing with a variety of major banks and spreading debtors and loans among a number of major industries, customers and geographic areas.
- Long-term insurance business debtors are secured by the underlying value of the unpaid policy benefits in terms of the policy contract.
- Exposure to external financial institutions concerning deposits and similar transactions is monitored against approved limits.

The Group takes on exposure to credit risk, which is the risk that a counter party will cause a financial loss to the Company by failing to pay amounts in full when due. Credit risk is an important risk for the Company's business. Management therefore carefully manages the exposure to credit risk by:

- Developing and maintaining processes for measuring ECL including monitoring of credit risk, incorporation of forward looking information and the method used to measure ECL.
- Ensuring that the Company has policies and procedures in place to appropriately maintain and validate models used to assess and measure ECL.
- Establishing a sound credit risk accounting, assessment and measurement process that provide it with a strong basis for common systems, tools and data to assess credit risk and to account for ECL.

The Group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower or groups of borrowers. Such risks are monitored on a revolving basis and subject to annual or more frequent review. The exposure to any one borrower is further restricted by sub-limits. Actual exposures against limits are monitored regularly. Exposure to credit risk is managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral, corporate, and personal guarantees.

The credit quality of financial assets is assessed by reference to external credit ratings if available or internally generated information about counterparty default rates. None of the Group's credit risk counterparties are rated except the Government of Kenya, the issuer of the Group's government securities which has B+ rating and the reinsurance companies from whom reinsurance balances are due.

The Company Group counterparties without an external credit rating as below:

- Group 1 - new customers/related parties.
- Group 2 - existing customers/related parties with no defaults in the past.
- Group 3 - existing customers/related parties with some defaults in the past.

Notes to the Financial Statements

36. Risk management (continued)

e) Credit risk (continued)

Group

Assets	Note	External credit rating	Internal Credit rating	12-month or lifetime ECL	2021	2020
					KShs '000	KShs '000
Assets						
Government securities at fair value through profit or loss	16	B+	-	12 months	25,259,492	22,012,625
Loans	15	-	Group 2	12 months	250,636	300,319
Insurance receivables	20 (a)	-	Group 2	Life time	836,074	1,004,619
Reinsurers' share of insurance contract liabilities	18	-	Group 2	Life time	1,525,471	1,360,653
Receivables and other financial assets (excluding prepayments and vat)	20 (b)	-	Group 2	Mix of both life time & 12	246,436	105,442
Deposits with financial institutions	21	-	Group 2	12	1,048,650	1,247,857
Cash and bank balances	21	-	Group 2	12	658,260	538,518
Total					29,825,019	26,570,033

The above table represents credit risk exposure to the Group at 31 December 2021 and 2020, without taking account of any collateral held or other credit enhancements attached. The exposures set out above are based on carrying amounts as reported in the statement of financial position. Other receivables balance shown in the table is less prepaid amounts while the cash and bank balances are less cash in hand balances.

As shown above, 85% of the total maximum exposure is derived from government securities (2020: 83%). In the opinion of the Directors there is no other significant concentration of the credit risk at year end.

Mortgage loans are secured by collateral in the form of charges over land and buildings. Policy loans are secured by the surrender value of the policies. The fair values of collateral held for mortgages amounted to KShs 433,938,000 (2020: KShs 433,938,000) while the surrender values of the policies with loans amounted to KShs: 556,367,130 (2020: KShs 3,683,780,182). In case of default the collateral would be realised thereby reducing the Company's credit risk. There were no changes in the quality of the collaterals.

36. Risk management (continued)

e) Credit risk (continued)

Company

Assets	Note	External credit rating	Internal Credit rating	12-month or lifetime ECL	2021	2020
					KShs '000	KShs '000
Assets						
Receivables from related parties	20 (b)	-	Group 2	12 months	4,769	2,587
Receivables and other financial assets (excluding prepayments)	20 (b)	-	Group 2	Mix of both life time & 12	23,224	13,995
Cash and bank balances	21	-	Group 2	Life time	10,497	5,220
Total					38,490	21,802

The above table represents a worst case scenario of credit risk exposure to the Company at 31 December 2021 and 2020, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets, the exposures set out above are based on carrying amounts as reported in the statement of financial position. Other receivables balance shown in the table is less prepaid amounts while the cash and bank balances are less cash in hand balances.

Measurement of ECL

The key inputs used for measuring ECL are:

- probability of default (PD)
- loss given default (LGD)
- exposure at default (EAD).

As explained above these figures are generally derived from internally developed statistical models and other historical data and they are adjusted to reflect probability-weighted forward-looking information.

PD is an estimate of the likelihood of default over a given time horizon. It is estimated as at a point in time. The calculation is based on statistical rating models and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on market data (where available), as well as internal data comprising both quantitative and qualitative factors. PDs are estimated considering the contractual maturities of exposures and estimated prepayment rates. The estimation is based on current conditions, adjusted to take into account estimates of future conditions that will impact PD.

LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that are expected to be received, taking into account cash flows from any collateral. The LGD models for secured assets consider collateral valuation.

Notes to the Financial Statements

36. Risk management (continued)

e) Credit risk (continued)

EAD is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest. The Company's modeling approach for EAD reflects expected changes in the balance outstanding over the lifetime of the exposure that are permitted by the current contractual terms. The Company uses EAD models that reflect the characteristics of the portfolios.

The Company measures ECL considering the risk of default over the maximum contractual period (including extension options) over which the entity is exposed to credit risk and not a longer period, even if contract extension or renewal is common business practice.

The measurement of ECL is based on probability weighted average credit loss. As a result, the measurement of the loss allowance should be the same regardless of whether it is measured on an individual basis or a collective basis (although measurement on a collective basis is more practical for large portfolios of items). In relation to the assessment of whether there has been a significant increase in credit risk it can be necessary to perform the assessment on a collective basis as noted below.

Groupings based on shared risks characteristics

When ECL are measured on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, such as:

- Asset type
- Intermediary

The groupings are reviewed on a regular basis to ensure that each group is comprised of homogenous exposures.

Stages of credit quality and expected credit loss measurement

The Group evaluates financial instruments based on their credit characteristics and assesses any changes in credit risk since origination before grouping them into stages. The groupings are reviewed and updated on a regular basis. The table below shows the staging criteria applied across financial assets.

Stage 1	Stage 2	Stage 3
Performing	Underperforming	Non-Performing
No significant change in credit risk since initial recognition.	Significant increase in Credit risk since initiation. No objective evidence of impairment	Financial instruments that have deteriorated significantly in credit quality since initial recognition. Credit impairment evident

36. Risk management (continued)

e) Credit risk (continued)

Impairment and provisioning policies

The loss allowance recognised in the period is impacted by a variety of factors as follows:

- Transfers between Stage 1 and Stage 2 or 3 due to financial instruments experiencing significant increases (or decreases) of credit risk or becoming credit impaired in the period, and the consequent “step up” or “step down” between 12-month and lifetime ECL;
- Additional allowance for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;
- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Foreign exchange retranslations for assets denominated in foreign currencies and other movements; and
- Financial assets derecognised during the period and write-offs of allowances related to assets that were written off during the period.

Sanlam uses a scoring methodology to come up with asset ECLs. The table provide details of the key principles applied over each asset class that is in scope.

Financial asset	Description	Key principle applied
Cash and bank balances	Cash assets have been defined as cash in bank, on hand or in other accounts. These excludes liquid deposits held with financial institutions	Sanlam annually performs the bank credit risk analysis for banking institutions, within which institutions are scored and ranked. Institutions are then assigned an internal rating rank based on the score and assigned a credit rating.
Deposits with financial institutions	Deposits with financial institutions are cash transfers to financial institutions for the purposes of a term investment during which the principal can be redeemed with interest earned at the call of the investor. This will exclude any cash in a bank account that is earning interest on existing balances	Sanlam annually performs the bank credit risk analysis for banking institutions, within which institutions are scored and ranked. Institutions are then assigned an internal rating rank based on the score and assigned a credit rating.

Notes to the Financial Statements

36. Risk management (continued)

e) Credit risk (continued)

Impairment and provisioning policies (continued)

Financial asset	Description	Key principle applied
Government Securities	This is secured or unsecured short term or long term debt issued by a sovereign Government	Sanlam utilises a scoring methodology while reviewing sovereign debt credit risk. The scores are adjusted for credit risk ratings and a macro economic outlook adjustment.
Receivables from direct insurance arrangements	These are receivable that arise out of normal insurance business	Sanlam uses a simplified approach based on an entity's historical default rates over the expected life of the receivables and is adjusted for forward-looking estimates.
Other receivables	These are all other receivables that are neither investment assets nor insurance receivable	These are each assessed individually based on the unique factors that include the nature, aging, collateral to determine a loss rate adjusted with a macroeconomic factor

36. Risk management (continued)

e) Credit risk (continued)

Impairment and provisioning policies (continued)

The Group has determined the level of risk as below

Financial asset	Credit risk attributes
Cash and bank balances	Assessed as low credit risk
Deposits with financial institutions	- All cash is held with financial institutions with low risk of default. - The cash is accessible whenever needed or on maturity of the deposits - There are no adverse economic changes expected to impact the banks' ability to meet the obligations when they fall due
Government securities at amortised cost	Assessed as low credit risk - All government paper is with the Government of Kenya with low risk of default - The Government is able to meet its obligation i.e coupons and redemptions when they fall due - There are no adverse economic changes expected to impact the ability of the Government to meet its obligations when they fall due
Mortgage loans receivables	Assessed as low credit risk - All loans are secured on the mortgaged property thus low risk of default - The collateral value covers the outstanding obligations - There are no adverse economic changes expected to impact the value of the collateral or ability of the borrowers to meet their obligations
Loans to policyholders	Assessed to have a mitigated credit risk loans are issued based on the cumulative surrender values of the policies thus no risk of default
Receivables arising out of direct insurance arrangements	Assessed as low credit risk - A significant portion of the retail insurance covers are sold on a cash and carry basis thus low risk of default - Credit is extended to select corporate clients to a maximum of 60 days assessed to have ability to settle the debt - There are no adverse economic changes expected to impact the ability of the debtors to meet their obligations
Receivables arising out of reinsurance arrangements	Assessed as low credit risk - Reinsurance accounts are contractually cleared on a quarterly basis and incorporate premium payable and commissions and claims recoverable thus low risk of default - The Group deals with reinsurers with a high external rating thus have ability to settle the debt - There are no adverse economic changes expected to impact the ability of the debtors to meet their obligations
Other receivables	Incorporates different counterparties including staff, agents and others all of which are assessed independently. The simplified approach has been applied.

Notes to the Financial Statements

36. Risk management (continued)

e) Credit risk (continued)

Maximum exposure to credit risk

The amount that best represents the Group's and Company maximum exposure before collateral to credit risk at end of year 2021 is tabulated in the industry analysis below:

	Government	Financial Services	Others	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Group				
Public sector stocks and loans	25,259,492	-	-	25,259,492
Reinsurers' share of insurance contract liabilities	-	1,525,471	-	1,525,471
Receivables arising out of direct insurance arrangements	-	836,074	-	836,074
Policy loans	-	-	250,636	250,636
Receivables and other financial assets	-	-	333,294	333,294
Cash and cash equivalents	-	1,706,910	-	1,706,910
	25,259,492	4,068,455	583,930	29,911,877
Company				
Receivables and other financial assets	-	-	39,347	39,347
Cash and cash equivalents	-	190,854	-	190,854
	-	190,854	39,347	230,201

36. Risk management (continued)**e) Credit risk (continued)****Maximum exposure to credit risk (continued)**

The amount that best represents the Group's and Company maximum exposure before collateral to credit risk at end of year 2020 is tabulated in the industry analysis below:

	Government	Financial Services	Others	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Group				
Public sector stocks and loans	22,012,625	-	-	22,012,625
Reinsurers' share of insurance contract liabilities	-	1,360,653	-	1,360,653
Receivables arising out of direct insurance arrangements	-	1,004,619	-	1,004,619
Mortgage loans	-	-	99,436	99,436
Policy loans	-	-	197,281	197,281
IPF loans	-	-	3,602	3,602
Receivables and other financial assets	-	-	191,197	191,197
Cash and cash equivalents	-	1,786,375	-	1,786,375
	22,012,625	4,151,647	491,516	26,655,788
Company				
Receivables and other financial assets	-	-	26,208	26,208
Cash and cash equivalents	-	5,220	-	5,220
	-	5,220	26,208	31,428

Notes to the Financial Statements

36. Risk management (continued)

e) Credit risk (continued)

Credit exposure by staging

Owing to the fact that there is no readily available credit rating information, the group assesses the credit quality of the institution, taking into account its financial position, past experience and other factors

The table below provides information regarding the credit risk exposure of the Group and Company

Group: 31 December 2021	ECL Stage 1	ECL Stage 2	ECL Stage3	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Financial Instruments:				
Reinsurers' share of technical provisions and reserves	1,525,471	-	-	1,525,471
Receivables arising out of direct insurance arrangements	836,074	-	1,060,072	1,896,146
Loans	250,636	-	127,052	377,688
Receivables and other financial assets	333,294	-	-	333,294
Cash and cash equivalents	658,260	-	-	658,260
	3,603,735	-	1,187,124	4,790,859
Company: 31 December 2021	ECL Stage 1	ECL Stage 2	ECL Stage3	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Financial Instruments:				
Receivables and other financial assets	39,347	-	-	39,347
Cash and cash equivalents	10,497	-	-	10,497
	49,844	-	-	49,844

The life insurance businesses' maximum exposure to credit risk is equivalent to the amounts recognised in the Statement of financial position, as there are no financial guarantees provided to parties outside the Company, nor are there any loan commitments provided that are irrevocable over the life of the facility (nor revocable only in adverse circumstances). The credit quality of each class of financial asset that is neither past due nor impaired, has been assessed as acceptable within the parameters used to measure and monitor credit risk, as described above. There are no assets that would have been past due or impaired, had the terms not been renegotiated.

36. Risk management (continued)

e) Credit risk (continued)

Credit exposure by staging (continued)

Group: 31 December 2020	ECL Stage 1	ECL Stage 2	ECL Stage3	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Financial Instruments:				
Reinsurers' share of technical provisions and reserves	1,360,653	-	-	1,360,653
Receivables arising out of direct insurance arrangements	1,004,619	-	2,322,207	3,326,826
Loans	300,319	-	103,174	403,493
Receivables and other financial assets	191,197	-	-	191,197
Cash and cash equivalents	538,518	-	-	538,518
	3,395,306	-	2,425,381	5,820,687
Company: 31 December 2020	ECL Stage 1	ECL Stage 2	ECL Stage3	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Financial Instruments:				
Receivables and other financial assets	26,208	-	-	26,208
Cash and cash equivalents	5,220	-	-	5,220
	31,428	-	-	31,428

The credit quality of each class of financial asset that is neither past due nor impaired, has been assessed as acceptable within the parameters used to measure and monitor credit risk, as described above.

Notes to the Financial Statements

36. Risk management (continued)

e) Credit risk (continued)

The Group holds collateral against the past due or impaired receivables. The management continues to actively follow up past due and impaired receivables.

The following is a movement of impairment provision account:

	Loans	Insurance receivables	Cash and bank balances	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
The movement in the provisions is as follows:				
At 1 January 2021	103,174	2,158,111	3,382	2,264,667
Additional provision	-	(1,118,725)	(3,382)	(1,122,107)
Unused amounts reversed	23,878	-	-	23,878
At end of year	127,052	1,039,386	-	1,166,438
At 1 January 2020	131,333	1,310,860	2,657	1,444,850
Additional provision	-	867,937	725	868,662
Unused amounts reversed	(28,159)	-	-	(28,159)
At end of year	103,174	2,178,797	3,382	2,285,353

36. Risk management (continued)

e) Credit risk (continued)

The table below provides information regarding the credit risk exposure of the Group using the expected credit loss stages for assets at amortised cost.

At 31 December 2021:	ECL Stage 1	ECL Stage 2	ECL Stage3	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000
Loans	250,636	-	127,052	377,688
Insurance receivables	836,074	-	1,060,072	1,896,146
Receivables and other financial assets	333,294	-	-	333,294
Cash and bank balances	658,260	-	-	658,260
Gross financial assets	2,078,264	-	1,187,124	3,265,388
At 31 December 2020:	ECL Stage 1	ECL Stage 2	ECL Stage3	Total
	KShs.'000	KShs.'000	KShs.'000	KShs.'000 Restated
Loans	300,319	-	103,174	403,493
Insurance receivables	1,004,619	-	2,322,207	3,326,826
Receivables and other financial assets	191,197	-	-	191,197
Cash and bank balances	538,518	3,382	-	541,900
Gross financial assets	2,034,653	3,382	2,425,381	4,463,416

36. Risk management (continued)

f) Reinsurance risk

Sanlam Kenya Plc makes use of reinsurance to:

- Access underwriting expertise
- Access product opportunities
- Enable it to underwrite risks greater than its own risk appetite
- Protect its mortality/risk book against catastrophes.

The use of reinsurance exposes the Group to credit risk. The counterparty risks of reinsurers are managed under the Group's credit risk framework. The Group's reinsurance arrangements include proportionate, excess and catastrophe coverage. All risk exposures in excess of specified monetary limits are reinsured. Catastrophe insurance is in place for single-event disasters. Credit risk in respect of reinsurance is managed by placing the Group's reinsurance only with subsidiaries of companies that have high international or similar credit ratings.

g) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with financial liabilities and policy holder liabilities. The board has developed a risk management framework for the management of the Group short, medium and long-term liquidity requirements thereby ensuring that all financial liabilities are settled as they fall due.

The Group manages liquidity risk by continuously reviewing forecasts and actual cash flows, and maintaining banking facilities to cover any shortfalls.

Liquidity risk – policyholder solutions

Stable, reversionary bonus and participating annuity business (smoothed - bonus business)

These policyholder solutions expose the Group to liquidity risks. Expected cash flows are taken into account in determining the investment guidelines and asset spread of the portfolios. Limits are also placed on the exposure to illiquid investments.

36. Risk management (continued)

Liquidity risk – policyholder solutions (continued)

Other policyholder business

Policyholder portfolios supporting linked and market-related business, participating annuities and other non-participating life business are invested in appropriate assets, taking into account expected cash outflows. The following table summarises the overall maturity profile of the business:

As at 31 December 2021	1 year	1 - 5 years	Over 5 years	Open ended	Total
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
Group					
Borrowings	354,648	3,315,782	-	-	3,670,430
Market linked investment contracts	637,162	1,772,220	341,400	-	2,750,782
Non-market related insurance contracts	2,746,245	6,082,725	9,746,060	192,734	18,767,764
Deposit administration contracts	-	-	-	2,592,275	2,592,275
Insurance payables	-	-	-	1,172,231	1,172,231
Payables and other charges	759,983	-	-	-	759,983
Lease liabilities	56,130	225,393	-	-	281,523
Total	4,554,168	11,396,120	10,087,460	3,957,240	29,994,988

Notes to the Financial Statements

36. Risk management (continued)

g) Liquidity risk (continued)

As at 31 December 2021	1 year	1 - 5 years	Over 5 years	Open ended	Total
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
Financial instruments	684,083	1,065,387	23,510,022	-	25,259,492
Loans	54,296	84,395	111,945	-	250,636
Reinsurance assets	1,226,633	185,156	113,681	-	1,525,470
Insurance receivables	836,074	-	-	-	836,074
Receivables and other financial assets	333,294	-	-	-	333,294
Deposits with financial institutions	1,048,650	-	-	-	1,048,650
Cash and bank balances	658,260	-	-	-	658,260
Total	4,841,290	1,334,938	23,735,648	-	29,911,876
(Gap)/surplus	287,122	(10,061,182)	13,648,188	(3,957,240)	(83,112)
Company					
Borrowings	-	3,000,000	-	-	3,000,000
Cash and bank balances	76,960	-	-	-	76,960
Total liabilities	76,960	3,000,000	-	-	3,076,960
Company					
Receivables and other financial assets	39,347	-	-	-	39,347
Deposits with financial institutions	180,357	-	-	-	180,357
Cash and bank balances	10,497	-	-	-	10,497
Total assets	230,201	-	-	-	230,201
(Gap)/surplus	153,241	(3,000,000)	-	-	(2,846,759)

36. Risk management (continued)

g) Liquidity risk (continued)

As at 31 December 2020	1 year	1 - 5 years	Over 5 years	Total
	KShs '000	KShs '000	KShs '000	KShs '000
Group				
Borrowings	3,067,099	-	-	3,067,099
Market linked investment contracts	2,143,761	1,190,840	657,823	3,992,424
Non-market related insurance contracts	1,619,935	6,453,130	15,200,770	23,273,835
Deposit administration contracts	-	-	2,641,567	2,641,567
Insurance payables	-	-	1,094,521	1,094,521
Payables and other charges	684,653	-	-	684,653
Lease liabilities	44,934	303,800	-	348,734
Total financial liabilities	7,560,382	7,947,770	19,594,681	35,102,833
Financial instruments	489,024	1,974,846	20,065,097	22,528,967
Loans	87,688	101,078	138,582	327,348
Reinsurance assets	1,318,325	40,085	8,291	1,366,701
Insurance receivables	1,148,029	-	-	1,148,029
Receivables and other financial assets	191,197	-	-	191,197
Deposits with financial institutions	1,249,541	-	-	1,249,541
Total assets	4,483,804	2,116,009	20,211,970	26,811,783
(Gap)/surplus	(3,076,578)	(5,831,761)	617,289	(8,291,050)

Notes to the Financial Statements

36. Risk management (continued)

g) Liquidity risk (continued)

Company - 2020	1 year
	KShs '000
Borrowings	2,976,861
Payables and other charges	662,074
Total liabilities	3,638,935
Receivables and other financial assets	26,208
Cash and bank balances	5,220
Total assets	31,428
Liquidity gap:	(3,607,507)

h) Insurance risk

The risk under any one insurance contract is the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of an insurance contract, this risk is random and therefore unpredictable.

For a portfolio of insurance contracts where the theory of probability is applied to pricing and provisioning, the principal risk that the Group faces under its insurance contracts is that the actual claims and benefit payments exceed the carrying amount of the insurance liabilities. This could occur because the frequency or severity of claims and benefits are greater than estimated. Insurance events are random and the actual number and amount of claims and benefits will vary from year to year from the level established using statistical techniques.

Experience shows that the larger the portfolio of similar insurance contracts, the smaller the relative variability about the expected outcome will be. In addition, a more diversified portfolio is less likely to be affected by a change in any subset of the portfolio. The Group has developed its insurance underwriting strategy to diversify the type of insurance risks accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome.

Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk, geographical location and type of industry covered.

36. Risk management (continued)

h) Insurance risk (continued)

The Group manages underwriting risk through:

- Its product development process and underwriting policy to prevent anti-selection and ensure appropriate premium rates (loadings) for substandard risks
- Adequate reinsurance arrangements to limit exposure per individual and manage concentration of risks
- Claims handling policy
- Adequate pricing and reserving.

Quarterly full actuarial valuations and the Group's regular profit reporting process assist in the timely identification of experience variances. The following policies and practises are used by the Group as part of its underwriting strategy to mitigate underwriting risk:

Underwriting risk

Policies and practises: Underwriting strategy

- i) All long-term insurance product additions and alterations are required to pass through the approval framework that forms part of the life insurance business' governance process. The statutory actuaries approve the policy conditions and premium rates of new and revised products
- ii) Specific testing for HIV/Aids is carried out in all cases where the applications for risk cover exceed a set limit. Product pricing and reserving policies also include specific allowance for the risk of HIV/ Aids
- iii) Applications for risk cover are reviewed by experienced underwriters and evaluated against established standards. Retention limits are applied to limit the exposure per individual life
- iv) Appropriate income replacement levels apply to disability insurance
- v) The experience of reinsurers is used where necessary for the rating of substandard risks;

Policies and practises: Underwriting strategy

- vi) The risk premiums for Group risk business and some of the in-force individual risk business can be adjusted within 12 months should claims experience deteriorate to the extent that such an adjustment is considered necessary.
Risk profits are determined on a regular basis and:
- vii) Regular investigations into mortality and morbidity experience are conducted to ensure that corrective action, for example re-rating of premiums, is taken where necessary.

i. Persistency risk

Distribution models are used by the Group to identify high-risk clients. Client relationship management programmes are aimed at managing client expectations and relationships to reduce lapse, surrender and paid-up rates. The design of insurance products excludes material lapse, surrender and paid-up value guarantees,

36. Risk management (continued)

h) Insurance risk (continued)

subject to regulatory constraints, to limit financial loss at surrender. Persistency experience is monitored to ensure that negative experience is timeously identified, and corrective action taken. The Group's reserving policy is based on the statutory required Gross Premium Method, which ensures that adequate provision is made for lapses, surrenders and paid-up policies.

ii. Expense risk

Expenses are managed through the Group's budgeting process and continuous monitoring of actual expenses versus budgeted is conducted and reported on.

Sanlam Life analyses its expenses into 3 categories:

- a) Those that relate to whether or not policies are in force and so can be expressed as a per policy amount in KShs increasing with the assumed expense inflation.
- b) Those that relate to the amount of premium and so can be expressed as a percentage of premium.
- c) Investment related expenses expressed as a percentage of funds under management.

iii. Claims risk

The risk that Sanlam Kenya Plc may pay fraudulent claims (claims risk) is mitigated by employing highly trained client service staff to ensure that fraudulent claims are identified and investigated thoroughly. The legitimacy of claims is verified by internal, financial and operating controls that are designed to contain and monitor claims risks. The Sanlam forensic investigation team also advises on improvements to internal control systems.

The Group writes a diverse mix of business, and continually monitors this risk and the opportunities for mitigating actions through reinsurance. The Group's life insurance businesses are focused on different market segments, resulting in a mix of individual and institutional clients, as well as entry-level, middle market and high net worth clients.

36. Risk management (continued)

h) Insurance risk (continued)

v. Claims risk (continued)

The tables below provide an analysis of the Group's exposure to the value of benefits insured:

Value of benefits insured per individual: Non-participating life business

Sum assured	Number of lives		Before Reinsurance		After reinsurance	
	2021	2020	2021	2020	2021	2020
Kshs'000						
0 – 3,717	1,500,688	161,742	222,528,290	68,458,724	114,247,960	59,958,416
3,717 – 7,434	9,369	14,639	48,937,271	40,285,690	37,547,036	32,967,936
7,434 – 37,174	8,013	12,609	114,602,102	102,957,260	53,252,116	47,360,424
37,174 – 59,478	536	626	24,435,383	22,788,396	3,869,000	3,627,000
>59,478	324	353	36,497,408	30,921,012	1,575,000	1,944,000
Total	1,518,930	189,969	447,000,454	265,411,082	210,491,112	145,857,776

Non-participating annuity payable per annum per life insured

Sum assured	Number of lives		Before Reinsurance		After reinsurance	
	2021	2020	2021	2020	2021	2020
Kshs'000						
0 – 143	1,917	1,958	127,451	126,823	127,451	126,823
143 – 286	1,117	979	236,342	206,675	236,342	206,675
286 – 428	529	452	192,316	163,931	192,316	163,931
428 – 571	301	263	154,662	135,027	154,662	135,027
571 – 714	174	155	116,089	103,270	116,089	103,270
>714	449	348	592,553	437,233	592,553	437,233
Total	4,487	4,155	1,419,413	1,172,959	1,419,413	1,172,959

The following tables disclose the concentration of insurance liabilities by the class of business in which the contract holder operates and by maximum insured loss limit included in the terms of the policy.

Notes to the Financial Statements

36. Risk management (continued)

h) Insurance risk (continued)

v. Claims risk (continued)

The amounts are the carrying amounts of insurance liabilities (gross and net of reinsurance) arising from insurance contracts:

Year ended 31 December 2021		Maximum Insured Loss			
		Shs 3-15m	Shs 15 - 250m	Shs 250 -1000m	Total
		KShs '000	KShs '000	KShs '000	KShs '000
Motor	Gross	164,295,266	212,264,580	19,980,730	396,540,576
	Net	33,484,000	13,834,000	82,000	47,400,000
Fire	Gross	16,184,861	150,355,965	58,316,093	224,856,919
	Net	14,853,670	110,980,978	15,588,107	141,422,755
Personal accident	Gross	548,221	11,859,154	11,408,940	23,816,315
	Net	511,863	8,430,583	7,815,126	16,757,572
Others	Gross	9,832,060	74,845,681	46,612,692	131,290,433
	Net	9,141,622	46,821,590	19,579,177	75,542,389
Total	Gross	190,860,408	449,325,380	136,318,455	776,504,243
	Net	57,991,155	180,067,151	43,064,410	281,122,716
Year ended 31 December 2020		Maximum Insured Loss			
		Shs 3-15m	Shs 15 - 250m	Shs 250 -1000m	Total
		KShs '000	KShs '000	KShs '000	KShs '000
Motor	Gross	45,526,595	7,873,952	3,033,886	56,434,433
	Net	3,576,981	7,873,952	-	11,450,933
Fire	Gross	24,230,316	72,263,630	46,439,680	142,933,626
	Net	3,904,000	7,959,377	562,446	12,425,823
Personal accident	Gross	306,589	2,537,826	1,022,942	3,867,357
	Net	72,000	194,000	20,000	286,000
Others	Gross	11,765,315	51,094,951	32,957,252	95,817,518
	Net	809,180	5,808,220	1,255,300	7,872,700
Total	Gross	81,828,815	133,770,359	83,453,760	299,052,934
	Net	8,362,161	21,835,549	1,837,746	32,035,456

36. Risk management (continued)

h) Insurance risk (continued)

v. Claims risk (continued)

Life business						
Year ended 31 December 2021		Kshs 3 - 3m	Kshs 3 - 15m	Kshs 15 - 250m	Kshs 250 - 1000m	Total
		Kshs'000	KShs '000	KShs '000	KShs '000	KShs '000
Ordinary life	Gross	25,106,035	6,317,369	1,229,692	-	32,653,096
	Net	21,565,736	1,872,500	296,750	-	23,734,986
Group life	Gross	184,731,906	110,848,532	113,225,049	5,541,871	414,347,358
	Net	83,357,043	79,324,750	24,029,333	45,000	186,756,126
Total	Gross	209,837,941	117,165,901	114,454,741	5,541,871	447,000,454
	Net	104,922,779	81,197,250	24,326,083	45,000	210,491,112

Year ended 31 December 2020		Maximum Insured Loss				
		Kshs 3 - 3m	Kshs 3 - 15m	Kshs 15 - 250m	Kshs 250 - 1000m	Total
		Kshs'000	KShs '000	KShs '000	KShs '000	KShs '000
Ordinary life	Gross	27,298,739	7,355,924	3,390,697	-	38,045,360
	Net	23,852,202	1,979,450	375,750	-	26,207,402
Group life	Gross	32,656,868	86,082,017	106,517,117	2,109,720	227,365,722
	Net	28,884,093	66,282,281	24,454,000	30,000	119,650,374
Total	Gross	59,955,607	93,437,941	109,907,814	2,109,720	265,411,082
	Net	52,736,295	68,261,731	24,829,750	30,000	145,857,776

The concentration by sector or maximum insured loss at the end of the year is broadly consistent with the prior year.

Notes to the Financial Statements

36. Risk management (continued)

i) Capital adequacy risk

Refer to the capital management section (Note 35) for details on the management of the Group's capital base.

37. Carrying value of assets and liabilities not measured at fair value

The table below represents the fair value assets and (liabilities) measured at amortised cost.

Group	2021	2020
	KShs.'000	Kshs. '000
Assets	Carrying value	Carrying value
Loans	250,636	300,319
Right of use asset	87,811	122,627
Deferred acquisition costs	243,969	198,477
Reinsurance share of insurance contract liabilities	1,525,471	1,360,653
Inventory	89,696	89,564
Insurance receivables	836,074	1,004,619
Receivables and other financial assets	333,294	191,197
Cash and bank balances	658,260	538,518
Liabilities		
Borrowings	(3,000,000)	(2,976,861)
Unearned premium	(1,965,924)	(1,847,958)
Provisions	(34,570)	(34,620)
Insurance payables	(1,172,231)	(1,094,521)
Deferred reinsurance commissions	(111,209)	(119,189)
Lease liabilities	(101,209)	(132,469)
Payables and other charges	(759,757)	(753,151)
Net amounts	(3,119,689)	(3,152,795)

37. Carrying value of assets and liabilities not measured at fair value (continued)

The table below represents the fair value assets and (liabilities) measured at amortised cost.

Company	2021	2020
	KShs.'000	Kshs. '000
Assets	Carrying value	Carrying value
Inventory	89,696	89,564
Receivables and other financial assets	39,347	191,197
Cash and bank balances	190,854	898,595
Liabilities		
Borrowings	(3,000,000)	(2,976,861)
Payables and other charges	(76,960)	(684,653)
Net amounts	(2,757,063)	(2,482,158)

38. Subsequent events – Group and Company

On 5 May 2022, the group received a subordinated debt of KShs 1.085 billion from Sanlam Emerging Markets, through Sanlam General Insurance Limited (subsidiary).

To: The Share Registrars
 Image Registrars Limited
 5th Floor, Absa Towers (formerly Barclays Plaza),
 P.O. Box 9287- 00100
 NAIROBI

PROXY FORM

I/We..... of

being member/members of **SANLAM KENYA PLC** hereby appoint

of..... or failing him/her the Chairman of the meeting of as/ our proxy, to vote for me/ us and on my/ our behalf at the 76th Annual General Meeting of the company to be held on Monday 27th June 2022 and at any adjournment thereof.

I/WE direct my/our proxy to vote on the following resolutions as I/WE have indicated by marking the appropriate box with an 'X'. If no indication is given, my/our proxy will vote or withhold his or her vote at his or her discretion and I/WE authorise my/our proxy to vote (or withhold his or her vote) as he or she thinks fit in relation to any other matter which is properly put before the Meeting.

RESOLUTIONS	FOR	AGAINST	WITHHELD
1. THAT the Balance Sheet and Accounts for the year ended 31 December 2021 together with the reports of the Chairman, the Group Chief Executive, the Directors, the Auditor and the Statutory Actuary are hereby approved and adopted.			
2. THAT Dr Grace Mwai is hereby elected a Director of the Company.			
3. THAT Mrs Rose Agutu is hereby elected a Director of the Company.			
4. THAT Dr Tobias Doyer is hereby elected a Director of the Company.			
5. THAT in accordance with the provisions of Section 769 of the Companies Act, 2015 the following Directors, being members of the Audit, Actuarial, Risk and Compliance Committee are hereby elected to continue serving as members of the Committee: a. Freda Britz (Chair Person) b. Nelius Bezuidenhout c. Cornie Foord d. Rose Agutu			
6. THAT the Directors' remuneration is hereby approved.			

Please clearly mark the box below to instruct your proxy how to vote

CDSC No of member (if known): (This can be found on your CDSC Statement)

Mobile Number (of the proxy holder):

Signed this day of 2022

Notes:

1. In accordance with Section 298(1) of the Companies Act, shareholders entitled to attend and vote at the AGM are entitled to appoint a proxy to vote on their behalf. A proxy need not be a member of the Company but, if not the Chairman of the AGM, the appointed proxy will need access to a mobile telephone.
2. This proxy must be signed by the appointer or his attorney duly authorised in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be under the hand of an officer or duly authorized attorney of such body corporate.
3. To be valid the form of proxy should be completed, signed and delivered (together with a power of attorney or other authority (if any) under which it is assigned or a notarized certified copy of such power or authority) sanlamagm@image.co.ke or delivered to Registered Office of the Company or posted to the Company Secretary P.O. Box 30099 – 00100 Nairobi, or to Image Registrars Limited, 5th Floor Absa Towers (formerly Barclays Plaza), Loita Street, P.O. Box 9287 – 00100 GPO, Nairobi, so as to be received not later than 11.00am on 25th June 2022
4. Any person appointed as a proxy should submit his/her mobile telephone number to the Company no later than 25th June 2022 at 11.00am. Any proxy registration that is rejected will be communicated to the shareholder concerned no later than 26th June 2022 at 11.00am to allow time to address any issues.
5. As a shareholder you are entitled to appoint one or more proxies to exercise all or any of your shareholder rights to attend and to speak and vote on your behalf at the meeting. The appointment of the Chairman of the meeting as proxy has been included for convenience. To appoint as a proxy any other person, delete the words “the Chairman of the Meeting or” and insert the full name of your proxy in the space provided. A proxy need not to be a shareholder of the Company.
6. Completion and submission of the form of proxy will not prevent you from attending the meeting and voting at the meeting in person, in which case any votes cast by your proxy will be excluded.
7. A “vote withheld” option has been included on the form of proxy. The legal effect of choosing this option on any resolution is that you will be treated as not having voted on the relevant resolution. The number of votes in respect of which votes are withheld will, however, be counted and recorded, but disregarded in calculating the number of votes for or against each resolution.

A nighttime photograph of a city skyline with a prominent highway interchange in the foreground. The highway has multiple lanes and overpasses, with light trails from cars visible. The city skyline in the background features various skyscrapers and buildings, some with distinctive architectural shapes like a sail-shaped building. The sky is dark blue.

CONF

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the number 020 22119999 to report any misuse, overload or abuse of the road assets



Live with confidence

CONFIDENCE;

Game Changer

A woman with short, curly hair, wearing a dark blazer over a light-colored button-down shirt and a red skirt, stands by a large window. She is looking out at a city skyline under a cloudy sky. The scene is dimly lit, with a blue and purple color palette. The text 'CONFIDENCE;' is in large, bold, blue capital letters, and 'The Game Changer' is in a smaller, orange, cursive script font below it.

CONFIDENCE; *The Game Changer*

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